IN THE MATTER OF THE INTEREST ARBITRATION
BEFORE ARBITRATOR
STEVEN M. BIERIG

IN THE MATTER OF THE INTEREST ARBITRATION BETWEEN: THE VILLAGE OF OAK LAWN AND THE OAK LAWN PROFESSIONAL FIREFIGHTERS ASSOCIATION, LOCAL 3405, IAFF	ISSUES: 1) WAGES 2) MINIMUM MANNING 3) EXTRA DUTIES PAY 4) EMPLOYEE MEDICAL BENEFITS 5) RETIREE MEDICAL BENEFITS 6) EDUCATION INCENTIVE 7) TUITION REIMBURSEMENT 8) PARAMEDIC CERTIFICATION 9) RESIDENCY 10) GRIEVANCE PROCEDURE/MERGER OF BARGAINING UNITS ILRB CASE NOS. S-MA-16-015 S-MA-16-131 ARB. NO. 15-147

Before: Steven M. Bierig, Arbitrator

APPEARANCES:

For The Oak Lawn Professional Firefighters Local 3656, IAFF:	**Lisa B. Moss, Michelle Owen** **Carmell Charone Widmer Moss & Barr**
For The Village of Oak Lawn:	**Benjamin E. Gehrt, Roxana M. Crasovan** **Clark Baird Smith** **Paul O'Grady** **Petersen Johnson Murray**
Dates of Hearing:	**June 6, 2016** **June 8, 2016** **July 15, 2016** **July 18, 2016**
Locations of Hearing:	**Village of Oak Lawn** **Oak Lawn, Illinois**
Post -Hearing Briefs Filed:	**October 1, 2016**
Date of Award:	**January 1, 2017**

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AWARD:

For reasons stated in this Opinion and Award, the Arbitrator finds that the following shall be incorporated into the January 1, 2015 – December 31, 2017 Collective Bargaining Agreement between the parties:

<u>Wages:</u>

The Village's offer is adopted.

Wage Schedule for January 1, 2015 – December 31, 2017 Contract	
Date	**% Increase**
January 1, 2015	**1.00%**
January 1, 2016	**2.50%**
January 1, 2017	**2.50%**
TOTAL INCREASE = 6.00%	

<u>Minimum Manning:</u>

The *status quo* shall remain.

<u>Extra Duties Pay:</u>

The *status quo* shall remain.

<u>Employee Medical Benefits:</u>

The *status quo* shall remain.

<u>Retiree Medical Benefits:</u>

The *status quo* shall remain.

<u>Education Incentive:</u>

The *status quo* shall remain.

<u>Tuition Reimbursement:</u>

The *status quo* shall remain.

Paramedic Certification:

The *status quo* shall remain.

Residency:

1. All Bargaining Unit members are required to live within the State of Illinois.

2. Any Bargaining Unit employee living outside the State of Illinois at the time of the issuance of this Award will have until the end of the contract, December 31, 2017, or any agreed upon extension thereto, to notify the Village of his/her intent to move to the State of Illinois and to provide the time frame for said move to the State of Illinois.

3. This matter is currently being litigated by the parties. In the event that a court of competent jurisdiction issues a final order indicating that the Union's proposal, that is, the *status quo*, is legal under State of Illinois law, this provision shall be null and void and the *status quo* shall be immediately reinstated.

4. This provision shall not constitute a *status quo* for subsequent negotiation and Interest Arbitration purposes.

Grievance Procedure/Merger of the Bargaining Units:

The Union's offer is adopted.

Steven Bierig

Digitally signed by Steven Bierig
DN: cn=Steven Bierig, o=Steven M. Bierig Attorney Arbitrator Mediator, ou, email=arb438@comcast.net, c=US
Date: 2017.01.05 10:27:34 -06'00'

Steven M. Bierig, Arbitrator
January 1, 2017

I. INTRODUCTION

The Interest Arbitration Hearings took place on June 6 and 8, and July 15 and 18, 2016. The June 6, 8 and July 15 Hearings occurred at 9446 South Raymond, Oak Lawn, Illinois, and commenced at approximately 10:00, 9:30 and 9:40 a.m., respectively. The July 18 Hearing occurred at 5550 West 98th Street, Oak Lawn, Illinois, and commenced at approximately 9:40 a.m. The Hearings took place before the undersigned Arbitrator, who was appointed to render a final and binding decision in this matter. At the Hearings, the parties were afforded a full opportunity to present such evidence and arguments as desired, including examination and cross-examination of all witnesses. A 1,248-page transcript of the Hearings was prepared. The parties filed Post-Hearing Briefs on or about September 30, 2016, at which time the evidentiary portion of the Arbitration was declared closed. All parties stipulated to this Arbitrator's jurisdiction and authority to issue a final and binding Award in this matter.

II. RELEVANT STATUTORY LANGUAGE

Section 14 of the Illinois Public Labor Relations Act:

* * * *

Where there is no agreement between the parties, or where there is an agreement but the parties have begun negotiations or discussions looking to a new agreement or amendment of the existing agreement, and wage rates or other conditions of employment under the proposed new or amended agreement are in dispute, the arbitration panel shall base its findings, opinions and order upon the following factors, if applicable:

1. The lawful authority of the employer.

2. Stipulations of the parties.

3. The interests and welfare of the public and the financial ability of the unit of government to meet those costs.

4. Comparison of the wages, hours and conditions of employment of the employees involved in the arbitration proceeding with the wages, hours and conditions of employment of other employees performing similar services and with other employees generally:

    a. In public employment in comparable communities.

b. In private employment in comparable communities.

5. The average consumer price for goods and services, commonly known as the cost of living.

6. The overall compensation presently received by the employees, including direct wage compensation, vacations, holidays, and other excused time, insurance and pensions, medical and hospital benefits, the continuity and stability of employment and all other benefits received.

7. Changes in any of the foregoing circumstances during the pendency of the arbitration proceedings.

8. Such other factors, not confined to the foregoing, which are normally or traditionally taken into consideration in the determination of wages, hours and conditions of employment through voluntary collective bargaining, mediation, fact-finding, arbitration or otherwise between the parties, in the public service or in private employment.

5 ILCS 315/14(h)

III. CURRENT RELEVANT CONTRACT PROVISIONS

Section 5.1 Salaries and Retroactivity (Firefighter Agreement)

a. Salaries. Employees covered by this Agreement shall be paid on the basis of the salary schedules attached hereto as Appendix A and made a part hereof. Additionally, employees identified in the "Agreement for the Administrative Organization of Paramedic Program" attached hereto as Appendix B and made a part hereof shall be bound by the terms of and receive additional pay as set forth in said Agreement.

Section 5.1 (Fire Officers)

a. Salaries. Employees covered by this Agreement shall be paid on the basis of the salary schedules attached hereto as Appendix G and made a part hereof.

Section 7.9. Minimum Manning (Firefighter Agreement)

* * *

a. The parties recognize that for purposes of efficient response to emergency situations and for reasons of employee safety, sufficient personnel and apparatus need to be maintained in a state of readiness at all times. If the number of on duty personnel falls below the daily minimums, employees shall be hired back pursuant to Section 6.4. "Overtime Distribution."

b. The Village shall exercise its best efforts to maintain the following apparatus minimum manning requirements:

On each engine:	four (4) employees
On each ALS ambulance:	two (2) paramedics (EMTP)
On each BLS ambulance:	two (2) employees (EMTA or EMTP)
On each squad:	three (3) employees

c. The Village shall exercise its best efforts to maintain at a minimum the following employees in the described ranks:

twelve (12) Lieutenants
eighteen (18) Engineers
twenty-four (24) Firefighter/Paramedics

The parties acknowledge that the Village has informed the Union that it considers this Section 7.9 as set forth in the predecessor Agreement to be permissive topics of bargaining. The Village has therefore submitted in its final proposal for arbitration that these provisions be deleted from the parties' successor contract. The Union has proposed that the status quo language continue in the successor contract. The Village acknowledges that the Union disputes the Village's position that these subsections are permissive topics contending that these provisions are mandatory subjects of bargaining which cannot be unilaterally modified by the Village. The Union has filed an unfair labor practice charge against the Village, docketed as Case No. S-CA-09-007, alleging that the Village is unilaterally deleting Section 7.9 of the parties' agreement and changing existing working conditions in violation of the Illinois Public Labor Relations Act. The parties further acknowledge that Arbitrator Perkovich has no jurisdiction to resolve whether the disputed issues are mandatory or permissive subjects of bargaining. The issue of whether the topics are mandatory or permissive in nature shall be determined through legal proceedings which have initiated before the Illinois Labor Relations Board. In the interim, the Union continues to maintain that the successor contract language on this issue is the status quo language which it intends to fully enforce and the Village continues to maintain that it can unilaterally omit the language from the parties' successor contract.

The Village agrees that if it is determined that it violated the law by unilaterally deleting all or part of this Section, it will be liable to make affected employees whole. Therefore, during the pendency of the Labor Board proceedings, the parties agree to meet monthly, or at any interval agreed to between the Chief and Union President, to identify situations which have occurred which the Union believes violated the status quo language of this Section. In the event that the Labor Board determines the Village's conduct violated the Act, the Village agrees to:

a. Abide by the status quo language of the predecessor contract for any part of this Section determined to be a mandatory subject of bargaining for the duration of this Agreement regardless of whether the Village appeals the Labor Board's decision; and,

b. Not seek a stay of the Labor Board's decision.

By entering into this Section 7.9, neither party waives any legal rights and/or position it may have related to this matter.

Section 7.14. **Minimum Manning (Officer Agreement)**

a. The parties recognize that for purposes of efficient response to emergency situations and for reasons of employee safety, sufficient personnel and apparatus need to be maintained in a state of readiness at all times. If the number of on duty personnel falls below the daily minimums, employees shall be hired back pursuant to Section 6.4. "Overtime Distribution."

b. Apparatus Staffing will reflect the current Firefighter Agreement.

c. Overall shift minimum shift staffing will reflect the current Firefighter Agreement.

d. The Village shall exercise its best efforts to maintain at a minimum the following employees in the described ranks:

three (3) Battalion Chiefs
three (3) Captains

Section 7.5. **Discipline/Investigations (Firefighter Agreement)**

* * *

As a general rule, the Village will follow principles of timely and progressive discipline, except where the offense is serious and substantial. For all new firefighters hired after January 1, 2008, the failure to obtain, within a timeframe prescribed by the Village at the time of hire and to thereafter maintain, State of Illinois Paramedic and EMS System certification shall result in the Fire Chief providing the employee with a reasonable time period under the circumstances to obtain the requisite licensure or certification, and the failure to do so within the extension period may subject the employee to disciplinary action.

* * *

APPENDIX B

AGREEMENT FOR THE ADMINISTRATIVE
ORGANIZATION OF PARAMEDIC PROGRAM

It is the intent of this Agreement that we have formalization of the Paramedic Program, which has proven its worth to the residents as well as to the effective operation of the municipality. The following are points of this organization as mutually agreed upon:

(1) The training and education provided for a Paramedic is lengthy, as provided by Christ Hospital's current Emergency Medical System Training Program requirements. This is a significant investment for the Village as well as for the individual involved. In order to make it of value to the Village, all new Paramedics will sign an agreement with the Village to provide their services as a Paramedic for a period of four (4) years. The Village realizes

that the employee has invested many hours of personal time for the betterment of the Fire Department; thus, upon successfully completing the Paramedic Course, the employee will have an option to overtime pay, for hours attended on personal time.

(2) The present Paramedics will enter into a minimum two (2) year agreement to provide their services as Paramedics. After this two-year term, a one-year notice must be presented to the Fire Chief, in writing, if a member intends not to continue as a Paramedic. Obviously, the one-year notice is an option for the Paramedic only. If the Village is dissatisfied with a Paramedic's services, he/she will be relieved of Paramedic duties, after a Supervisory Board Review. It is also understood that the one (1) year notice may be modified, after review of the Supervisory Board, and subject to approval by the Fire Chief, in order to adapt to a unique personnel situation.

(3) A Paramedic Supervisory Board will be formed for the purpose of a peer review of all the activities of this particular group. Such a Board will have recommendatory powers to assist the Fire Chief in matters pertinent to Paramedic operations. The Board will consist of a designated Paramedic Coordinator, as well as two (2) Paramedics. The Fire Chief, or his designee, will attend these meetings on request by either the Supervisory Board or the Administration. This Board will aid the Chief in the maintenance of the important peer review of Paramedic performance in all aspects of the job. This should aid in the maintenance of high standards and performance, assuring that the recipients of their services are receiving the best of care.

(4) The Paramedics have been recognized for their particular services since the inception of this program in 1976; therefore, the Paramedics will receive a stipend in recognition of additional duties above those of a firefighter. The stipend will be reflected in the salary compensation schedule where a firefighter/paramedic will receive a stated salary greater than that of a firefighter. Before any employee will receive this stipend, a budgeted vacancy must exist and it will be necessary to have received full certification as a Paramedic. The stipend will not be part of the pay during any preliminary training, including completion of Christ Hospital's current Emergency Medical System Training Program requirements. Having attained that certification, the stipend will commence with the next pay period.

Once an employee has attained the necessary Paramedic certification, it will be his responsibility to maintain the necessary continuing education hours needed for Paramedic recertification.

A Paramedic who decides not to recertify after completing ten (10) years of service as a Paramedic will not forfeit his Paramedic stipend as long as he gives two (2) years' advance written notice not to recertify to the Fire Chief; (which notice may be given at any time after completion of seven (7) years of service as a paramedic) his salary will remain frozen until his normal pay grade catches up to his current salary level.

It is understood that the Oak Lawn Paramedic Program will be operated under the Christ Hospital Emergency Medical Services System, and in the event of contemplated change or revision, this Agreement shall be subject to an advisory procedure between the Village and the Union.

Off-duty Paramedics training required for recertification which is scheduled during off-duty time by the Village shall be paid at time and one-half the hourly rate.

The existing policy permits Fire Department non-paramedics to enter paramedic training, before hiring from the outside, will be followed.

(5) Employees who have served as certified paramedics on the Oak Lawn Fire Department for thirteen (13) years or more shall receive an annual salary payment of $300.00 in addition to the Paramedic stipend set forth in Paragraph 4 above. If the employee continues serving as a certified Paramedic in the Oak Lawn Fire Department after

completion of the thirteen (13) years of service, the employee shall receive both the $300.00 payment and the Paramedic stipend. If an employee ceases to serve as a Paramedic in the Oak Lawn Fire Department after completion of thirteen (13) years of Paramedic service (but continues in the employ of the Oak Lawn Fire Department in a bargaining unit position), the employee shall continue to receive the $300.00 annual payment and the employee will be protected by the "salary freeze" clause in Paragraph 4 above. Employees who are now active paramedics and who were in the original Oak Lawn Paramedic Program shall be deemed to have satisfied the thirteen (13) year requirement in the paragraph even if said employees have been paramedics for less than thirteen (13) years. However, if an employee ceases to serve as a Paramedic in the Oak Lawn Fire Department after completion of twenty (20) years of Paramedic service, continues in the employ of the Oak Lawn Fire Department in a bargaining unit position, and provides to the Chief a signed, irrevocable letter of resignation in a form acceptable to the Chief and effective on a date not more than one (1) year from the date that the employee ceases service as a Paramedic, that employee shall receive all salary, benefits and stipends that he or she would have received had he or she continued to serve as a Paramedic until the effective date of the employee's resignation. Such an employee shall not be required to ride the ambulance on a regular basis or counted as part of the Village's Paramedic contingent, but such an employee may be required to cover Paramedic duties as may be necessary on an occasional basis.

Each employee above the rank and classification of Firefighter (i.e., Fire Engineer, Fire Lieutenant and employees covered in the Officers' Agreement) shall receive an additional $1,200.00 per year paramedic specialty pay, provided they obtain (or have obtained) and maintain full certification as a paramedic. These employees are also covered by the terms set forth in this Appendix B.

ARTICLE IX, MEDICAL AND OTHER GROUP EMPLOYEE <u>BENEFITS, SECTION 9.1, GENERAL PRINCIPLES (Firefighter Agreement)</u>

a. The Village shall provide health insurance and other employee benefit plans to all full time employees covered by this Agreement, and to retired employees receiving retirement benefits for their service to the Village, in accordance with the following provisions. The number and form of such plans shall be determined from time to time by the Village. The plans for medical, dental, vision and prescription drug benefits may not be substantially changed by the Employer without the agreement of the Union. The Village will continue to pay ninety percent (90%) and employees will pay ten percent (10%) of the base HMO plan for active employees. If the Village offers any alternative option(s) for health insurance coverage, the employee shall be financially responsible for any difference in health insurance premiums. On the date of this Agreement said employee benefit plans include health and medical insurance plans with options, life insurance, retiree benefits, long-term disability benefits, flexible spending accounts, vision benefits, dental benefits, and deferred compensation plans. A copy of the current insurance contribution breakdown by carrier is attached hereto as Appendix H.

(Fire Officers)

a. The Village shall provide health insurance and other employee benefit plans to all full time employees covered by this Agreement, and to retired employees receiving retirement benefits for their service to the Village, in accordance with the following provisions. The number and form of such plans, and the benefits provided by each, shall be determined from time to time by the Village at its sole discretion after consultation with the Health Insurance Committee described below. The Village's employee group benefit plans are subject to change by the Village on notice. The Village, to the best of its ability, will continue to pay approximately ninety percent (90%) and employees will pay approximately ten percent (10%) of the base HMO premium plan for active employees (currently HMO IL). If the Village offers any alternative option(s) for health insurance coverage, the employee shall be financially responsible for any difference in health insurance premiums. The Village shall use its best efforts to retain health insurance coverage and benefits that are substantially the same as the insurance offered at the time of the execution of this Agreement. On the date of this Agreement, said employee benefit plans include health and medical insurance plans with options, life insurance, retiree benefits, long-term disability benefits, flexible spending accounts, vision benefits, dental benefits, and deferred compensation plans.

Section 9.3. **Group Employee Benefits** **(Firefighter Agreement)**

* * *

(f) Retiree Medical Benefits.

The Village shall continue to provide full payment for medical insurance for employees who retire at or after age 50 with twenty (20) or more years of service, until age 65 or until Medicare eligible whichever occurs first. Retirees and their spouses (at the time of retirement) shall not be required to contribute to the cost of such benefits, if they are enrolled in the designated "BASE" plan (currently HMO IL Blue Advantage) for retirees, selected by the Village. Any dependents of the retiree who are eligible for continuation of insurance benefits in accordance with Illinois law will be permitted to continue to be covered by the plan at the full cost of the retiree with premiums to be paid timely monthly as provided by law and the applicable policy in advance of the monthly due date. Medical benefits for retirees, their spouses and dependents shall be the same as those made available to active employees as determined from time to time by the Village. In addition, an employee who retires under this provision may elect not to have HMO couples coverage, and receive the cash equivalent amount which the Village would have paid as premium for that coverage which amount may increase or decrease from time to time. All retirees who withdraw from the Village's health insurance program can re-enroll, but such re-enrollments can only occur during the open enrollment period or situations of life altering events per the applicable insurance policy.

If a retiree elects to enroll in the Village's base medical insurance plan couples only, that coverage shall be deemed to be a vested benefit that cannot be removed as a result of future collective bargaining between the Village and the Union. Retirees and their spouses shall be eligible to participate in the Village's dental and vision programs under the terms established by COBRA or the equivalent laws and regulations.

<u>Section 9.3.</u> **<u>Group Employee Benefits</u>** **<u>(Officer Agreement)</u>**

*   *   *

f. Retiree Medical Benefits.

The Village shall continue to provide full payment for medical benefits for employees who retire at or after age 50 with twenty (20) or more years of service, until age 65 or until Medicare eligible. Retirees, their spouses, and dependents, in accordance with applicable law [through full-time college not to exceed age twenty-three (23)] (at the time of retirement) shall not be required to contribute to the cost of such "Family" benefits, if they are enrolled in the designated "BASE" plan (currently HMO IL Blue Advantage) for retirees**,** selected by the Village. Medical benefits for retirees, their spouses and dependents shall be the same as those made available to active employees as determined from time to time by the Village**.** In addition, an employee who retires under this provision may elect not to have HMO couples coverage, and receive the cash equivalent amount which the Village would have paid as premium for that coverage which amount may increase or decrease from time to time. All retirees who withdraw from the Village's health insurance program can re-enroll, but such re-enrollments can only occur during the open enrollment period or situations of life altering events per the applicable insurance policy.

If a retiree elects to enroll in the Village's base medical insurance plan couples only, that coverage shall be deemed to be a vested benefit that cannot be removed as a result of future collective bargaining between the Village and the Union. Retirees and their spouses shall be eligible to participate in the Village's dental and vision programs under the terms established by COBRA or the equivalent laws and regulations.

<u>Section 5.11. Education and Training (Firefighter Agreement)</u>

a. <u>Education Incentive</u>. Employees covered under this Agreement who submit to the Village proof from the State Certified Schools as to earned credit hours toward the following certificate or degrees shall be compensated additionally as follows:

AA Degree	$ 360.00
Bachelor Degree	$ 720.00
Master's Degree	$1,080.00

It is understood that the Fire Department can and will utilize an employee's education for the betterment of the Village. Education incentive will be paid each regular pay day at the rate of one twenty-fourth (1/24) of the above schedule and incorporated in the employee's regular paycheck.

Section 5.11. Education and Training (Fire Officers Agreement)

a. Education Incentive. Employees covered under this Agreement who submit to the Village proof from the State Certified Schools as to earned credit hours toward the following certificate or degrees shall be compensated additionally as follows:

AA Degree and/or Fire Officer II	$ 450.00
Bachelor Degree and/or Fire Officer III	$ 820.00
Master's Degree	$1,200.00

It is understood that the Fire Department can and will utilize an employee's education for the betterment of the Village. Education incentive will be paid each regular pay day at the rate of one twenty-fourth (1/24) of the above schedule and incorporated in the employee's regular paycheck.

Section 5.11. Education and Training (Firefighter Agreement)

b. Tuition Reimbursement. The Village will reimburse employees for costs incurred for books, fees, and tuition upon successful completion of courses related to the fire service area (the Chief must approve the course as related to the fire service area which approval shall not unreasonably be withheld), and for courses necessary to complete degrees in fire service areas. Reimbursement hereunder shall be limited to no more than $1,500 per year per employee and to no more than $9,000 per year for all bargaining unit members.

Section 5.11. Education and Training (Fire Officers Agreement)

b. Tuition Reimbursement. The Village will reimburse employees for costs incurred for books, fees, and tuition upon successful completion of courses related to the fire service area (the Chief must approve the course as related to the fire service area which approval shall not unreasonably be withheld), and for courses necessary to complete degrees in fire service areas. Reimbursement hereunder shall be limited to no more than $1,500 per year per employee and to no more than $9,000 per year for all Bargaining Unit members.

Section 4.2. Procedure (Firefighter Agreement)

Step 1 – An employee and/or Union representative may submit a grievance in writing to the employee's shift commander. The grievance shall contain a brief statement of facts, the contractual provisions and/or other matters of alleged violation and the relief requested. Grievances shall be presented no later than ten (10) calendar days from the date of occurrence giving rise to the grievance or ten (10) calendar days from when the grievant, through normal diligence, should have become aware of the grievance. The shift commander shall render a written answer to the grievant and the Union within seven (7) calendar days after the grievance is presented. Grievances of a broad contractual nature, a class action type of grievance affecting two (2) or more employees, or a "Union" grievance may bypass Step 1 and be submitted directly to Step 2.

Step 2 – If the grievance is not settled in Step 1, it may be submitted to the Fire Chief within seven (7) calendar days after receipt of the answer in Step 1. The Chief shall investigate the grievance, offer to meet with the grievant and an authorized Union representative, and render a written answer within ten (10) calendar days after receipt of the grievance.

Step 3 – If the grievance is not settled in Step 2, the grievance may be submitted within ten (10) calendar days after receipt of the answer in Step 2 to the Village Manager who shall meet with the grievant and an authorized representative of the Union, and provide a written answer within ten (10) calendar days following the meeting.

Step 4 – If the grievance is not settled at Step 3, the grievance may be submitted to arbitration by either the Union or the Village upon written notice to the other party. Such written notice shall be given within ten (10) calendar days of receiving the answer in Step 3.

a. The parties shall attempt to agree upon an arbitrator within ten (10) calendar days after receipt of the notice of referral to arbitration. In the event the parties are unable to agree upon an arbitrator within the ten (10) calendar day period, they shall jointly request or either may request the Federal Mediation and Conciliation Service to submit a panel of seven (7) arbitrators each of whom is a member of the National Academy of Arbitrators and maintains a principal residence in Illinois. In the case of interest arbitration, the arbitrator shall also have prior interest arbitration experience. Each party shall have the right to strike three (3) names. The party who shall strike first shall be determined by coin flip and each party shall alternatively strike names until one (1) name remains and that person shall be the arbitrator. It is provided that each party, before striking any names, shall have the right to reject one (1) panel of arbitrators. The arbitrator shall be notified of selection by a joint letter from the Village and the Union.

b. The arbitrator shall have no right to amend, modify, nullify, ignore, add to, or subtract from the provisions of this Agreement. The arbitrator shall consider and decide only the specific issue submitted, and the decision and award shall be based solely upon an interpretation of the meaning or application of the terms of this Agreement to the facts of the grievance presented. The Parties may agree to consolidate grievances involving similar matters before a single arbitrator. The decision of the arbitrator shall be final and binding on the Village, the Union and the employee or employees involved. The cost of the arbitration, including the fee and expenses of the arbitrator, shall be borne mutually by the Union and the Village, except each party shall be responsible for the expenses of its representatives.

Section 4.2. Procedure (Officer Agreement)

Step 1 – An employee and/or Union representative may submit a grievance in writing to the employee's shift commander. The grievance shall contain a brief statement of facts, the contractual provisions and/or other matters of alleged violation and the relief requested. Grievances shall be presented no later than ten (10) calendar days from the date of occurrence giving rise to the grievance or ten (10) calendar days from when the grievant, through normal diligence, should have become aware of the grievance. The shift commander shall render a written answer to the grievant and the Union within seven (7) calendar days after the grievance is presented. Grievances of a broad contractual nature, a class action type of grievance affecting two (2) or more employees, or a "Union" grievance may bypass Step 1 and be submitted directly to Step 2.

Step 2 – If the grievance is not settled in Step 1, it may be submitted to the Fire Chief within seven (7) calendar days after receipt of the answer in Step 1. The Chief shall investigate the grievance, offer to meet with the grievant and an authorized Union representative, and render a written answer within ten (10) calendar days after receipt of the grievance.

Step 3 – If the grievance is not settled in Step 2, the grievance may be submitted within ten (10) calendar days after receipt of the answer in Step 2 to the Village Manager who shall meet with the grievant and an authorized representative of the Union, and provide a written answer within ten (10) calendar days following the meeting.

Step 4 – If the grievance is not settled at Step 3, the grievance may be submitted to arbitration by either the Union or the Village upon written notice to the other party. Such written notice shall be given within ten (10) calendar days of receiving the answer in Step 3.

a. The parties shall attempt to agree upon an arbitrator within ten (10) calendar days after receipt of the notice of referral to arbitration. In the event the parties are unable to agree upon an arbitrator within the ten (10) calendar day period, they shall jointly request or either may request the Federal Mediation and Conciliation Service to submit a panel of seven (7) arbitrators each of whom is a member of the National Academy of Arbitrators and maintains a principal residence in Illinois. In the case of interest arbitration, the arbitrator shall also have a prior interest arbitration experience. Each party shall have the right to strike three (3) names. The party who shall strike first shall be determined by coin flip and each party shall alternatively strike names until one (1) name remains and that person shall be the arbitrator. It is provided that each party, before striking any names, shall have the right to reject one (1) panel of arbitrators. The arbitrator shall be notified of selection by a joint letter from the Village and the Union.

b. The arbitrator shall have no right to amend, modify, nullify, ignore, add to, or subtract from the provisions of this Agreement. The arbitrator shall consider and decide only the specific issue submitted, and the decision and award shall be based solely upon an interpretation of the meaning or application of the terms of this Agreement to the facts of the grievance presented. The decision of the arbitrator shall be final and binding on the Village, the Union and the employee or employees involved. The cost of the arbitration, including the fee and expenses of the arbitrator, shall be borne mutually by the Union and the Village, except each party shall be responsible for the expenses of its representatives.

IV. EXTERNAL COMPARABLE COMMUNITIES

The Village and the Union have stipulated to a list of external comparables for purposes of this 2016 Interest Arbitration only, and on a non-precedential basis. Those non-precedential external comparable jurisdictions are as follows:

- Arlington Heights
- Berwyn
- Bolingbrook
- Elgin
- Evanston
- Hoffman Estates
- Lisle-Woodridge Fire Protection District
- Lombard
- Mount Prospect
- Naperville
- Oak Park
- Orland Fire Protection District
- Park Ridge
- Skokie

(Tr. 477-79, 540-541)

V. STIPULATIONS OF THE PARTIES

The parties have entered into the following stipulations:

1. The procedural prerequisites for convening the arbitration have been met, and Arbitrator Bierig has jurisdiction and authority to rule on those mandatory subjects of bargaining submitted to him as authorized by the Act, including, but not limited to, the express authority and jurisdiction to award increases in rates of compensation retroactive to January 1, 2015, pursuant to Section 14(j) of the Act. Each party expressly waives and agrees not to assert any defense, right or claim that the Arbitrator lacks jurisdiction and authority to make such a retroactive award.

2. The parties waive Section 14(b) of the Act requiring the appointment of panel delegates by the employer and exclusive representative and agree that Arbitrator Bierig shall serve as the sole arbitrator in this dispute.

3. The Arbitrator shall award and incorporate into the collective bargaining agreement any tentative agreements and resolved contractual provisions

reached during negotiations between the parties. All other provisions of the current collective bargaining agreement, except those at issue herein, shall remain unchanged in the successor agreement.

4. For the purposes of Section 14(g) of the Act, the following issues are economic issues in dispute: Salaries (The parties cannot agree on whether this is a Union issue or a joint issue); Extra Duties (Union Issue); Minimum Manning (Village Issue); Health Insurance (Village Issue); Retiree Health Insurance (Village Issue); Education Incentive (Village Issue); Tuition Reimbursement (Village Issue); Paramedic Certification (Village Issue).

5. For the purposes of Section 14(g) of the Act, the following issues are non-economic issues in dispute: Residency (Village Issue); Merger of Bargaining Agreements (Union Issue)/Grievance Mechanism (Employer response) (Union objects to this issue as improper before the Arbitrator).

6. Once exchanged, on June 1, 2016, final offers may not be altered in any manner, unless the parties reach agreement on an issue, or a party withdraws the offer for the status quo language. The parties do not agree as to whether modifications, limited to proposals on issues that are the subject matter of the Village's Petition For Declaratory Ruling (Residency and Paramedic Decertification), will be allowed following the General Counsel's ruling. The parties seek a decision from this Arbitrator on this issue.

(Jt. Ex. 1)

VI. <u>ISSUES</u>

As noted above, the issues submitted to the Interest Arbitrator for resolution are:

1) WAGES (Joint Issue) - Economic

2) MINIMUM MANNING (Village Issue) - Economic

3) EXTRA DUTY PAY (Union Issue) - Economic

4) HEALTH INSURANCE (Village Issue) - Economic

5) RETIREE HEATH INSURANCE (Village Issue) - Economic

6) EDUCATION INCENTIVE (Village Issue) - Economic

7) TUITION REIMBURSEMENT (Village Issue) - Economic

8) PARAMEDIC CERTIFICATION (Village Issue) - Economic

9) **RESIDENCY (Village Issue) - Non-Economic**

10) **GRIEVANCE PROCEDURE/MERGER OF THE BARGAINING UNITS (Joint Issue) - Non-Economic**

VII. THE PARTIES' FINAL OFFERS, PRESENTED ON JUNE 1, 2016

ISSUE	**VILLAGE OFFER**	**UNION OFFER**
Article V, Section 5.1(a), Salaries; Appendix A (Firefighter Unit) and Appendix G (Officer Unit)	To award wage increases as follows: January 1, 2015 1.0% January 1, 2016 2.5% January 1, 2017 2.5% **Total Increase 6.0%**	January 1, 2015 2.25% January 1, 2016 2.25% January 1, 2017 2.25% **Total Increase 6.75%**
Article VI, *New* Section 6.6 Extra Duties and Responsibilities	*Status Quo* (i.e., There will be no new extra duties benefit language in Section 6.6.)	***New* Section 6.6. Extra Duties and Responsibilities** The Assistant Chief(s) and Battalion Chiefs covered by this Agreement shall accrue an additional sixteen (16) hours of pay per month. This sixteen (16) hours of pay shall be rounded to a whole dollar amount. No employee shall be entitled to the payment of more than one (1) allotment of sixteen (16) hours of pay in a month by reason of the assignment of extra duties (including, but not limited to, duties in the areas of Apparatus Maintenance, Training, Radios & Communications, Station Maintenance, Box Cards, SOGs and Mutual Aid Agreements). Due to extra duties and responsibilities outside those contained in the covered employees' usual and traditional duties and responsibilities, the Village agrees to the above stated compensation.

<table>
<tr><td></td><td></td><td></td></tr>
<tr>
<td>Article VII Miscellaneous, Section 7.9 Minimum Manning; Section 7.14 (Officer’s Agreement)</td>
<td>Section 7.9 Minimum Staffing / 7.14 Minimum Staffing (Officers)

a. The parties recognize that for purposes of efficient response to emergency situations and for reasons of employee safety, sufficient personnel and apparatus need to be maintained in a state of readiness at all times. If the number of on duty personnel falls below the daily minimums, employees shall be hired back pursuant to Section 6.4.

b. The Village shall exercise its best efforts to maintain the following apparatus minimum manning requirements:
<table>
<tr><td>On each engine:</td><td><s>four (4)</s> three (3) employees</td></tr>
<tr><td>On each ALS ambulance:</td><td>two (2) paramedics (EMTP)</td></tr>
<tr><td>On each BLS ambulance:</td><td>two (2) employees

(EMTA or EMTP)</td></tr>
<tr><td>On each squad:</td><td><s>three (3)</s> two (2) employees</td></tr>
<tr><td>Shift</td><td>one (1) employee</td></tr>
</table>

c. The Village shall exercise its best efforts to maintain at a minimum the following employees in the described ranks:

twelve (12) Lieutenants
eighteen (18) Engineers
twenty-four (24) Firefighter/Paramedics
three (3) Battalion Chiefs
three (3) Captains
three (3) Bureau Chiefs

d. The Village shall exercise its best efforts to maintain at a minimum the following shift staffing requirements:

Effective January 1, 2015: total of 21 personnel
Effective upon the date of Arbitrator Bierig’s decision: total of 20 personnel
Effective upon January 1, 2017: total of 19 personnel

</td>
<td>Status Quo

(The Union acknowledges and agrees that it will be bound by the Court’s ultimate interpretation of the current contract language.)</td>
</tr>
<tr>
<td>Article IX Medical</td>
<td><u>Section 9.1. General Principles</u></td>
<td>Status Quo</td>
</tr>
</table>

and Other Group Employee Benefits, Section 9.1 General Principles (Current Employees)	a. The Village shall provide health insurance and other employee benefit plans to all full time employees covered by this Agreement, and to retired employees receiving retirement benefits for their service to the Village, in accordance with the following provisions. The number and form of such plans shall be determined from time to time by the Village. The plans for medical, dental, vision and prescription drug benefits may not be substantially changed by the Employer without the agreement of the Union. <u>In 2015,</u> the Village will continue to pay ninety percent (90%) and the employees will pay ten percent (10%) of the base HMO plan for active employees. <u>On January 1, 2016,</u> ~~T~~the Village will ~~continue to~~ pay ~~ninety~~ <u>eighty-seven and one-half</u> percent (~~90%~~ <u>87.5%</u>) and the employees will pay ~~ten~~ <u>twelve and one half</u> percent (~~10%~~<u>12.5%</u>) of the base HMO plan for active employees. <u>The cost of the change in premiums paid shall be retroactive to January 1, 2016, and shall be withdrawn directly from each bargaining unit member's payroll on the same paycheck under which retroactive wage increases are issued</u>. If the Village offers any alternative option(s) for health insurance coverage, the employee shall be financially responsible for any difference in health insurance premiums. On the date of this Agreement said employee benefit plans include health and medical insurance plans with options, life insurance, retiree benefits, long-term disability benefits, flexible spending accounts, vision benefits, dental benefits, and deferred compensation plans. [No changes to sub-sections b.or c.]	
Article IX Medical and Other Group Employee Benefits, Section 9.3(f) Group Employee Benefits, Retiree Medical Benefits	<u>**Section 9.3(f). Retiree Medical Benefits**</u>. <u>**For employees who retired before the issuance of Arbitrator Bierig's interest arbitration award,**</u> the Village shall continue to provide full payment for medical insurance for employees who retire at or after age 50 with twenty (20) or more years of service, until age 65 or until Medicare eligible, whichever occurs first. Retirees <u>**who retired before the issuance of Arbitrator Bierig's award**</u> and their spouses (at the time of retirement) shall not be permitted to contribute to the cost of such benefits, if they are enrolled in the designated "BASE" plan (currently HMO IL Blue Advantage) for retirees, selected by the Village. <u>**For employees who retire on or after the issuance of Arbitrator Bierig's interest arbitration award at or after age 50 with 20 or more years of service, the retiree shall be required to pay 10% of the cost of coverage if they are enrolled in the designated "BASE" plan (currently**</u>	*Status Quo*

	<u>HMO IL Blue Advantage) for retirees, selected by the Village.</u> Any dependents of the retiree who are eligible for continuation of insurance benefits in accordance with Illinois law will be permitted to continue to be covered by the plan at the full cost of the retiree with premiums to be paid timely monthly as provided by law and the applicable policy in advance of the monthly due date. Medical benefits for retirees, their spouses and dependents shall be the same as those made available to active employees as determined from time to time by the Village. **~~In addition, an employee who retires under this provision may elect not to have HMO couples coverage, and receive the cash equivalent amount which the Village would have paid as premium for that coverage which amount may increase or decrease from time to time.~~** All retirees who withdraw from the Village's health insurance program can re-enroll, but such re-enrollments can only occur during the open enrollment period or situations of life altering events per the applicable insurance policy. If a retiree elects to enroll in the Village's base medical insurance plan couples only, that coverage shall be deemed to be a vested benefit that cannot be removed as a result of future collective bargaining between the Village and the Union. Retirees and their spouses shall be eligible to participate in the Village's dental and vision programs under the terms established by COBRA or the equivalent laws and regulations.	
Article V, Wages and Benefits, Section 5.11(a), Education and Training, Education Incentive	**<u>Section 5.11. Education and Training</u>.** a. <u>Education Incentive.</u> Employees covered by this Agreement who submit to the Village proof from the State Certified Schools as to earned credit hours toward the following certificate or degrees shall be compensated additionally as follows: AA Degree and/or Fire Officer II: $450.00 Bachelor's Degree and/or Fire Officer III: $820.00 Master's Degree: $1,200.00 The Fire Officer II and III incentives are only available to employees above the rank of Lieutenant. It is understood that the Fire Department can and will utilize an employee's education for the betterment of the Village. Education incentive will be paid each regular pay day at	*Status Quo*

	the rate of one twenty-fourth (1/24) of the above schedule and incorporated in the employee's regular paycheck. **No employees hired after January 1, 2015 shall be eligible to receive the education incentives listed above**.	
Section 5.11(b), Tuition Reimbursement	b. Tuition Reimbursement. The Village will reimburse employees for costs incurred for books, fees, and tuition upon successful completion of courses related to the fire service area (the Chief must approve the course as related to the first service area which approval shall not unreasonably be withheld), and for courses necessary to complete degrees in fire service areas. Reimbursement hereunder shall be limited to no more than $1,500 per employee and to no more than $9,000 per year for all-bargaining unit members. **No employees hired after January 1, 2015, shall be eligible for tuition reimbursement.**	*Status Quo*
Article VII Miscellaneous, Section 7.5 Discipline/ Investigations; Appendix B Agreement for the Administrative Organization of Paramedic Program (Decertification)	Section 7.5. Discipline/Investigations. …. As a general rule, the Village will follow principles of timely and progressive discipline, except where the offense is serious and substantial. ~~For all new firefighters hired after January 1, 2008,~~ The failure to ~~obtain, within a timeframe prescribed by the Village at the time of hire and to thereafter~~ maintain State of Illinois Paramedic and EMS System certification **as per the requirements established in Appendix B** shall result in the Fire Chief providing the employee with a reasonable time period under the circumstances to obtain the requisite licensure or certification, and the failure to do so within the extension period may subject the employee to disciplinary action.… **APPENDIX B-AGREEMENT FOR THE ADMINISTRATIVE ORGANIZATION OF PARAMEDIC PROGRAM** It is the intent of this Agreement that we have formalization of the Paramedic Program, which has proven its worth to the residents as well as to the effective operation of the municipality. The following are points of this organization as mutually agreed upon: (1) The training and education provided for a Paramedic is lengthy, as provided by Christ Hospital's current Emergency Medical System Training Program requirements. This is a significant investment for the Village as well as for the individual involved. ~~In order to make it of value to the Village, all new Paramedics will~~	

~~sign an agreement with the Village to provide their services as a Paramedic for a period of four (4) years.~~ The Village realized that the employee has invested many hours of personal time for the betterment of the Fire Department; thus, upon successfully completing the Paramedic Course, the employee will have an option to overtime pay, for hours attended on personal time.

(2) Maintenance of the employee's Paramedic certification is a condition of employment and failure to maintain that license will be cause for discharge. No employee with current Paramedic certification will be permitted to decertify. All employees who have a Paramedic certification are required to use that certification and cannot opt out of paramedic duties. If the Chief determines in the sound exercise of his discretion that more paramedics are needed, the Chief may order additional firefighters to obtain their certifications. Order will be given by reverse seniority within the appropriate rank (most junior employee ordered first). ~~The present Paramedics will enter into a minimum two (2) year agreement to provide their services as Paramedics. After this two-year term, a one-year notice must be presented to the Fire Chief, in writing, if a member intends not to continue as a Paramedic. Obviously, the one-year notice is an option for the Paramedic only. If the Village is dissatisfied with a Paramedic's services, he/she will be relieved of Paramedic duties, after a Supervisory Board Review. It is also understood that one (1) year notice may be modified, after review of the Supervisory Board, and subject to approval by the Fire Chief, in order to adapt to a unique personnel situation~~.

(3) A Paramedic Supervisor Board will be formed for the purpose of a peer review of all the activities of this particular group. Such a Board will have recommendatory powers to assist the Fire Chief in matters pertinent to Paramedic operations. The Board will consist of a designated Paramedic Coordinator, as well as two (2) Paramedics. The Fire Chief, or his designee, will attend these meetings on request by either the Supervisory Board or the Administration. This Board will aid the Chief in the maintenance of the important peer review of Paramedic performance in all aspects of the job. This should aid in the maintenance of high standards and performance, assuring that the recipients of their services are receiving the best of care.

(4) The Paramedics have been recognized for their particular services since the inception of this program in 1976; therefore, the Paramedics will receive a stipend in recognition of additional duties above those of a firefighter. The stipend will be reflected in the salary

	compensation schedule where a firefighter/paramedic will receive a stated salary greater than that of a firefighter. Before any employee will receive this stipend, a budgeted vacancy must exist and it will be necessary to have received full certification as a Paramedic. The stipend will not be part of the pay during any preliminary training, including completion of Christ Hospital's current Emergency Medical System Training Program requirements. Having attained that certification, the stipend will commence with the next pay period. Once an employee has attained the necessary Paramedic certification, it will be his responsibility to maintain the necessary continuing education hours needed for Paramedic recertification. A Paramedic who ~~decides~~ **<u>decided</u>** not to recertify after completing ten (10) years of service as a Paramedic will not forfeit his Paramedic stipend as long as he ~~gives~~ **<u>gave</u>** two (2) years' advance written notice not to recertify to the Fire Chief**<u>, and as long as the Paramedic first took advantage of this benefit prior to the issuance of Arbitrator Bierig's award</u>**; (which notice may **<u>have been</u>** ~~be~~ given at any time after completion of seven (7) years of service as a paramedic) his salary will remain frozen until his normal pay catches up to his current salary level. **<u>This benefit shall not be available to any employee after the issuance of Arbitrator Bierig's award because maintenance of a paramedic license will be a condition of employment</u>**. It is understood that the Oak Lawn Paramedic Program will be operated under the Christ Hospital Emergency Medical Service System, and in the event of contemplated change or revision, this Agreement shall be subject to an advisory procedure between the Village and the Union. Off-duty Paramedics training required for recertification which is scheduled during off-duty time by the Village shall be paid at time and one-half the hourly rate. The existing policy permits Fire Department non-paramedics to enter paramedic training, before hiring from the outside, will be followed. (5) Employees who have served as certified paramedics on the Oak Lawn Fire Department for thirteen (13) years or more shall receive an annual salary payment of $300.00 in addition to the Paramedic stipend set forth in Paragraph 4 above. If the employee continues serving as a certified Paramedic in the Oak Lawn Fire Department after completion of the thirteen (13) years of service, the employee shall receive both the $300.00 payment and the Paramedic stipend. If an employee ~~ceases~~ **<u>ceased</u>** to serve as a Paramedic in the Oak Lawn Fire Department after completion of thirteen (13) years of Paramedic service (but continues in the employ of the Oak Lawn Fire	

	Department in a bargaining unit position) **<u>prior to issuance of Arbitrator Bierig's award</u>**, the employee shall continue to receive the $300.00 annual payment and the employee will be protected by the "salary freeze" clause in Paragraph 4 above.~~ Employees who are now active paramedics and who were in the original Oak Lawn Paramedic Program shall be deemed to have satisfied the thirteen (13) year requirement in the paragraph even if said employees have been paramedics for less than thirteen (13) years. However, if an employee ceases to serve as a Paramedic in the Oak Lawn Fire Department after completion of twenty (20) years of Paramedic service, continues in the employ of the Oak Lawn Fire Department in a bargaining unit position, and provides to the Chief a signed, irrevocable letter of resignation in a form acceptable to the Chief a signed and effective on a date not more than one (1) year from the date that the employee ceases service as a Paramedic, that employee shall receive all salary, benefits and stipends that he or she would have received had he or she continued to serve as a Paramedic until the effective date of the employee's resignation. Such an employee shall not be required to ride the ambulance on a regular basis or counted as part of the Village's Paramedic contingent, but such an employee may be required to cover Paramedic duties as may be necessary on an occasional basis.~~ Each employee above the rank and classification of Firefighter (i.e., Fire Engineer, Fire Lieutenant and employees **<u>previously</u>** covered in the Officers' Agreement) shall receive an additional $1,200.00 per year paramedic specialty pay, provided they obtain (or have obtained) and maintain full certification as a paramedic. These employees are also covered by the terms set forth in this Appendix B.	
Article VII Miscellaneous, *New* Section 7.15 Residency	**<u>Section 7.15 Residency</u>** All bargaining unit members hired before the issuance of Arbitrator Bierig's award are required to establish residency within the State of Illinois within six months of the issuance of his decision. All bargaining unit members hired on or after the issuance of Arbitrator Bierig's award are required to establish residency within fifty (50) miles of Village Hall (9446 S. Raymond Ave., Oak Lawn, IL) and within the State of Illinois within six months of the probation period for new-hires. The Village Manager may in his discretion grant an extension of this time limit for good cause shown. Residency as established in this Section is a condition of employment and failure to comply with this residency shall be cause for discharge.	*Status Quo* (i.e., There will be no new residency language in Section 7.15.)

Article IV, Grievance Procedure, Section 4.2 Procedure? Merger of Merger of the Bargaining Units	**Section 4.2. Procedure.** **Step 1 –** An employee and/or Union representative may submit a grievance in writing to the ~~employee's shift commander~~ **Fire Chief**. The grievance shall contain a brief statement of facts, the contractual provisions and/or other matters of alleged violation and the relief requested. Grievances shall be presented no later than ten (10) calendar days from the date of occurrence giving rise to the grievance or ten (10) calendar days from when the grievant, through normal diligence, should have become aware of the grievance. The ~~**shift commander**~~ **Chief** shall render a written answer to the grievant and the Union within seven (7) calendar days after the grievance is presented. ~~**Grievances of a broad contractual nature, a class action type of grievance affecting two (2) or more employees, or a "Union" grievance may bypass Step 1 and be submitted directly to Step 2**~~. **Step 2 –** If the grievance is not settled in Step 1, it may be submitted to the ~~**Chief**~~ **Village Manager** within seven (7) calendar days after receipt of the answer in Step 1. The ~~**Chief**~~ **Village Manager** shall investigate the grievance, offer to meet with the grievant and an authorized Union representative, and render a written answer within ten (10) calendar days after receipt of the grievance. ~~Step 3 – If the grievance is not settled in Step 2, the grievance may be submitted within ten (10) calendar days after receipt of the answer in Step 2 to the Village Manager who shall meet with the grievant and an authorized representative of the Union, and provide a written answer within ten (10) calendar days following the meeting.~~ **Step 3 –** If the grievance is not settled at Step **2**, the grievance may be submitted to arbitration by either the Union or the Village upon written notice to the other party. Such written notice shall be given within ten (10) calendar days of receiving the answer in Step **2.** a. The parties shall attempt to agree upon an arbitrator within ten (10) calendar days after receipt of the notice of referral to arbitration. In the event the parties are unable to agree upon an arbitrator within the ten (10) calendar day period, they shall jointly request or either may request the Federal Mediation and Conciliation Service to submit a panel of seven (7) arbitrators each of whom is a member of the National Academy of Arbitrators and maintains a principal residence in Illinois. In the case of interest arbitration, the arbitrator shall also have prior interest arbitration experience. Each party shall have the right to strike three (3) names. The party who	The Village has added a new issue not previously identified in its list of issues exchanged by the Parties on May 10, 2016, Section 4.2, Grievance Procedure. The Village cannot raise new issues after its exchange of issues. Therefore, the Union objects to the presentation of this issue at hearing. To the extent that this issue falls under the Union's request that the arbitrator retain jurisdiction to address any disputes the Parties may have concerning the merger of their two agreements, should there be a dispute over the grievance procedure, or any other matter, it can be addressed after the Parties have had an opportunity to discuss the matter. The Union reserves all rights it may have concerning the Village's newly presented proposal.

	shall strike first shall be determined by coin flip and each party shall alternatively strike names until one (1) name remains and that person shall be the arbitrator. It is provided that each party, before striking any names, shall have the right to reject one (1) panel of arbitrators. The arbitrator shall be notified of selection by a joint letter from the Village and the Union. b. The arbitrator shall have no right to amend, modify, nullify, ignore, add to, or subtract from the provisions of this Agreement. The arbitrator shall consider and decide only the specific issue submitted, and the decision and award shall be based solely upon an interpretation of the meaning or application of the terms of this Agreement to the facts of the grievance presented. The Parties may agree to consolidate grievances involving similar matters before a single arbitrator. The decision of the arbitrator shall be final and binding on the Village, the Union, and the employee or employees involved. The cost of the arbitration, including the fee and expenses of the arbitrator, shall be borne mutually by the Union and the Village, except each party shall be responsible for the expenses of its representatives.	

VIII. STATEMENT OF FACTS

A. Introduction

The Oak Lawn Professional Firefighters Association, Local 3405, IAFF (the "Union" or "Association") consists of 2 Bargaining Units, the Firefighters/Paramedics Unit and the Officers Unit, who are employed by the Village of Oak Lawn (the "Village" or the "Department") and are involved in the instant Interest Arbitration. The Firefighter Unit consists of a total of 61 members as follows: 8 Firefighters, 24 Firefighter/Paramedics, 17 Engineers, and 12 Lieutenants. The Officer Unit consists of 9 members as follows: 3 Battalion Chiefs, 3 Captains, 2 Bureau Chiefs, and one Assistant Chief. The Officer Bargaining Unit and the Firefighter/Paramedic Bargaining Unit were operating as separate Units until the Labor Board recently ruled that the 2 Units have always been one single Unit. *Village of Oak Lawn*, 32 PERI ¶ 137, S-UC-15-093, 096 (ILRB 2016). (Er. Ex. 49A; Un. Ex. 7, Tab 13)

The previous collective bargaining agreements, as separate Units, were effective January 1, 2012 through December 31, 2014. The instant Interest Arbitration concerns the Collective Bargaining Agreements (the "contracts") that will succeed the Contracts that expired on December 31, 2014. The parties waived the tripartite arbitration panel provided for in Section 14 of the Illinois Public Labor Relations Act (the "Act") and agreed that this Arbitrator would serve as the sole Arbitrator. (Jt. Ex. 1, 2 at 53, 3 at 48; Un. Ex. 7, Tab 6 at 53, Tab 7 at 48)

The Village also has 3 other public safety bargaining units, which are also Interest Arbitration units. The Metropolitan Alliance of Police, Chapter #309 represents the Village's Police Officers, which consists of approximately 82 employees. The Metropolitan Alliance of Police, Chapter #351 represents the Village's Detention Officers, and consists of approximately 9 bargaining unit employees. The Oak Lawn Police Supervisors' Association, which is affiliated with the Illinois FOP Labor Council, represents the Village's Police Sergeants and Lieutenants and consists of approximately 26 bargaining unit employees. All 3 contracts are in effect from January 1, 2015 to December 31, 2018. (Er. Ex. 49A (2); Un. Ex. 5, Tabs 18, 21)

The Village also has 2 non-public safety, non-Interest Arbitration bargaining unit contracts. The International Union of Operating Engineers, Local 150 ("Local 150") represents the Village's Crew Chiefs, and consists of approximately 7 bargaining unit employees. Local 150 also represents a residual unit of employees, including, but not limited to public works employees and records clerks, and consists of approximately 70 bargaining unit employees. Both Local 150 contracts are in effect January 1, 2015 through December 2018. (Er. Ex. 49A (2))

B. <u>Description of the Village</u>

The Village of Oak Lawn is a home rule community with a stable population of approximately 57,000. The Village is located approximately fifteen miles southwest of downtown Chicago in Cook County. The Village government consists of a Village President, also known as the Mayor, 6 trustees elected by district, and the non-voting Village Clerk. Mayor Sandra Bury was elected on April 9, 2013. The Village has a village manager form of government. Larry Deetjen is the Village Manager. Brian Hanigan is the Village's Finance Director. (Er. Ex. 40A, 40B; Un. Ex. 7, Tab 1 at 3-5)

The Village Fire Department consists of 3 Stations. The Department includes one Fire Chief, Chief George W. Sheets, and an Assistant Chief. The Department's hierarchy adheres to the following chain of command: Firefighter → Firefighter/Paramedic → Engineer → Lieutenant → Captain → Battalion Chief → Assistant Chief → Fire Chief. There are also the 3 Bureau Chief Positions of Bureau Chief of Fire Prevention & Public Education, Bureau Chief of Emergency Medical Services, and Bureau Chief of Training/Safety. The Bureau Chief of Training/Safety position has been vacant since July 15, 2015, when Bureau Chief James McGeever retired. (Er. Ex. 45; Un. Ex. 7, Tab 1, Tab 2 at 6; Tr. 41, 533, 724)

The 3 Stations contain fire equipment consisting of 2 engines, one quint, 3 ambulances and one squad. The Fire Units work the traditional Firefighter schedule of 3 shifts, Red, Black, and Gold, consisting of 24 hours on-duty, followed by 48 hours off-duty. The Bureau Chiefs, Assistant Chief, and Fire Chief work an 8-hour day shift, Monday through Friday. (Un. Ex. 7, Tab 2 at 8, 9; Tr. 724-726, 1180)

C. <u>Bargaining History Leading to this Interest Arbitration</u>

As noted above, the prior Contract between the parties expired on December 31, 2014.

The parties have a long and extensive collective bargaining relationship, spanning more than 35 years for both Bargaining Units. Since 1981, the Fire Units have entered into 17 contracts with the Village. Since at least the early 1980s, certain of the Fire Department employees have been organized in the form of an association. From at least November 6, 1981 until January 1, 1987, the Oak Lawn Professional Fire Fighters Association was the exclusive representative of one historical bargaining unit of all uniformed employees of the Fire Department including a number of ranks, and other administrative ranks, excluding the Fire Chief. Between January 1, 1987 and January 15, 1992, the Union was the exclusive bargaining representative of 2 historical units: one including employees in the Firefighter and other ranks, while the other unit included employees known as the "Officers Committee". On January 15, 1992, the Union became affiliated with the International Association of Firefighters ("IAFF"), and Local 3405 was certified by the Illinois Labor Relations Board ("Board") as the exclusive bargaining representative of the 2 Units. (Un. Ex. 5, Tabs 1-15; Un. Ex. 7, Tabs 4, 5 at 2, 3, 6-7)

On January 16, 2015, the Union filed a petition for Unit Clarification ("UC") with the Board seeking to merge the Firefighter Unit and the Officer Unit into one Unit. The Village objected to the Union's petition and filed its own Unit Clarification petition with the Board, seeking to remove the Assistant Chief and Battalion Chief positions from the Officer Unit on the grounds that they were supervisors. (Un. Ex. 7, Tab 5 at 1)

On December 21, 2015, an Administrative Law Judge (the "ALJ") of the Board held that the Union is the exclusive representative of one historical Unit because the Village had recognized the Union as the exclusive representative of a combined Unit of Firefighter supervisors and non-supervisors as of January 1, 1986, the effective date of the Illinois Public Labor Relations Act's Peace Officer and Firefighter amendments of 1985. Therefore, the ALJ held that the Firefighter Unit and the Officer Unit are one historical Unit. The Village did not appeal the ALJ's decision, and on February 9, 2016, the Order of the ALJ became final and binding on the parties. Pursuant to the Board's Order, the Unit includes all uniformed employees of the Fire Department in the ranks of Firefighter, Paramedic, Lieutenant/Shift Commander, Captain, Deputy Fire Chief, and other administrative ranks, excluding the Fire Chief. (Un. Ex. 7, Tab 5 at 1, 7-8, 13)

1. <u>History of Prior Interest Arbitrations</u>

The parties have invoked Interest Arbitration for 2 predecessor contracts. The 2003-2006 contract covering the Firefighter Unit was the result of an Interest Arbitration proceeding before Arbitrator Marvin Hill. The 2012-2014 contracts covering both the Firefighter and Officer Units were the result of an Interest Arbitration proceeding before Arbitrator Edwin Benn. In 2014, Arbitrator Benn awarded the Union's final offer on Retroactivity (*status quo*), Minimum Manning (*status quo*), Wellness Fitness Initiative (*status quo*), Education and Training (*status quo* – no 2 tiered benefit), and Health Insurance (*status quo*). (Un. Ex. 5, Tab 12; Un. Ex. 7, Tab 8)

2. <u>The Parties' Negotiations Preceding the Instant Interest Arbitration</u>

On September 17, 2014, the Village re-opened negotiations for the Firefighter and Officer Contracts. On September 18, 2014, the Union notified the Village that the Union intended to negotiate successor Contracts for both Units. (Un. Ex. 7, Tabs 9-10)

On November 6, 2014, the Union sent letters to the Federal Mediation and Conciliation Services ("FMCS") requesting assistance in resolving the terms of the successor Contracts, thereby preserving retroactivity prior to the commencement of the January 1, 2015 fiscal year. On November 10, 2014, the Village joined the request for the Officer Contract. On January 16, 2015, the Union filed a Unit Clarification petition with the Board seeking to merge the Firefighter Unit and the Officer Unit. (Un. Ex. 7, Tabs 5, 11)

On January 29, 2015, the parties signed Ground Rules for negotiations. Although the Union requested a single set of bargaining for the Firefighter and Officer negotiations, the Village requested that the parties meet separately, each utilizing a separate law firm, for the Firefighter and Officer negotiations. (Tr. 647-649)

Also on January 29, 2015, the Village submitted its initial proposal for the Firefighter Unit. The Village proposed deleting the requirement that the Village not contract out Bargaining Unit work, creating a 2-tiered system for education incentive, creating a 2-tiered system for tuition reimbursement, deleting language that allows Paramedics to decertify, requiring all employees to obtain paramedic licensure, reducing minimum manning per shift, deleting language that requires the Village to maintain a certain number of employees in the ranks, deleting safety language from the minimum manning clause, implementing a residency requirement, increasing employee contributions to health insurance, and increasing employee contributions to retiree health insurance. On February 11, 2015, the Village submitted its initial proposal for the Officer Unit. The proposal was identical to that given to the Firefighter Unit. (Un. Ex. 7, Tabs 15-16)

On February 26, 2015, the Village submitted its amended initial proposal for the Firefighter Unit. The Village proposed creating a 2-tiered wage scale, with a 0% increase for 2015 and a 1.5% increase for 2016. (Un. Ex. 7, Tab 17)

Also on February 26, 2015, the Union submitted its first proposal and counterproposal to the Village's January 29, 2015 and February 11, 2015 proposals for the Firefighter and Officer Units. The Union proposed modifying provisions, where applicable, in order to merge the Firefighter and Officer Contracts into one contract. The Union also proposed a 3-year contract. Additionally, the Union proposed an across-the-board 3% wage increase for each year of the 2015-2017 contract. The Union rejected all of the Village's offers. The Union proposed retaining the *status quo* for education incentive, tuition reimbursement, the paramedic program, minimum manning, residency, health insurance, and retiree insurance. The Union asserted that the Village's proposal to delete the requirement that the Village not contract out Bargaining Unit work was permissive. The Union also contended that the Village's proposal to implement a residency requirement was illegal and/or permissive. (Un. Ex. 7, Tab 18)

At the February 26, 2015 negotiation session for the Firefighter Unit, the parties reached a tentative agreement for Article VII, Section 7.1, "No Repeal of Fire and Police Commissioners". The same tentative agreement was reached for the Officer Unit at the March 19, 2015 negotiation session for the Officer Unit. (Un. Ex. 7, Tab 33)

On March 11, 2015, the Village submitted an offer to the Firefighter Unit, in which the Village withdrew its proposals for vacation, additional benefits, light duty, duty trades, use of prior discipline, and layoff and recall. On March 19, 2015, the Village submitted an identical offer to the Officer Unit. (Un. Ex. 7, Tabs 19, 22)

Also on March 11, 2015, the Village submitted a package counter offer to the Firefighter Unit. The Village proposed creating a 2-tiered wage scale with a 0% wage increase for 2015 and a 2% wage increase for 2016, creating a 2-tiered system for education incentive, creating a 2-tiered system for tuition reimbursement, deleting language that allows Paramedics to decertify, requiring all employees to maintain paramedic licensure, reducing minimum manning per shift, deleting safety language from the minimum manning clause, implementing a residency requirement, increasing employee contributions to health insurance, and increasing employee contributions to retiree health insurance. On March 19, 2015, the Village submitted an identical package counter offer to the Officer Unit. The parties agreed that no additional issues could be added at the Firefighter Unit negotiations. (Un. Ex. 7, Tabs 20-21, 23)

On April 8, 2015, the Union submitted its 2nd proposal and counterproposal to the Village's March 11, 2015 and March 19, 2015 package proposals for the Firefighter and Officer Units. The Union resubmitted its proposal to modify provisions, where applicable, in order to merge the Firefighter and Officer Contracts into one contract. The Union also resubmitted its proposal for a 3-year contract. The Union reduced its wage increase proposal to an across-the-board 2.75% wage increase for each year of the 2015-2017 contract. The Union again rejected all of the Village's offers, and again proposed the *status quo* for education incentive, tuition reimbursement, the paramedic program, minimum manning, residency, health insurance, and retiree insurance. The Union repeated its contention that the Village's proposal to implement a residency requirement was illegal and/or permissive. (Un. Ex. 7, Tab 24)

At the April 8 session, the Village also submitted 2 package counter offers to the Firefighter Unit. In its Offer #1, the Village proposed that it would accept the Union's proposal to merge both Bargaining Units into a single Unit, and withdraw its opposition to the Union's Unit Clarification petition, in exchange for a phased-in reduction in minimum manning to 18 Bargaining Unit members. The Union rejected the offer. (Un. Ex. 7, Tab 25)

In its Offer #2, the Village proposed a 0.50% wage increase for 2015 and a 2.25% wage increase for 2016. However, the Village maintained its proposal for the creation of a 2-tiered wage scale, and again proposed creating a 2-tiered system for education incentive, creating a 2-tiered system for tuition reimbursement, deleting language that allows Paramedics to decertify, requiring all employees to maintain paramedic licensure, implementing a residency requirement, increasing employee contributions to health insurance, and increasing employee contributions to retiree health insurance. The Union also rejected this offer. (Un. Ex. 7, Tab 25)

Later on April 8, 2015, the Village submitted a Revised Offer #1, in which the Village reinserted a residency requirement; otherwise, the Revised Offer #1 was identical to its original Offer #1. The Union rejected the offer. (Un. Ex. 7, Tab 26)

During the April 8, 2015 negotiation session, in response to the Village's proposals to reduce minimum manning, the Union raised the issue of an appropriate *quid pro quo* to maintain the current contract language on minimum manning. Village counsel responded that the Village would need economic concessions. (Un. Ex. 7, Tab 27; Tr. 656)

On April 21, 2015, the Union notified the Village that the Union was unwilling to engage in concession bargaining, and thus the parties were at impasse. The Union also notified the Village that the Union was requesting the appointment of a mediator through FMCS to assist the parties in resolving their successor contract. The Union requested that the Village join the Union's request, and the Village did so. On April 27, 2015, the Union officially requested the appointment of a mediator through FMCS for the Firefighter Unit. FMCS Mediator Joseph Dula was appointed to mediate the Firefighter Unit. Mediation was scheduled for June 29, 2015. (Un. Ex. 7, Tab 27)

Subsequently, the parties agreed that June 2, 2015 would be the last day for either party to submit additional proposals for the Officer Unit. On June 2, 2015, the Union submitted a proposal to add to the Officer Unit contract a new Section entitled, "Extra Duties and Responsibilities." Also on June 2, 2015, the Village submitted 2 package offers to the Officer Unit, which were identical to the 2nd and 3rd package offers submitted to the Firefighter Unit on April 8, 2015. The Union rejected the offers. (Un. Ex. 7, Tabs 28-29)

On June 25, 2015, the Union requested that Mediator Dula mediate both the Officer and Firefighter Units at the same time. The Village opposed the request for a joint mediation and submitted 2 additional package offers to the Firefighter Unit. On June 26, 2015, the Union rejected the Village's proposals. On June 29, 2015, the parties engaged in mediation for the Firefighter Unit. (Un. Ex. 7, Tabs 27-28, 30-31)

3. <u>The Village Invokes Arbitration</u>

On July 14, 2015, the Village invoked Arbitration for the Firefighter Unit. On July 14, 2015, the FMCS informed the parties that it had received the Village's request for Interest Arbitration, and the next day sent the parties a list of Arbitrators. The Union also informed the Village that it contended that there should be a single Interest Arbitration for both the Officer and Firefighter Units. The Union further contended that in the event that the Labor Board certifies a single Bargaining Unit pursuant to the UC, the same Interest Arbitrator will arbitrate both Units. (Un. Ex. 7, Tabs 14, 34, 35, 36, 37)

On July 29, 2015, the parties received an arbitration panel from FMCS. On August 27, 2015, the Union notified the Village that the Union would be rejecting the FMCS panel. The Union again requested that both Units proceed together at Interest Arbitration. An additional panel was provided by the FMCS, and on September 28, 2015, the Union rejected the panel. (Un. Ex. 7, Tabs 39, 40, 43)

In the interim, on August 26, 2015, the parties engaged in mediation for the Officer Unit, which was similar in nature to that of the June 29, 2015 Firefighter Unit mediation. (Un. Ex. 7, Tab 14; Tr. 651)

On September 21, 2015, the Village invoked Arbitration for the Officer Unit. On December 8, 2015, this Arbitrator was appointed as Interest Arbitrator for the Firefighter Unit and the Officer Unit. (Un. Ex. 7, Tabs 14, 41-42, 44)

4. <u>The Village's Petition for Declaratory Ruling Regarding Residency</u>

On April 26, 2016, the Village requested that the Union join the Village in filing with the Board's General Counsel a joint request for Declaratory Ruling regarding the issue of residency. In its request to the Labor Board, the Village indicated that the parties were requesting a determination regarding the status of the parties' respective residency proposals. The Union contended that the Village's residency proposal was illegal. Further, the Village believed that the Union's residency proposal was permissive. The Union did not join in the Village's request and on May 5, 2016, the Village filed the unilateral petition for a Declaratory Ruling with the General Counsel of the Board. (Un. Ex. 7, Tabs 19-20, 22-23, 25-26, 29-30, 32, 45-46)

On July 1, 2016, the General Counsel issued a Declaratory Ruling. The General Counsel found that the Village's proposal on residency was a mandatory subject of bargaining, while the Union's proposal on residency was a permissive subject of bargaining. The General Counsel also found that paramedic certification/decertification is a mandatory subject of bargaining. (Un. Ex. 7, Tab 46C at 10-16)

Subsequently, on July 27, 2016, the Union filed a Complaint for Declaratory Judgment in the Circuit Court of Cook County seeking a determination from the Court, that under the provision of the Illinois Municipal Code and the Illinois Constitution:

> 1. the Village is precluded from attempting to impose residency requirements on Bargaining Unit employees hired prior to the issuance of the Arbitrator's Award
>
> 2. the Village's residency proposal is an illegal subject of bargaining
>
> 3. the Village's attempt to impose residency requirements on current Bargaining Unit employees is in excess of its constitutional home rule authority.

5. <u>The Parties Exchange Lists of Issues and Final Offers</u>

In the interim, on May 10, 2016, the parties exchanged lists of issues for Interest Arbitration. The Union's list included the 3 issues of wages, termination and legality clauses, and hours of work and overtime. The Village included 8 issues, namely wages, residency, minimum manning, paramedic certification/decertification, health insurance for current employees, health insurance for retirees, education incentive, and tuition reimbursement. On May 24, 2016, the parties exchanged their pre-Hearing offers for Interest Arbitration. (Un. Ex. 7, Tabs 47-48, 52-53)

On June 1, 2016, the parties exchanged final offers for Interest Arbitration. They also reached tentative agreements for Article V Wages and Benefits Section 5.1.b. Retroactivity, and Article XI Termination and Legality Clauses Section 11.5. Termination. (Jt. Ex. 4-5; Un. Ex. 7, Tabs 33, 59-60)

D. <u>The Statutory Factors</u>

The Bargaining Unit in the instant case consists of sworn employees who are unable to strike, and is therefore covered by Section 14 of the Illinois Public Relations Act. Section 14(h) of the Act obligates the Arbitrator to consider the following factors in reaching a decision:

> (h) Where there is no agreement between the parties, or where there is an agreement but the parties have begun negotiations or discussions looking to a new agreement or amendment of the existing agreement, and wage rates or other conditions of employment under the proposed new or amended agreement are in dispute, the arbitration panel shall base its findings, opinions and order upon the following factors, as applicable:

Section 14(h) of the Act requires that the Interest Arbitrator base its decision upon the following criteria, as applicable:

> (1) The lawful authority of the employer.
>
> (2) Stipulations of the parties.
>
> (3) The interests and welfare of the public and the financial ability of the unit of government to meet those costs.
>
> (4) Comparison of the wages, hours and conditions of employment of the employees involved in the arbitration proceeding with the wages, hours and conditions of employment of other employees performing similar services and with other employees generally:
>
> (A) In public employment in comparable communities.
>
> (B) In private employment in comparable communities.
>
> (5) The average consumer prices for goods and services, commonly known as the costs of living.
>
> (6) The overall compensation presently received by the employees, including direct wage compensation, vacations, holidays and other excused time, insurance and pensions, medical and hospitalization benefits, the continuity and stability of employment and all other benefits received.

(7) Changes in any of the foregoing circumstances during the pendency of the arbitration proceedings.

(8) Such other factors, not confined to the foregoing, which are normally or traditionally taken into consideration in the determination of wages, hours and conditions of employment through voluntary collective bargaining, mediation, fact-finding, arbitration or otherwise between the parties, in the public service or in private employment.

Each of these factors is relevant, although no one factor is determinative. An Arbitrator has discretion to rely on some factors more heavily than others where appropriate. The Statute does not rank the factors in importance. In *City of Decatur and International Association of Firefighters,* Local 505, S-MA-29 (Eglit 1986), Arbitrator Eglit observed that the importance of each statutory factor is not ranked: "… moreover, the statute makes no effort to rank these factors in terms of their significance, and so it is for the panel to make the determination as to which factors bear most heavily in this particular dispute." Thus, some of the statutory factors may be deemed more significant than others, depending upon the issues and the evidence presented. *See also City of Waukegan and MAP, Waukegan Police Sergeants, Chapter No. 285*, S-MA-07-092 (Martin, February, 2008).

IX. DISCUSSION

A. Introduction

As noted above, the 10 issues submitted to the Interest Arbitrator for resolution are:

1) **WAGES (Joint Issue) - Economic**

2) **MINIMUM MANNING (Village Issue) - Economic**

3) **EXTRA DUTY PAY (Union Issue) - Economic**

4) **HEALTH INSURANCE (Village Issue) - Economic**

5) **RETIREE HEATH INSURANCE (Village Issue) - Economic**

6) **EDUCATION INCENTIVE (Village Issue) - Economic**

7) TUITION REIMBURSEMENT (Village Issue) - Economic

8) PARAMEDIC CERTIFICATION (Village Issue) - Economic

9) RESIDENCY (Village Issue) - Non-Economic

10) GRIEVANCE PROCEDURE/MERGER OF THE BARGAINING UNITS (Joint Issue) - Non-Economic

After a review of all of the evidence, stipulations, exhibits, testimony, post-Hearing briefs and all of the factors contained in Section 14(h), the Arbitrator is making the following determinations regarding the issues at hand:

Wages:

The Village's offer is adopted.

Wage Schedule for January 1, 2015 – December 31, 2017 Contract	
Date	**% Increase**
January 1, 2015	**1.00%**
January 1, 2016	**2.50%**
January 1, 2017	**2.50%**
TOTAL INCREASE = 6.00%	

Minimum Manning:

The *status quo* shall remain.

Extra Duties Pay:

The *status quo* shall remain.

Employee Medical Benefits:

The *status quo* shall remain.

Retiree Medical Benefits:

The *status quo* shall remain.

Education Incentive:

The *status quo* shall remain.

Tuition Reimbursement:

The *status quo* shall remain.

Paramedic Certification:

The *status quo* shall remain.

Residency:

1. All Bargaining Unit members are required to live within the State of Illinois.

2. Any Bargaining Unit employee living outside the State of Illinois at the time of the issuance of this Award will have until the end of the contract, December 31, 2017, or any agreed upon extension thereto, to notify the Village of his/her intent to move to the State of Illinois and to provide the time frame for said move to the State of Illinois.

3. This matter is currently being litigated by the parties. In the event that a court of competent jurisdiction issues a final order indicating that the Union's proposal, that is, the *status quo*, is legal under State of Illinois law, this provision shall be null and void and the *status quo* shall be immediately reinstated.

4. This provision shall not constitute a *status quo* for subsequent negotiation and Interest Arbitration purposes.

Grievance Procedure/Merger of the Bargaining Units:

The Union's offer is adopted.

B. Positions of the Parties and Analysis

1. Wages (Economic)

The parties' proposals on wages are as follows:

ISSUE	VILLAGE OFFER	UNION OFFER
Article V, Section 5.1(a), Salaries; Appendix A (Firefighter Unit) and Appendix G (Officer Unit)	To award wage increases as follows: January 1, 2015 1.0% January 1, 2016 2.5% January 1, 2017 2.5% **Total Increase 6.0%**	January 1, 2015 2.25% January 1, 2016 2.25% January 1, 2017 2.25% **Total Increase 6.75%**

a. **The Village's Position**

The Village contends that under the current Contract, the average Bargaining Unit shift employees' annual base wage (24/48 schedule) is $93,418.41, and the average hourly base wage is $35.64. For those assigned to a traditional 40 hour work week, the average base wage is $101,167.20, and the average hourly rate of pay is $51.52. The total amount of base wages for shift and day Bargaining Unit employees is $6,888,288.00. Thus, the cost of a 1% across-the-board wage increase would be approximately $68,882.88. This excludes roll-up costs, including, but not limited to employment taxes, pension costs, and overtime. Therefore, under the Village's final offer, base wages will increase by $932,979 over the life of the new contract. Factoring in step increases, the Village contends that this is the equivalent of a 13.54% cumulative wage increase over the life of the 3-year contract. The Village argues that the Union's wage proposal is approximately $214,128 more expensive than the Village's wage proposal, without roll-up. (Er. Ex. 56, 59)

On the merits of its proposal, the Village first notes that among the significant criteria that the Arbitrator must consider is the cost of living, or CPI. (5 ILCS 315/14(h)(5)). The cost of living factor strongly supports the Village's proposal on wages. The Village argues that this Arbitrator has previously found the

CPI to be the most compelling factor of the Section 14(h) factors. *See County of Lake and Lake County Sheriff's Department*, Case No. S-MA-11-066, at 24 (Bierig, 2012). Illinois Arbitrators have repeatedly recognized the significance of cost of living data in the wage analysis for purposes of Interest Arbitration. The Village contends that where both parties' final offers exceed the cost of living, Arbitrators have recognized that the final offer closest to the cost of living should prevail. S*ee also City of Burbank*, Case No. S-MA-97-56, pp. 9-11 (Goldstein, 1998).

Arbitrator Ed Benn has indicated that "… for comparability purposes, my focus has been on the best indicator of how the economy is doing – i.e., the cost of living factor. " *County of McHenry & IL FOP Labor Council*, S-MA-11-004, p. 131 (Benn, 2012); S*ee Also Highland Park and ICOPS*, Arb. Ref. 13,340, p. 19 (Benn, 2014). See Also *County of Lake and Lake County Sheriff's Department*, Case No. S-MA-11-066, p. 24 (Bierig, 2012).

The Village notes that its final offer is closer to the changes in the CPI-U. Looking to the first 2 years of the new contract where the cost of living is settled, the CPI-U decreased by 0.1% in 2015 and increased by 1.4% in 2016. For this same time period, the Village has offered a 3.5% increase, whereas the Union has offered a 4.5% increase.

DATE RANGE	**CPI-U (ALL CITIES) 12-MONTH CHANGE**	**VILLAGE PROPOSAL**	**UNION PROPOSAL**
January 1, 2015	**-.10%**	**1.00%**	**2.25%**
January 1, 2016	**1.40%**	**2.50%**	**2.25%**
January 1, 2017	**2.10%**	**2.50%**	**2.25%**
TOTAL	**3.40%**	**6.00%**	**6.75%**

(Er. Ex. 74)

The data shows that while both parties have tendered final offers that are above the CPI, the Village's proposal is considerably closer to the CPI during the life of this contract. In fact, the Village offers a significant wage increase in the first year of the contract where the cost of living was a negative number. Furthermore, the anticipated increases in the CPI during the remainder of the 3-year contract ending December 31, 2017, also support the Village's final wage offer. The CPI for January 1, 2017 is based upon the Federal Reserve Bank of Philadelphia's Survey of Professional Forecasters. Interest Arbitrators have relied almost exclusively on this particular CPI forecast tool. As Arbitrator Benn recently observed, "Although not always completely accurate, the forecasters are the best tool interest arbitrators have to look at future years in collective bargaining agreements for examination of the cost of living factor – and the *Survey of Professional Forecasters* remains one of the most respected." *Cook County Sheriff/County of Cook*, Case No. L-13-005-008 (Benn, 2016); S*ee Also City of Collinsville*, Case No. S-MA-12032 (Nielsen, 2013); *City of Chicago*, Case No. L-MA-12-005 (Bierig, 2013). In summary, the Village's wage offer over the 3 fiscal years in question is closer to the actual and forecasted changes in CPI than the Union's wage offer.

Next, the Village argues that another applicable factor is the overall compensation currently received by the Bargaining Unit employees, including direct wage compensation. *Village of Skokie*, Case No. S-MA-10-197 at 13 (Benn, 2014). During the life of the new contract, under the Village's wage proposal, a number of employees will be receiving wage increases greater than the 6% offered by the Village because of the step pay plan.

The Village also raises the internal comparability factor:

> An internal pattern satisfies the statutory aim of duplicating, as nearly as possible, what the results of voluntary settlement would have been. Further, sound labor relations policy dictates adherence to internal patterns, since breaking a pattern through the arbitration process will tend to discourage voluntary settlements and lead to dissension within the workforce. In short, there is a very strong presumption in favor of an offer which is consistent with the settlements reached through bargaining with other City units.
>
> *City of Marshfield*, Decision No. 25298-A, p. 15 (Nielsen, 1988)

According to the Village, an examination of the wage increases negotiated and offered to the Village's other employee groups supports awarding the Village's final offer. See *City of Evanston*, FMCS No. 95-11910, p. 21 (Grenig, 1996). The Village's proposal in this Arbitration is directly in line with to the wage increases negotiated by the Village's 3 other Interest Arbitration units:

EMPLOYEE GROUP	2015	2016	2017	2018
IL FOP Labor Council - Supervisors	1%	2.5%	2.5%	2.5%
MAP No. 309 - Police Officers	1%	2.5%	2.5%	2.5%
MAP No. 351- Detention Officers	1%	2.5%	2.5%	2.5%
Village Proposal	1%	2.5%	2.5%	NA

(Er. Ex. 60)

In fact, the Village's final offer is also generally in line with, and slightly exceeds, the wage increases for the Village's non-Interest Arbitration bargaining units:

EMPLOYEE GROUP	2015	2016	2017	2018
IUOE Local 150- Residual Unit	1%	2%	2.5%	2.5%
IUOE Local 150 - Crew Chiefs	1%	2%	2.5%	2.5%
Village Proposal	1%	2.5%	2.5%	NA

While the Village's wage proposal would maintain the pattern of internal comparability, the Union's proposal would grant higher wage increases to Firefighters than the other voluntary settlements.

Turning next to the external comparability, as Arbitrator Briggs stated in *Calumet City and FOP*, "Unions and municipal employers routinely consider percentage increases achieved in other jurisdictions when wrestling at the bargaining table with the question of what would be a fair increase in their own situation." Case No. S-MA-99-128, p. 48 (Briggs, 2000). The Village argues that between 2012 and 2014, the average wage increase obtained by the Oak Lawn Firefighters has been markedly higher than the wage increases of the comparable jurisdictions. In addition, the Village's final wage offer in this matter is nearly identical to the average wage increases offered by comparable jurisdictions and known at the time of the Hearing:

Jurisdiction	2012	2013	2014	Total
Average External Comparables	2.35%	2.23%	2.33%	6.91%
Oak Lawn	3.50%	2.50%	2.50%	8.50%

Jurisdiction	2015	2016	2017	Total
Average External Comparables	2.19%	2.00%	1.83%	6.02%
Village Proposal	1.00%	2.50%	2.50%	6.00%
Union Proposal	2.25%	2.25%	2.25%	6.75%

(Er. Ex. 61)

Under the Village's final offer, the Oak Lawn Firefighters will have obtained a 1.57% greater than average wage increase, in comparison to the external comparables over the course of at least 2 contract periods:

Percentage Wage Increases	2012 – 2014	2015 – 2017	Total
Average of Externals Comparables, Excluding Oak Lawn	6.91%	6.02%	**12.93%**
Oak Lawn Final Offer	8.50%	6.00%	**14.50%**
Union Final Offer	8.50%	6.75%	**15.25%**

The Village contends that its final offer exceeds the average percentage increases for the external comparables over the last 2 contract periods. The Village's final offer for the 2015 – 2017 contract in conjunction with the wages issued in the prior contract year (14.50%) more nearly approximates the average percentage increases obtained by personnel in comparable communities (12.93%) than does the Union's final offer.

Regarding employee career earnings and top pay, the Village argues that its final offer maintains or improves among the comparables. For example, in 2014, the Village's Firefighter/Paramedics ranked 3 of 13 in career earnings. Further, the Village's Firefighter/Paramedics maintain their rank in 2015 at 3 of 10. With the understanding that the pool of available data is limited in 2016 and 2017, the Village's positioning under its final offer improves to 2 of 6 in 2016 and to 1 of 4 in 2017. The available data demonstrates that the Village would maintain a similar positional ranking trend with respect to top pay considering the Village's Fire Engineers, Fire Lieutenants, and Fire Captains. (Er. Ex. 62, 68, 69, 70)

Both the Village and the Union included comparability data for the Village's Firefighters. However, because Oak Lawn Firefighters are required to be Paramedics when hired, and because the most populous position in this Bargaining Unit is that of Firefighter/Paramedic, the Village will focus its analysis on Firefighter/Paramedics. According to the Village, it is not appropriate to consider the positional ranking of the Village based on the job of a Firefighter because at least the first decade of a Firefighter's career is spent as a Firefighter/Paramedic. However, assuming, *arguendo,* this Arbitrator considers the Village's positional ranking among the comparables in light of the career earnings and top pay of Oak Lawn's Firefighters, the Village nonetheless ranks 5 of 9 in 2015 in terms of career earnings, improves to 3 of 6 in 2016, and 2 of 6 in 2017. Further, regarding top pay, the Village's position stays constant at 6 of 12 in 2015, improves to 4 of 6 in 2016, and 2 of 4 in 2017. (Er. Ex. 66)

The Village argues that a number of external comparability exhibits presented by the Union are faulty. First, the Union's comparability exhibits must be disregarded because the data demonstrates comparability for a 12-month period as of July 1 for the respective year. This approach inappropriately lifts wage increases mid-year for certain unidentified comparable communities and overstates the increased level of wages bargaining unit employees in those jurisdictions received. The Union should have evaluated wages by looking at the comparable community wage data as of January 1 of each contract year, Oak Lawn's fiscal year for purposes of wages and benefits.

The Village further argues that the Union's external comparability exhibits with respect to the Firefighter position must also be disregarded. As noted, all new hires in the Village are hired as Firefighter/Paramedics, not Firefighters. Because the Bargaining Unit employees are not only Firefighters upon hire, nor are they Firefighters for the majority of their careers, comparing career earnings, top base pay, starting salary, and/or total compensation for Firefighters with the external comparables is inappropriate in this context.

The Village notes that the Act also indicates that the Arbitrator should consider the employees' overall compensation when deciding which proposal is the most appropriate. 5 ILCS 315/14(h)(6). While the Village's total compensation data strongly supports the Village's position, the Union's compensation analysis is flawed and should not be considered by the Arbitrator. First, the Union produced no evidence to establish that any Firefighter in any of the comparable communities actually receives the total compensation listed on the Union's total compensation exhibits. It is unlikely that the Village's Firefighters actually receive the total compensation indicated on the Union's exhibit because the Union's total compensation exhibit includes benefits that only some employees may be receiving, and then equally weighs that amount with every other benefit in order to add up to what the Union labels as total compensation.

The premium benefit listed for the comparables in Union Exhibit 10, Tab 8 and Tab 16 is incorrectly calculated, based on the assumption that every Firefighter in every comparable community receives benefits such as tuition reimbursement and/or education pay, among other special benefits. There was no evidence at the Hearing to show what exactly the Union included in its premium benefit. The Union did indicate that the premium benefit does not include retiree health insurance or the employer's cost of employee or family health insurance coverage. The Union clarified that the premium benefit includes benefits such as education pay, tuition reimbursement, Firefighter III certification, Engineer differential, and Paramedic pay. However, there is insufficient evidence that the employees in the comparable jurisdictions receive any or all of this pay. (Tr. 918-920)

Further, the Union's inclusion of Paramedic pay in the premium benefit calculation for Firefighters is another reason to discredit the total compensation exhibits offered by the Union. The Union analyzed total compensation for Firefighters by assuming that all Firefighters in comparable communities were receiving Paramedic pay. Paramedic pay should not be credited to Firefighters who are not also Paramedics. (Un. Ex. 10, Tabs 8, 16; Tr. 922)

Finally, the Union considered 4 factors in its total compensation analysis, including career salary, holiday cash benefit, premium pay, and annual hours of work; however, the Union excluded 3 important factors from its analysis, including paid vacation hours, the employer's health insurance cost, and the annual value of the cost of retiree insurance. The Village's total compensation analysis includes all of these important factors. (Er. Ex. 71; Un Ex. 10, Tabs 8 and 16)

The Village rejects the Union's argument that health insurance benefits are not a compensatory benefit. The Village argues that health insurance is compensatory and most certainly an economic benefit and a significant source of compensation for employees.

The Village concludes that its total compensation data strongly supports its final offer. The data shows that when the value of the Village's portion of employee/retiree health insurance, as well as paid vacation hours are considered, the Village ranks 2 of 15 among external comparables regarding total compensation for Firefighter/Paramedics.

The Village next argues that among the criterion used in Interest Arbitration cases to determine whether salaries and benefits are competitive is the ease or difficulty in attracting qualified applicants, as well as the turnover rate. Arbitrator Briggs stated in *Village of Arlington Heights*:

> A third factor supporting adoption of the Village's salary offer concerns its record of attracting and retaining employees in the fire protection service. If wages were too low in relation to comparable jurisdictions, the Village of Arlington Heights would likely have experienced past difficult in recruiting qualified applicants and encouraging those hired to stay… . Overall these statistics support the conclusion that the employment packaged received by Arlington Heights Firefighters (i.e., their wages, hours and working conditions) has been generally competitive with those offered in comparable jurisdictions. Catch-up is not warranted.
>
> Case No. S-MA-88-089, pp. 22-23 (Briggs, 1991)

The testimony and exhibits presented by the Village demonstrate that the Village has not experienced difficulty in either attracting qualified applicants or in retaining Bargaining Unit employees with the its wage and benefit package. While the Union complains that some Firefighters left to work for non-comparable jurisdictions, those departures pre-date the recently expired contract, which awarded wage increase significantly in excess of both the CPI and the comparable jurisdictions. The wage and benefit package currently in place is strong enough that not one Bargaining Unit employee left the employ of the Village's Fire Department because he/she wanted to work for a different jurisdiction. (Er. Ex. 13; Tr. 44)

Last, the Village notes that Section 14(h)(3) of the Illinois Public Labor Relations Act provides that "[t]he interest and welfare of the public and the financial ability of the unit of government to meet those costs" is to be taken into account in an Interest Arbitration proceeding. 5 ILCS 315/14(h)(3). Arbitrator Edward Clark in *City of Gresham and IAFF Local 1062* (September 5, 1984) stated:

> Having observed that the City has the ability to pay an increase does not mean that the City ought to pay an increase unless it is satisfied that there will be some public benefit from such expenditure. The City exists for the service and benefit of its residents not for the benefit of its employees. The careful management which characterizes the City of Gresham in matters such as this is confirmed by the high bond rating from Moody's, the widely respected financial rating service. Residents need many services such as police, parks, street repairs, court, in addition to fire services. In our system, the elected representatives of the people of Gresham make policy decisions on the apportionment of funds among a variety of public services based upon recommendations of its professional staff. The City must also consider the salary expectation of other employees besides fire fighters and the reciprocal impacts from decisions relating to one classification of employee compared to another.

The Village argues that it has a finite amount of money. Pension and employment costs are continuing to rise. The Village also is at risk of losing half of its state shared income tax revenue. The growth in pension obligations has saddled Village tax payers with an additional $2.4 million in annual costs. (Er. Ex. 41A, 77)

Arbitral precedent is clear that just because an employer could pay a Union's wage demands does not mean that the employer should be compelled to give in to those demands "unless it is satisfied that there will be some public benefit from such expenditure." *City of Crest Hill*, Case No. S-MA-97-115, p. 26 (Goldstein, 1988). In the instant case, the Village is not seeking to avoid its responsibility to the citizens of the community or to Bargaining Unit members by not properly funding public safety services. As discussed by Arbitrator Meyers:

> It must be noted that even if the City has not presented sufficient evidence to establish an inability to pay under Section 14(h)(3) of the Act, the City nevertheless does face financial challenges due to the impact of current and wide-ranging economic difficulties. As this Arbitrator has found in other interest arbitration proceedings, these financial challenges do constitute one factor that "normally or traditionally" should be taken into account when considering wages, hours, and conditions of employment pursuant to Section 14(h)(8) of the Act.
>
> *City of DeKalb*, Case No. S-MA-10-366, p. 12 (Meyers, 2012)

The evidence demonstrates that the Village's offer will suffice to serve the interests and welfare of the public. Thus, the public interest is better served by the Village's final wage offer, which will place a smaller burden on the Village's budget and on its taxpayers.

Therefore, for all of the reasons mentioned above, the Village's Wage proposal should be accepted.

b. <u>The Union's Position</u>

The Union argues that the evidence supports its proposal on wages as compared to that of the Village. Specifically, the Union contends that its 6.75% proposal is supported by the following factors:

- Lack of historical parity with internal comparables
- External comparability
- Unreliability of the Village's evidence
- The consumer price index

- Defects contained in the Village's proposal
- The Village's ability to pay

First, the Union rejects the Village's assertion that its wage proposal is supported by internal parity. The Village presented a chart showing percentage wage increases given to the 3 Police bargaining units and 2 Public Works bargaining units. The Union contends that public safety units, such as Police and Firefighter units, are not comparable with non-public safety units. See *Village of Barrington Hills and Metropolitan Alliance of Police Barrington Hills Police Chapter #576*, ILRB Case No. S-MA-10-378 (McAlpin, 2013) and *County of Wabash and Illinois FOP*, ILRB Case No. S-MA-09-020 (Feuille, 2010). Public Works bargaining units have the right to strike, whereas the public safety units are prohibited from doing so, but Fire and Police units are often put at great personal risk. The Union concludes that the only appropriate internal comparable units are Police bargaining units. (Er. Ex. 60; Tr. 565-566)

The Union further notes that Arbitrator Benn's Award between these parties also negates the Village's internal parity argument. Arbitrator Benn's Award addresses the almost $900,000 in concessions given by the Union in 2009, and therefore sets the Union apart from internal comparables. The Union insists that any internal parity that may have existed between public safety units has been undermined by the Union's concessions in 2009 and 2010, and in addition, the fact that the Union received no wage increase in 2011. (Er. Ex. 60; Un. Ex. 7, Tab 8 at 42-48)

Second, the Union argues that comparison with external comparables' salaries and wage increases further supports the adoption of the Union's proposal. The comparable communities all have contracts with effective dates beginning in 2012, well after the economic downturn, with only 2 exceptions.[1] The Union's evidence proves that an "apples to apples" comparison can and should be made because the vast majority of the comparables' contracts contain wage provisions that became effective in 2012 or later. Thus, the

1 The exceptions are Lombard and Skokie, where the effective dates begin in 2011 and 2010, respectively, which is still well after the economic downturn.

Union argues that even though the economic recovery has been slow, the country is far enough removed from the economic crisis so that the relevancy of external comparables is significant.

The Union provided evidence of its past and present ranks among the external comparable communities regarding average career salary as well as overall compensation including longevity, overtime hours and pay, and holiday compensation. Because the instant issue is specific to salaries, wage comparability of those employees performing similar services is the primary emphasis of Section 14(h)(4) of the Act. The Union contends that the most relevant factors for comparison among the comparables are career wage analysis including longevity, top base salary, and average career salary. The Union argues that its wage proposal helps to improve the Union's ranking in comparison to other external comparables. (Un. Ex. 10, Tabs 1-17; Tr. 896-928)

The Union also references the Difference From Average ("DFA"), which represents the amount it would take to catch up to the average. As of 2014, the Firefighters' top base salary at that time was 0.9% below average, the Firefighter/Paramedics' top base salary was 3.1% above average, Lieutenant was 1.3% below average and Captain was 4.6% below average. Under the Union's proposal, the DFA range for Firefighters will fall in 2015 to 1.7% below average, with an improvement to 0.1% below average in 2016. (Un. Ex. 10, Tabs 2, 4, 10, 12; Tr. 898)

Regarding DFA for Lieutenants, under the Union's proposal, the DFA range will improve in 2015 and 2016 to 1.1% below average and 1.7% above average, respectively. Under the Village's proposal, the DFA range will improve in 2015 and 2016 to 2.4% below average and 0.7% above average, respectively. For Captains, under the Union's proposal, the DFA range will improve in 2015 and 2016 to 2.0% below average and 0.8% above average, respectively. Under the Village's proposal, the DFA range will improve only slightly in 2015 and 2016 to 3.3% below average and 0.2% below average, respectively. Although both parties' proposals improve the DFA for Lieutenants and Captains, the Union's proposal brings the Bargaining Unit closer to average. (Un. Ex. 10, Tabs 4, 12)

The Union contends that the Village's wage proposal causes the Union to fall behind the comparable communities because it maintains the Union's below-average standing to a greater degree. The Union contends that this is a significant factor for this Arbitrator to consider, citing *City of East St. Louis and Illinois FOP Labor Council*, ILRB Case No. S-MA-06-066 (Briggs, 2008).

Third, the Union argues that the evidence presented by the Village is unreliable and does not adequately support its wage proposal. The Union offers these specific examples:

- Village Exhibit No. 56 sets forth a summary of the parties' bargaining proposals. However, the calculations include three Bureau Chiefs when there are only two.

- The Village presented exhibits setting forth the top pay amounts of Firefighters for Oak Lawn and the comparable communities. When questioned what numbers were used for communities that do not have the rank of Firefighter, the Village indicated that it used the numbers for the rank of Firefighter/Paramedics. The Union contends that this indicates that the Village's data includes an improper comparison of Firefighters with Firefighter/Paramedics.

- Village Exhibit No. 71, a document that represents total compensation, includes a calculation of the employer's portion of health insurance premiums. The Village admitted that it does not have knowledge of the actual health insurance costs of the comparable communities. Rather, it is only aware of the percentage amounts for health insurance premiums of the comparable communities. Thus, in calculating the Employer Portion Insurance amounts for the comparable communities, the Village used its own internal health insurance costs, and then applied the percentage that each comparable community pays to the Village's costs.

- The approach outlined for employee health insurance costs was also used regarding retiree health insurance.

(Er. Ex. 66-67, 71; Tr. 561-562, 573-577, 580-583)

Fourth, the Union notes that Section 14(h)(5) of the Act requires the Arbitrator, where applicable, to base his findings and opinion upon the "average consumer prices for goods and services, commonly known as the cost of living." The Union argues that both parties' proposals significantly exceed the Consumer Price Index ("CPI"), rendering such analysis irrelevant in this proceeding.

The Union contends that for calendar year 2014, the CPI was at 1.48%. For calendar year 2015, the CPI was at 0.0%; the Union's proposed increase is 2.25% and the Village's is 1.0%. For calendar year 2016, the CPI rose by 1.29%; the Union's proposed increase is 2.25% and the Village's is 2.50%. For calendar year

2017, the projected CPI rises to 2.20%; the Union's proposed increase is 2.25% and the Village's is 2.50%. Thus, from January 1, 2015 through December 31, 2017, the CPI for all urban consumers nationally ("CPI-U") will, based on projections, increase a total of 3.50%. The Union's proposed increases make up for the cost-of-living increase and totals 6.75% for the same time period while the Village's is less than the Union's, but still above the CPI-U at 6.0%. The Union contends that the CPI is not a significant factor in this case. Each party's proposal far exceeds projected and actual CPI. (Un. Ex. 10, Tab 17)

Last, the Union contends that the Village failed to meet its burden to show an inability to pay for the Union's proposed increase. The Union first argues that Section 14(h) of the Act requires that, among the criteria to consider when evaluating parties' proposals, the Arbitrator consider "the interests and welfare of the public and the financial ability of the unit of government to meet those costs". 5 ILCS 315/14(h)(3) ("Factor 3"). The Union contends that the Village faces a heavy burden of proof to succeed under a claim that it lacks the ability to pay the Union's final offers. *Effingham Police Department and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-07-151 (McAlpin, 2009) at 8. Arbitrator Edelman summarized the employer's burden as follows:

> Factor 3 speaks of the "financial ability of the unit of government to meet these costs." The City must make a very strong showing that it does not have the financial ability to pay what the Union offers. It is not enough to say that the city's budget does not provide for the wage increase the Union seeks, or that the City's offer fits more closely to budgeted amounts.
>
> * * * *
>
> …In other words, the City must show that the Union's offer would place such a heavy burden on its finances that funds would have to be shifted from other City services to pay the Union's offer, resulting – and this is the important point – in the elimination or harmful diminution of essential City services, or extensive layoffs, or both.
>
> *City of Granite City and Granite City Firefighters Assn.*, ILRB Case No. S-MA-93-196 (Edelman, 1994) at 11. See Also *Jefferson County and Jefferson County Sheriff's Department and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-95-18 (Briggs, 1996) at 11

The Union next contends that the Village should be precluded from raising the inability to pay argument due to its failure to raise it prior to the Hearing. The Village's general fund balance has seen a 59% increase since 2012. Given the Village's failure to raise the inability to pay defense, and given the absence of a fiscal crisis, the Union contends that the Arbitrator should not even consider the Village's inability to pay argument. (Er. Ex. 40A at 152)

Several of the exhibits proffered by the Village were authored by Finance Director Hanigan. The Union notes that despite the importance of this issue, the Village did not present Hanigan as a witness. The Village's failure to produce Hanigan as a witness is significant because he would be in the best position to explain the financial data presented and provide clarification regarding the Village's financial condition. *See Simmons v. University of Chicago Hospitals and Clinics*, 162 Ill.2d 1 (1994). In the instant case, the Village failed to present its financial expert to support its inability to pay defense. Accordingly, the Union contends that a negative inference should be drawn against the Village for its failure to produce Hanigan as a witness. (Er. Ex. 21, 40A-F; Tr. 92, 112, 499-506)

The Village was unable to prove that if the Union's wage proposals were adopted, it will be forced to substantially diminish essential Village services, or implement extensive layoffs. The Village's financial situation is actually much healthier than portrayed. The Village's Comprehensive Annual Financial Report ("CAFR") for fiscal year January 1, 2014 through December 31, 2014, stated that the Village's revenues significantly increased by approximately 4.1%. Hanigan also reported a marked improvement in overall business activity. An increased number of building permits were issued, as well as increases in business openings and a decrease in business closings. (Er. Ex. 40A at ii)

The Union noted that Mayor Bury in her State of the Village Address for 2015 stated that the "State of the Village is Awesome." She noted that sales tax revenue was up, business licenses were at a record high, and pension contributions were up $1 million dollars from 2014. Mayor Bury noted that sales tax revenue in 2015 was at the highest level in the last eleven years. Mayor Bury further noted that the municipal tax levy, municipal debt, and crime were down. Regarding pensions, Mayor Bury noted that the

Village hopes to fund pensions moving forward by aggressively paying down debt and using extra available funds for pension payments. (Er. Ex. 40A at 111-117)

As reported in an article in the Daily Southdown, the Village's 2016 budget provides for a reduction in the tax levy for the third straight year. Further, the Village's general fund balance has substantially increased since 2010. Additionally, the general fund's total liabilities have decreased since 2012. (Er. Ex 40A at 114, 125, 152)

The Union counters the Village's claim that it is unable to pay due to required pension contributions. The Village introduced its 2014 and 2013 ratings by Moody's that reflect downgrades of the Village's general obligation rating and are based heavily on the Village's pension obligations. Conversely, the Union introduced the Standard & Poor's ("S&P") rating dated November 20, 2015 nearly a year and a half after the more recent Moody's rating. S & P gives an A+ rating to the Village for both new and existing debt. While S & P noted the Village's pension funding issues, it predicted that the Village's rating could improve if it improved its pension funding. (Er. Ex. 41(2); Un. Ex. 8, Tab 20 at 2, 4, 5)

The Village paid an additional $1 million in pension contributions in 2015. The Village approved a Resolution in May 2016, adopting a formal funding policy for both the Police and Firefighter pension funds. Pursuant to that Resolution, the Village will contribute an average of $474,154 in additional pension contributions over the next 10 years. (Er. Ex. 40A, 41A; Tr. 494-495)

The Village is in far better economic condition than other communities whose claims of an inability to pay have been rejected by Arbitrators. *City of East St. Louis and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-09-085 (Reynolds, 2010); *City of Venice and Int'l. Union of Operating Engineers, Local 148,* ILRB Case No. S-CA-07-108 (Finkin, 2008). Further, the Union contends that there is no evidence that the Village is precluded from other means of revenue generation, such as increasing property taxes. See Also *County of Lake*, ILRB Case No. S-MA-11-066 (Bierig, 2012). Finally, it is significant that the Village receives some of the highest amount of sales tax revenue as compared to the comparable communities. The Village failed to produce evidence to show an inability to pay. (Er .Ex. 50A2)

The evidence shows that since 2013, the Village continues to pay wage increases to its employees in spite of operating at a deficit. In *East St. Louis*, Arbitrator Reynolds found that the employer's payment of wage increases during years of deficit spending undermined its inability to pay defense. *City of East St. Louis, at* 16, 19-20.

Historical Comparison of Village Deficits and Union Wage Increases			
	2013	2014	2015
Village deficit amount	($1,700,000)	($384,460)	($377,000)
Union wage increase[2]	2.50%	2.50%	Pending
MAP wage increases	2.50%	2.50%	1.0%
FOP wage increase	2.50%	2.50%	1.0%

(Er. Ex. 60; Un. Ex. 5, Tabs 17 at 36, 18 at 46, 20 at 29, 21 at 11; Un. Ex. 7, Tabs 6 at 53-54, 7 at 48, Tab 8 at 24, 48-49)

Further, the Union contends that the Village's wage offer undermines its inability to pay argument. The Union has offered a 6.75% wage increase while the Village has offered a 6% wage increase. This amounts to a total of $214,128 difference over the term of the proposed contract. This is fundamentally inconsistent with an inability to pay defense. The Union contends that because the Village will find resources to pay for its own proposal, it is reasonable to assume that it can also find resources to fund the Union's slightly larger proposal. *City of East St. Louis and Illinois Fraternal Order of Police*, ILRB Case No. S-MA-06-066 (Briggs, 2008) at 20-21. (Er. Ex. 59; Un. Ex. 7, Tabs 59-60)

The Union also asserts that the Village's inability to pay claim is further undermined by the fact that it has agreed to wage increases with other Village bargaining units. The Village agreed to a 8.5% wage increase over 4 years for the Police units, a 6.7% wage increase over 4 years for the Detention Officers unit, an 8% wage increase over 4 years for the Crew Chiefs unit, and an 8% wage increase over 4 years for the Residual unit. (Un. Ex. 5, Tab 18 at 46, Tab 21 at 11; Er. Ex. 49(2) "Detention Officers Unit CBA" at 43; "Crew Chiefs Unit CBA" at 21; "Public Employees Division CBA" at 38)

[2] Although wage increases were granted pursuant to Arbitrator Benn's Award, it was the Village's proposed wages that were awarded. (Un. Ex. 7, Tab 8 at 24, 48-49)

The Village's preference for separate negotiations sessions for the Firefighter and Officer contracts also undermines its position in that it doubled the negotiation expenses. The Union objected to this procedure, and requested that the parties follow the historical practice of holding one set of negotiations. (Un. Ex, 7, Tab 27; Tr. 647-653)

The Union requests that its Wage proposal be implemented.

c. Wages - Analysis

In considering the wage increase proposals of both parties, I find that the statutory factors favor the Village's proposal. I base this determination on a number of factors including internal comparables, external comparables and the CPI.

First, I note that the internal public safety comparables are closer to the Village's offer than they are to that of the Union. The internal comparables are as follows:

EMPLOYEE GROUP	2015	2016	2017	2018
IL FOP Labor Council - Supervisors	1%	2.5%	2.5%	2.5%
MAP No. 309 - Police Officers	1%	2.5%	2.5%	2.5%
MAP No. 351- Detention Officers	1%	2.5%	2.5%	2.5%
Village Proposal	1%	2.5%	2.5%	NA

A comparison between the Village's offer and the internal comparables shows a consistent approach by the Village. The Village's offer of 6% over the 3 years of the contract is identical to all the relevant internal comparables. Further, I do not believe that the internal non-public safety employees are directly comparable because those units do not have the right to strike and the employees are not placed in harm's way as are public safety employees. Therefore, I have not found the wages of the non-public safety employees to be significantly relevant.

I note that internal comparables are a significant factor when reviewing public safety units. Interest Arbitrators place emphasis on the internal comparability factor:

> An internal pattern satisfies the statutory aim of duplicating, as nearly as possible, what the results of voluntary settlement would have been. Further, sound labor relations policy dictates adherence to internal patterns, since breaking a pattern through the arbitration process will tend to discourage voluntary settlements and lead to dissension within the workforce. In short, there is a very strong presumption in favor of an offer which is consistent with the settlements reached through bargaining with other City units.
>
> *City of Marshfield*, Decision No. 25298-A, p. 15 (Nielsen, 1988).

In the instant case, an examination of the wage increases negotiated and offered to the Village's other public safety employees supports the Village's final offer. The Village's proposal is in line with and identical to the wage increases negotiated by the Village's other 3 Interest Arbitration eligible units.

As to external comparables, I find that the external comparables also favor the Village. Overall, the average of the external comparables are consistent with the Village's proposal:

	2015	2016	2017	Total
Average of Externals Comparables, Excluding Oak Lawn	2.19%	2.00%	1.83%	**6.02%**
Oak Lawn Final Offer	1.00%	2.50%	2.50%	**6.00%**
Union Final Offer	2.25%	2.25%	2.25%	**6.75%**

The average of the external comparables (6.02%) is closer to the 6.00% that the Village is offering as opposed to the 6.75% offered by the Union.

The evidence shows that the Village's final offer exceeds the average percentage increases for the external comparables over the last 2 contract periods. The Village's final offer for the 2015 – 2017 contract, in conjunction with the wages issued in the prior Contract (14.50%), is closer to the average percentage increases obtained by similar personnel in comparable communities (12.93%) than that of the Union.

Further, the evidence presented shows that the Village's rank regarding career earnings and top pay remains consistent or improves among the comparables when considering the Village's final wage offer. In

2014, the Village's Firefighter/Paramedics ranked 3 of 13. Under the Village's final wage offer, Firefighter/Paramedics maintain their rank in 2015 at 3 of 10. In 2016 and 2017, the Village's position pursuant to its final offer improves to 2 of 6 in 2016 and to 1 of 4 in 2017.

I find that the Union has established that the Village does have the ability to pay. I cannot find that this fact was significantly in contention, as the evidence shows that the Village is on relatively good financial footing. I note that the Village did not argue that it did not have the ability to pay. Rather, it indicated that it wished to use its resources in the best manner possible which led to its proposals. After a comprehensive review of the fiscal situation of the Village, I find that the interests and welfare of the public, and the financial ability of the unit of government to meet the costs of the Village's proposal, do not weigh against the Village's position.

I have also reviewed the CPI and I find that it also favors the Village's offer. In light of the recent Arbitration Awards since the onset of the 2008 Recession, I find the CPI to be a factor in this case. I note that both wage proposals are in excess of the CPI for the period of 2015 through 2017. According to the Union, for calendar year 2014, the CPI was at 1.48%. For calendar year 2015, the CPI was at 0.0%; the Union's proposed increase is 2.25% and the Village's is 1.0%. For calendar year 2016, the CPI rose by 1.29%; the Union's proposed increase is 2.25% and the Village's is 2.50%. For the period of January 1, 2017 through December 31, 2017, the projected CPI rises to 2.20%; the Union's proposed increase is 2.25% and the Village's is 2.50%. Thus, from January 1, 2015 through December 31, 2017, the CPI-U will, based on projections, increase a total of approximately 3.50%.

The Village contends that CPI increases are as follows:[3]

DATE RANGE	**CPI-U (ALL CITIES) 12-MONTH CHANGE**	**VILLAGE PROPOSAL**	**UNION PROPOSAL**

[3] I note that there is a minor disagreement between the parties regarding the exact amount of the CPI for 2015 and 2016. However, it is only a minor inconsistency and does not change the result in this case.

January 1, 2015	**-.10%**	**1.00%**	**2.25%**
January 1, 2016	**1.40%**	**2.50%**	**2.25%**
January 1, 2017	**2.10%**	**2.50%**	**2.25%**
TOTAL	**3.40%**	**6.00%**	**6.75%**

I note that under either the Village or the Union proposal, the CPI is exceeded. The Union's proposed 6.75% is 3.35% above the CPI, while the Village's proposal of 6.00% is 2.60% above the CPI. Thus, the Village's proposal is more consistent with the CPI increases.

Since 2008, Illinois Arbitrators have recognized the significance of cost of living data in the wage analysis for purposes of Interest Arbitration. Where both parties' final offers exceed the cost of living, Arbitrators have indicated that the final offer nearest to the cost of living should prevail. S*ee City of Burbank*, Case No. S-MA-97-56, pp. 9-11 (Goldstein, 1998). *See Also County of McHenry & IL FOP Labor Council*, S-MA-11-004, p. 131 (Benn, 2012); S*ee Also Highland Park and ICOPS*, Arb. Ref. 13,340, p. 19 (Benn, 2014).

I note that in the instant case, the CPI is exceeded by both parties' proposals. I note that the Village offer is closer to that of the CPI, although the Union offer is not far behind. While I find that the CPI is not as significant a factor as it was during the depths of the 2008 Recession, it is nonetheless a valuable tool in the determination of an appropriate compensation offer.

Overall, based on the internal comparables, the external comparables, and the CPI, I find the Village's position to be more compelling. After a review of all the evidence, as noted above, I find that based on a compendium of the statutory factors, including, but not limited to those mentioned above, I find that the Village's proposal is the more compelling proposal. Therefore, I accept the Village's wage proposal.

2. <u>Minimum Manning (Economic)</u>

The parties' proposals on Minimum Manning are as follows:

Article VII Miscellaneous, Section 7.9	**Section 7.9 Minimum Staffing / 7.14 Minimum Staffing (Officers)**	*Status Quo* (The Union acknowledges and agrees

<table>
<tr>
<td>Minimum Manning; Section 7.14 (Officer's Agreement)</td>
<td>a. The parties recognize that for purposes of efficient response to emergency situations and for reasons of employee safety, sufficient personnel and apparatus need to be maintained in a state of readiness at all times. If the number of on duty personnel falls below the daily minimums, employees shall be hired back pursuant to Section 6.4.

b. The Village shall exercise its best efforts to maintain the following apparatus minimum manning requirements:
<table>
<tr><td>On each engine:</td><td>4 3 employees</td></tr>
<tr><td>On each ALS ambulance:</td><td>2 paramedics (EMTP)</td></tr>
<tr><td>On each BLS ambulance:</td><td>2 employees

(EMTA or EMTP)</td></tr>
<tr><td>On each squad:</td><td>~~3~~ 2 employees</td></tr>
<tr><td>Shift</td><td>one (1) employee</td></tr>
</table>

c. The Village shall exercise its best efforts to maintain at a minimum the following employees in the described ranks:

twelve (12) Lieutenants
eighteen (18) Engineers
twenty-4 (24) Firefighter/Paramedics
3 Battalion Chiefs
3 Captains
3 Bureau Chiefs

d. The Village shall exercise its best efforts to maintain at a minimum the following shift staffing requirements:

• Effective January 1, 2015: total of 21 personnel
• Effective upon the date of Arbitrator Bierig's decision: total of 20 personnel
• Effective upon January 1, 2017: total of 19 personnel</td>
<td>that it will be bound by the Court's ultimate interpretation of the current contract language.) The Court has ruled that the minimum manning per shift is 21 employees.</td>
</tr>
</table>

a. <u>The Village's Position</u>

The Village summarizes its final offer regarding this issue as follows:

1. Changing the minimum engine staffing level from 4 to 3 people per engine.

2. Updating the squad staffing level so that the written language matches the parties' historical agreement to staff with 2 people per squad, not 3.

3. Adding a new contractual commitment that the Village will exercise its best efforts to employ a minimum of 3 Bargaining Unit Bureau Chiefs, which, in addition to placing language in the contract, is an increase in the current level of only 2 Bureau Chiefs.

4. Adding language to the contract to specify the total number of employees that will be on duty at any given time. Under the Village's proposal, the on-duty staffing would be a total of 21 personnel effective January 1, 2015. Upon issuance of the Arbitrator's award, a total of 20 personnel will be on duty and a total of 19 personnel will be on duty effective January 1, 2017.

(Er. Ex. 1; Jt. Ex. 4; Tr. 46)

As a threshold matter, the Village notes that numerous Arbitration Decisions view minimum staffing levels as a significant management right. *See City of Blue Island*, Case No. S-MA-93-109, p. 7 (Kozlowski, 1993); *Village of Elk Grove Village*, Case No. S-MA-93-164 (Nathan, 1994); *City of Canton*, Case No. S-MA-90-142 (O'Reilly, 1991). In light of this perspective, the Village argues that its desired staffing proposal should prevail. In *City of Rockford*, No. S-MA-12-108 (2012), the employer sought to reduce staffing on its fire engines from 4-person crews to 3-person crews. The Rockford Fire Chief testified that he would prefer to put 4 Firefighters on every engine and ladder, and 5 on every quint. However, the Chief supported the proposal to move to 3-person engine companies because efficiency would be maximized and Firefighter safety maintained.

In *City of Rockford*, Arbitrator Goldstein observed that the system, which mandated 4-man companies, had undermined the City's efforts to bring its operation costs under control. Arbitrator Goldstein rejected the Union's safety-based arguments. While observing that safety is certainly important, Arbitrator Goldstein agreed that the Chief's preference for 4-man crews must be balanced against limited resources. Goldstein cited the employer's studies that showed that the use of 3-person companies did not adversely affect the City's ability to maintain fire safety. (*Id*. at 64, 68)

The Village also argues that the Interest Arbitration Decisions finding the establishment of staffing and service levels is a basic management right are consistent with the view that management has the right to unilaterally determine the size of crews. *See Elkouri and Elkouri, How Arbitration Works*, p. 709 (BNA 6th Ed.) While upholding an employer's right to eliminate a bargaining unit position in the absence of a Management Rights clause, Arbitrator Mittenthal explained that the decision regarding what size the work force should be is a normal function of Management. *International Salt Co*., 42 Lab. Arb. (BNA) 1188, 1190 (Arb. Mittenthal, 1964), *See Also TYK Refractories Company*, 94-2 ARB (CCH) ¶ 4482 (Arb. Sergent, 1994).

In *City of Newark, Ohio and IAFF Local 109*, SERB Case #10-MED-08-0987 (Conciliator Robert G. Stein, 2011), the employer sought to delete a previously negotiated minimum manning provision that required at least 19 bargaining unit members. The union proposed reducing the minimum to 18 bargaining unit members. In awarding the employer's proposal, Conciliator Stein reasoned:

> The public, whose needs appear to be increasingly related to EMS services, is not being adequately served by a manning requirement that was negotiated approximately 20 years ago when the demands for service and financial resources of the Department were different.

The Village contends that the Interest Arbitration precedent recognizes that the determination of staffing is an essential management right and therefore minimum manning should also be regarded as an elemental management right. The Village argues that the Village's proposal should be given more weight unless the Union can prove that the Village's proposed staffing levels would create a substantial hardship on its membership that outweighs the Village's interests in maintaining fire safety.

Next, the Village argues that both of the Union's experts agree with the arbitral precedent cited above. The Union called William Bryson to testify regarding the development and application of National Fire Protection Association ("NFPA") Standard 1710. Bryson is the chairperson for the NFPA 1710 Committee. On cross-examination, Bryson admitted that it is up to management to determine Fire Department staffing levels. Bryson's statement that it is up to the Village's officials to determine staffing levels is supported by the language of NFPA 1710. Section 8.4.1.1 of NFPA 1710 says that it is the responsibility of the municipality's officials to determine the level of service provided by the Fire

Department, the level of funding, and the level of personnel and resources needed for Fire Department operations. (Un. Ex. 4; Tr. 228-305)

The Union also called Dr. Lori Moore-Merrell to testify. Moore-Merrell works for the IAFF, where she is the head of the Division of Technical Assistance and Information Resources and reports to the President of the IAFF. Moore-Merrell conceded that resource deployment is a matter of public policy. The Village concludes that it is the job of the Village's officials to determine staffing levels, and that staffing levels are a matter of public policy. (Un. Ex. 9, Tab 8; Tr. 935, 1045-1047)

The Village contends that regardless of whether this Arbitrator does or does not apply a breakthrough analysis to the issue of minimum manning, the Village should prevail. It argues that not only do the Section 14 factors favor the Village's proposal, but that traditional breakthrough analysis also supports the Village's proposal because the Union has refused the Village's efforts to resolve this issue in negotiations.

First, the Village suggests that a breakthrough analysis need not be applied in this case. Here, the Village is not proposing a significant change in how it staffs or organizes the department. Instead, the Village is proposing a modest change to the *status quo* staffing arrangements so that the Village can modify the Fire Department and bring the engine staffing levels in line with the levels of the comparable communities.

The Village acknowledges that in the *Homewood* case, this Arbitrator considered the Union's proposal to add one Firefighter per shift to be a breakthrough change. In *Homewood*, the Union proposal would have required the employer to increase its staffing by 25%, from 4 to 5 on-duty Firefighters. (*Id.* at 38)

By contrast, in the instant matter, the Village proposes a modest reduction of 2 on-duty personnel per shift, from 21 to 19, to be gradually reduced over time. Further, this change represents less than a 10% reduction in the daily staffing levels. Finally, the Village is simply changing the existing contract language to correct the size of the department. Because the Village is proposing a modest change to the existing terms of the contract, the Arbitrator should not apply a breakthrough analysis but only require a burden of proof that demonstrates that the change is preferable or more equitable. The Section 14 factors show that the Village's proposal is the most equitable and should be adopted by the Arbitrator.

The Village next addresses the factors that have been applied by this Arbitrator when a party seeks a significant change that involves a breakthrough analysis. This Arbitrator has previously explained that analysis as follows:

> The traditional way of conceptualizing Interest Arbitration is that the parties should not be able to obtain in Interest Arbitration any result which they could not get in a traditional collective bargaining situation. *City of Burbank and FOP Labor Council*, Case No. S-MA-97-056 (Goldstein, 1998). As established in *Will County Board and Sheriff of Will County*, Case No. S-MA-88-09 (Nathan, 1988) and *City of Burbank*, arbitrators typically apply a 3-factor test that a party must meet in order to demonstrate that a major change in the *status quo* is needed:
>
> 1) The old system or procedure has not worked as anticipated when originally agreed to;
>
> 2) The existing system or procedure has created operational hardships for the employer or equitable or due process problems for the union; and
>
> 3) The party seeking to maintain the *status quo* has resisted attempts to bargain over the change (i.e., refused a quid pro quo).'"
>
> *City of Burbank*, Case No. S-MA-97-065 (Goldstein, 1998)
>
> With these principles in mind, the arbitrator considers, '...what the parties may have reasonably agreed to if they had been successful in compromising and settling the open issues.' *Wood Dale Fire Protection District and Wood Dale Professional Fire Fighters Ass'n*, S-MA-07-260, at 33 (Winton, 2008).
>
> (*Village of Homewood* at 36-37)

The Village contends that this analysis requires acceptance of the Village's proposal. This Arbitrator gives consideration to what a reasonable party could obtain in collective bargaining. The Village contends that analysis of the contracts for the agreed-upon comparable external communities provides insight into what the parties should be able to accomplish through good faith negotiations. (Er. Ex. 50C; Tr. 477-478)

First, the Village points out that only 4 of the 14 comparable communities (Arlington Heights, Berwyn, Bolingbrook, and Lisle-Woodridge) have any apparatus staffing requirements in their contracts. Thus, the Village has already conceded significantly more of its managerial rights than most of the comparable communities. The Village notes that none of the IAFF-represented bargaining units require the employer to staff with 4 people on all of its fire engines.

Community	Policy or Contract	Engine Staffing
Arlington Heights	CBA Section 14.31	3 per engine
Berwyn	CBA Appendix B(2)	3 or 4 per engine
Bolingbrook	Policy Only	2 or 3 per engine
Elgin	Policy Only	3 per engine
Evanston	Policy Only	3 per engine
Hoffman Estates	Policy only	2 or 3 per engine
Lisle-Woodridge FPD	CBA Section 24.3	3 per engine
Lombard	Policy only	3 per engine
Mt. Prospect	Policy only	3 per engine
Naperville	Policy only	3 per engine
Oak Park	Policy only	3 per engine
Orland Park FPD	CBA Section 17.9	3 per engine
Park Ridge	Policy only	3 per engine
Skokie	Policy only	3 per engine

(Er. Ex. 36)

The contracts in Bolingbrook and Hoffman Estates, allow the departments to staff with as few as 2 people on an engine. The Village's proposal that all engines will be staffed with a minimum of 3 employees represents a fair estimation of what could occur through negotiations without resorting to Interest Arbitration and supports the adoption of the Village's proposal.

Next, the Village contends that under the next 2 prongs of the breakthrough analysis, the evidence shows the old system is broken and has not worked as anticipated. Similarly, the Village insists that the current system has created economic hardships that must be addressed.

First, it must be noted that the expired contract does not include a minimum shift staffing level. The Village understood that under the staffing clause as originally agreed upon, there was no minimum daily staffing level, the Village could remove equipment from service if needed, and the apparatus staffing level was not an unchangeable number and simply required the Village to use its best efforts to preserve those staffing levels. However, Arbitrator Kravit rejected those interpretations in his Arbitration Award. The Village argues that as a result of that Arbitration Decision, the contract clause is not working as the Village anticipated, and it has been fighting to change the staffing clause since that Decision. (Er. Ex. 16)

Second, the staffing clause is forcing the Village to pay millions of dollars for overtime costs. Even if the staffing level was supported with regular, straight time Firefighter wages, the Village would be required to pay significantly more to maintain a daily staffing level than is necessary for public safety. (Er. Ex. 44)

The Village argues that for the last 2 years, the Village had budget deficits in its General Fund. For the current year, the Village has a barely balanced budget, which assumes that the Fire Department overtime costs will be $2 million, which would have been achievable based on the Village's proposal in this case, but only if the case proceeded to Hearing within the statutory time limits. If the Village is not permitted to adjust the daily staffing levels, then the Fire Department will once again exceed its budget by hundreds of thousands of dollars.

Arbitrator Amedeo Greco recognized the importance of making modest cost-saving adjustments to avoid future reductions. In *City of Bloomington and IAFF Local 49*, Case No. S-MA-13-176, the employer sought to make a reduction to the sick leave buyback benefits that had been in the contract for decades. The sick leave buyback benefit in *Bloomington* was highly ranked among the comparable communities. Arbitrator Greco awarded the employer's final proposal based on the need to address the employer's financial difficulties currently, rather than during a future significant event. The Decision in *Bloomington* was based in large part on a projection that there was a $37.6 million shortfall in Firefighter pension liabilities. (*Id.* at 12-13)

Here, the *status quo* is broken because the Village has a growing pension problem. In *Bloomington*, the pension plan was only 51% funded. In the instant case, the fire pension fund is only 59.21% funded. In addition, the Village contributions to the pension fund are going to rise significantly in the coming years, increasing by 400% in 3 years. This is in addition to the pension fund's dedicated tax levy, which will grow from $1.2 million in 2014 to $1.35 million in 2017. The Village's taxpayers will see the total amount of their tax dollars dedicated to Firefighter pensions increase from $1.7 million in 2014, to $3.4 million in 2017, to $7.1 million by 2026. (Er. Ex. 41A, p. 14)

The Union argues that the Village could afford the minimum staffing provision when it first agreed to it, and therefore can continue to do so. However, the Village agreed to the minimum staffing clause when it did not face an enormous debt load from the pension fund. The Village must now be allowed to alter the daily staffing level in a way that is safe and effective in order to fund these growing liabilities.

The Village contends that the *status quo* is broken because the Village cannot spend money to improve the safety of both the Firefighters and the community. Chief Sheets prepared a list, with the assistance of Bargaining Unit members, of safety-related investments they would make if the Department had unlimited funds. In addition to this list, immediately before the Arbitration Hearing, Union member Captain Brian Tiernan emailed the Chief about purchasing an incremental alarm system. Instead, the Chief has to devote $2.7 million in overtime when he would rather spend that money updating the Village's facilities and equipment. (Er. Ex. 21B, 42; Tr. 85-96, 98-99)

Further, Section 21 of the Act and the Illinois Supreme Court make clear that under a multiyear contract, the amount of money that the Village has to allocate to fund Firefighter overtime is expressly limited by the Village's appropriation power. The Village has appropriated $2 million for Fire Department overtime. Under the *CMS* Decision, the Village is not required to spend more than the amount appropriated. Once the Village expends the full allotment of $2 million, it would be within its rights to not spend any more money on overtime. The Village does not want to pursue this option; rather, the Village is seeking a modest adjustment to the current staffing levels to avoid such a potentially extreme outcome. (Er. Ex. 42; Tr. 500)

Last, the Village's surrounding communities have improved their own Fire Departments. Chicago Ridge opened a 2nd fire station located on the Oak Lawn border and improves EMS response times within the Village of Oak Lawn. Other improvements in the fire service support the Village's proposal to reduce staffing, such as improvements in fire gear, open cab engines have been replaced with closed cab engines, air horns have been relocated, thermal imaging cameras have been introduced that expedite the location and extinguishment of fires, new apparatus have been introduced, the Village installed an Opticom system to aid with safe and efficient travel during emergency responses. Further, the introduction of sprinkler systems has also helped control and sometimes extinguish fires. (Tr. 82, 100-102, 133-134, 140-141)

The Village also points to a considerable shift in fire service strategy to place greater emphasis on the need for fire prevention and injury prevention, as identified in NFPA 1710. The introduction and growth in the use of smoke alarms may be the single biggest reason for the reduction in fire deaths. (Un. Ex. 4 B.1.3-3; Tr. 147-148, 297-298)

The final breakthrough factor here is whether the party seeking to maintain the *status quo* has resisted attempts to bargain over the change. The Village contends that the Union has repeatedly refused to bargain over minimum manning. The Union failed to propose any counteroffers that included any language other than that found in the current contract. The Village argues that its June 29 proposals were a reasonable attempt to negotiate this issue in a way that addressed both parties' concerns. The Village's June 29 proposal included 2 alternatives. Under both proposals, the Village offered the Union valuable *quid pro quos*. First, the Village said that it would agree to the Union's proposal to merge the 2 Bargaining Units. Second, the Village committed that no employee hired before January 1, 2015 would be subject to a residency requirement. (Er. Ex. 56)

The Village asserts that each of its bargaining proposals was rejected by the Union, and that the Union failed to offer meaningful counteroffers that would address the Village's concerns. Therefore, the final element of the breakthrough analysis has been satisfied.

The Village notes that in the past, this Arbitrator's breakthrough analysis has not required that the party seeking the change include a *quid pro quo* in its final offer. However, in the instant case, the Village's final offer includes a valuable *quid pro quo* for the Union, Bureau Chief staffing. The Village's final offer provides a contractual commitment to hire and maintain not 2, but 3 Bureau Chiefs. The expired Contract has no language regarding a minimum staffing level for Bureau Chiefs. (Er. Ex. 4, 9, 45; Jt. Ex. 2-3)

The Union argued that if given a choice between the current daily staffing level of 21 personnel, plus 2 Bureau Chief positions, or the Village' proposed daily staffing level with 3 Bureau Chiefs, they would rather have the 21 personnel plus 2 Bureau Chiefs. However, the Union consistently rejected every offer from the Village, including one that would have provided an immediate $1.2 million, without counteroffering. (Er. Ex. 4; Tr. 1183)

Next, the Village asserts that in addition to the breakthrough analysis, all of the relevant Section 14(h) factors support adoption of the Village's offer. First, a comparison of the external comparables supports acceptance of the Village's final offer. Most contracts have no apparatus staffing requirements. Of the 4 contracts that include apparatus staffing requirements, none requires staffing all of its engines with 4-person crews. Berwyn requires 4-person crews on some of its engines, but specifically allows 3-person crews on its North Engine. Regarding the comparable IAFF bargaining units where apparatus staffing levels are not established by contract, none of the bargaining units require 4-person engine crews. Two communities, Hoffman Estates and Bolingbrook, staff engines with only 2 personnel. (Er. Ex. 36)

The Village claims it is impossible to compare total staffing levels because the comparable jurisdictions have different characteristics, including population, geographic distributions, number of calls for service, command structures, and bargaining unit compositions. Therefore, it is not possible to make an apples-to-apples comparison of the daily staffing levels. Half of the comparable communities have no contractual staffing requirements. Further, the Evanston staffing requirement specifically states that the present daily staffing levels are not absolute. (Er. Ex. 50B, 50C, Evanston, § 13.19)

The Union attempted to prepare a chart comparing staffing levels against the number of calls for service. However, the Village maintains that the Union's comparisons are flawed. The Union's analysis looked at the total number of Firefighters employed by each community, including command staff personnel. Because the Union's analysis does not address the staffing issues that are actually in dispute, its arguments are invalid. The relevant external comparability data supports the Village's final proposal. (Un. Ex. 8, Tab 15; Tr. 693-694)

Next, the Village notes that Section 14(h)(3) of the Act requires the Arbitrator to consider as one of the factors, the financial ability of the government to meet the costs of the parties' proposals. First, the Village is not asserting that the ability to pay is the only factor that supports adoption of the Village's final offer. Instead, the Village argues that each of the applicable Section 14 factors, coupled with the Union's refusal to bargain over this issue, support adoption of the Village's final offer.

Arbitrator Goldstein stated that "having observed that the City has the ability to pay an increase does not mean that the City ought to pay an increase unless it is satisfied that there will be some public benefit from such expenditure." *City of Crest Hill*, Case No. S-MA-97-115, p.26 (Goldstein, 1988). Here, the Village's ability to sustain the Union's proposed staffing level does not mean that the Village should sustain that staffing level.

The Village faces major economic challenges, including significantly increasing pension costs and a structural deficit, a major cause of which is the Fire Department overtime costs. Further, the Village's pension fund liabilities are unsustainable. Between 2014 and 2017, the Village will have to double the amount of taxpayer resources dedicated to funding Fire Department pensions. Given the pension crisis, the Village cannot be burdened with the additional costs of the Union's proposal. The Village contends that it must be allowed to correct the size of its Department and bring the engine staffing level in line with the other comparable communities. (Er. Ex. 40A-40E)

Turning to the internal comparability factor, the Village has 5 bargaining units other than the Fire Department Bargaining Units. Three of those bargaining units have rights to binding Interest Arbitration, and include Police Officers, Police Supervisors, and Detention Officers. None of the Village's other 5 bargaining units have a minimum staffing clause. The parties could have agreed to include this permissive subject, before the Act became law, but did not do so. None of the other bargaining units have been given a minimum staffing clause in their contracts. This factor, supports adoption of the Village's final proposal. (Er. Ex. 9, 49)

While the Union has not presented any evidence of actual danger from the use of 3-person engines, the cost of the Union's staffing proposal is immense. Based on the current wage rates, every position added to the daily staffing requirement costs the Village $468,309.60. Staffing with 21 people instead of 19 would cost the Village an extra $936,619 per year. Because of the added costs of pensions and benefits, hiring more Firefighters to staff those positions on a straight-time basis instead of an overtime basis would be even more expensive. The Union cannot offer evidence to show that its proposal offers any significant benefit to the interests and welfare of the public. This factor also favors acceptance of the Village's final proposal. (Er. Ex. 43, 44)

The Village next rebuts the Union's argument that the Village's staffing proposal is unsafe. The Village asserts that the external comparability data is the most compelling evidence that its staffing proposal would be safe and effective. The fact that the external comparables are able to staff their engines with 3-person crews is compelling evidence that the Village's staffing proposal is safe and effective.

The Village contends that the next most important evidence is the testimony of Fire Chief Sheets. None of the witnesses testified about any experience actually working in a jurisdiction that staffs with 2 or 3-person engine crews. Further, none of the outside witnesses has the same familiarity with the unique needs of the Village as does Chief Sheets. Therefore, his testimony deserves greater weight. Fire Chief Sheets has been the Chief in the Village for 7 years. Prior to working in the Village, Chief Sheets worked as the Deputy Chief in Portage, Michigan, which has a population similar to that of the Village. Chief Sheets also worked as both the Assistant and Deputy Public Safety Director for Kalamazoo, Michigan, which is a larger community of 100,000 people with 326 full-time employees. As the Deputy Public Safety Director, Chief Sheets oversaw the Police and Fire departments. Before working in Michigan, Chief Sheets was a Firefighter in Clayton, Missouri. Chief Sheets also worked in the fire service in Beaver Dam, Wisconsin. (Tr. 65-66, 328)

The Chief has experience working with 2 and 3-man crews on fire engines. In Clayton, Missouri, the staffing practice was to use 3-person engine crews. Sometimes, the engine crews in Clayton ran with just 2 people. In Portage, Michigan, the Fire Department ran with 2 people on an engine. Similarly, in Kalamazoo, Michigan, they sometimes ran with 2-person engines which were supplemented with public safety officers. Beaver Dam, Wisconsin also operated 2-person engines. Having used the range of 2-person, 3-person, and 4-person crews, Chief Sheets credibly testified that the practice of using less than 4-person crews is safe and effective. (Tr. 67-70, 328)

Based on his experience working in those jurisdictions, and based on his review of the infrastructure in the Village, Chief Sheets testified that they could safely operate with 3-person engine crews in the Village. Chief Sheets further testified that safety is extremely important. The Chief further testified that he would absolutely not support the Village's proposal if he thought it were unsafe. Chief Sheets further explained that he is simultaneously the Chief in both Oak Lawn and Chicago Ridge. Chicago Ridge has apartments and condos for over 80% of its residential units. The Chief explained that in Chicago Ridge:

> We're running with 2 people on an engine, and we haven't had any issues. We have the MABAS system, which is the mutual aid box alarm system. That is an automatic dispatch of apparatus and equipment to a scene. … I sleep well at night knowing that we have enough people that could assemble on a fire ground in a timely manner that meets, you know, all the standards.
>
> (Tr. 72)

The Chief did acknowledge that he would rather have more people if the Village had limitless resources. He also said that "… my evaluation of this community and the response patterns that we have is that we can do it with less." (Tr. 73)

The Union criticized the Chief for never discussing deployment methodology or quint staffing during negotiations. The Chief testified that the Union did not want to engage in any meaningful discussions regarding the Village's staffing proposals. Further, the Union failed to back up its claim of alleged dispatch delays with actual data. (Tr. 71, 219-220, 359-360, 396-397, 434, 441-442)

Phil Schaenman was the expert witness for the Village. Schaenman works for TriData LLC that consults for local governments regarding public safety issues, researches public safety issues for government and private industry, and prepares reports regarding major incidents such as the Virginia Tech shooting. TriData has studied over 250 Fire Departments across the United States and Canada. Prior to working at TriData, Schaenman worked for the U.S. Navy and also ran the fire technology program for the U.S. Fire Administration. Before that he was a senior research assistant for the Urban Institute, where he worked on a landmark report called "Measuring Productivity of Local Fire Departments." (Tr. 138-142)

Here, Schaenman studied response times, fire incidents, civilian and Firefighter injuries, the types of incidents that led to those injuries, and the amount of structural loss from fires in the Village. He also considered the Village's population, the industrial and commercial risks, the number and location of stations, equipment, and personnel, and the availability of Mutual Aid through MABAS. (Tr. 155-160)

Schaenman testified that the Village's response time from 2013 to 2015 falls within the NFPA 1710 requirements, and comes closer to the NFPA guidelines than most departments. He concluded that the Village's response times are excellent. Schaenman concluded that the Village could provide the first arriving unit on the scene in less than 4 minutes. The data also showed that the second-arriving unit was on scene usually within seconds of the first unit. Schaenman also pointed out that the data showed that the Village could assemble an adequate number of Firefighters on the scene throughout the Village within 8 minutes. When the ambulances are included in the analysis, the response times are even better. (Er. Ex. 31-33; Tr. 161-163, 167-170)

In addition, Schaenman studied the utilization rate of the Village's ambulances. The data showed that the ambulances are on calls and unavailable for a different call for service 13.8% of the time. In other words, the ambulances are ready and waiting 86.2% of the time. Anything under 15% is considered by the industry to be low utilization. (Er. Ex. 34; Tr. 170-172)

Based on his study, Schaenman concluded that with the current MABAS system, including joint training, the Village can safely and effectively fight fires with 3-person crews on 2 of its engines. Schaneman's analysis of the Village's actual incident data strongly supports the Village's proposal in this case. (Tr. 174-177)

Union witness William Bryson is the former Fire Chief for the City of Miami and also served as the Fire Chief for Miami Dade County. The population of Miami was 600,000 and the population of Miami-Dade County is 10 million. The population of the Village is 56,690. Miami had approximately 180 high-rise buildings. The Village has only 2 buildings that meet the NFPA definition of a high rise. There is no evidence that Bryson has worked or even consulted for a community that used 3-person engine crews. (Ex. Ex. 50-2; Un. Ex. 3; Tr. 228, 260-262, 271-272, 948)

Bryson also serves as the chair for the NFPA 1710 Committee and testified about the standards included in NFPA 1710. The Village argues that Bryson had no actual knowledge of the Village's circumstances and spent no significant time surveying the Village. Bryson did not study the community to look at the buildings serviced by the Fire Department, nor did he study any calls for service at any location in the Village. (Tr. 232, 273-275)

Bryson claimed that NFPA 1710 requires 4-person engine crews, but on cross-examination, Bryson admitted that NFPA 1710 permits the 4-person engine company to be comprised of people who arrive together on multiple apparatus. Bryson admitted that 4 personnel do not need to be deployed on the same engine. (Un. Ex. 4, § 5.2.3.1, § 3.3.13; Tr. 285-289)

The Village asserts that the testimony of Union witness Moore-Merrell should be rejected as it contained biases and flaws. Moore-Merrell works for the IAFF headquarters, where the mission statement for her division exists to secure and maintain the wages, hours, benefits, and working conditions of IAFF members. (Er. Ex. 103; Tr. 935-1167)

Although Moore-Merrell contended that her report was based on science and analytical capabilities, she also conceded that she didn't necessarily rely on documentation. Moore-Merrell has no knowledge of how many fire calls there are in the Village. Prior to testifying, she had no knowledge of the Village ambulance run volumes and did not study the Village's actual travel-time data. She did not review the Village Fire Department's Standard Operating Procedures or Standard Operating Guidelines, and did not study any CAD dispatch data. Moore-Merrell testified as to the age of the Village's community by looking at the people walking around during her short tour the day before her testimony. (Tr. 947-948, 1059-1063, 1088)

Moore-Merrell is unaware of the names of any of the Village's MABAS partners, nor does she know the location of any of the Mutual Aid or automatic aid fire stations. Moore-Merrell excluded Mutual Aid and automatic aid resources from her analysis. Given that her analysis did not acknowledge the availability of Mutual Aid resources, there is no legitimate reason why the Village should not be permitted to reduce its daily staffing by 2 people. (Un. Ex. 9, Tab 17 at 2; Tr. 1075-1077, 1081-1082)

The Village contends that Moore-Merrell's report includes a flawed assumption. She relied on nationwide data that shows fire engines arrive before ambulances approximately 80% of the time. Moore-Merrell conceded on cross-examination that this may not be the case here, because the Village has an ambulance in every station. Yet, Moore-Merrell concluded that the Village has sufficient staff available to respond to a fire based on its current resources. (Un. Ex. 9, Tab 17 at 30; Tr. 1091-1092, 1103)

Moore-Merrell did not look at any travel time samples to prepare her report. The Village notes that Moore-Merrell worked on the development of a tool called FireCARES. She has given presentations regarding this tool to the IAFF membership. Despite being part of the team that developed the FireCARES analytical tool, Moore-Merrell testified that she is unaware of the Village's FireCARES score. (Er. Ex. 107; Un. Ex. 9, Tab 1 at 15, Tab 17 at 35; Tr. 1094-1095, 1104-1106)

Moore-Merrell relied on several National Institute of Standards and Technology ("NIST") studies to support her analysis. She relied upon the EMS Field Experiments. This study has no applicability to the

Village's Fire Department's operations. NIST assumed that for an EMS call, an engine will arrive 420 seconds after the event occurs, and the ambulance will arrive 600 seconds after the event occurs. In the Village, the ambulance arrives before the engine. Moore-Merrell admitted on cross-examination that she failed to account for this difference between the Village's deployment methods and those used in the study. (Un. Ex. 9, Tab 8 at 10 and 22; Tr. 1115-1117, 1122)

Moore-Merrell's analysis relied upon the NIST Residential Fire Ground Experiment. The NIST report assumed that the second-arriving apparatus would arrive 60 seconds after the first, and each apparatus thereafter would arrive 90 seconds later. Moore-Merrell does not know the actual stagger times in the Village. According to the Village, the 2nd apparatus usually arrives within a few seconds of the first in the Village. (Un. Ex. 9, Tabs 3 at 28, 17 at 13, 19; Tr. 168, 1087-1088, 1115-1116, 1127-1130)

The Village refutes the Union's claim that the residential study analyzes the impact of crew size on fireground operations. For example, the study does not compare three 4-man crews against four 3-man crews. In fact, even when operating with 3-man crews, the Village will deploy more total personnel to the scene of a fire than the 4-man crews used in the NIST study. Moore-Merrell did not consider the availability of Mutual Aid resources. (Er. Ex. 28; Tr. 1135-1138)

According to the Village, Moore-Merrell's testimony regarding her application of the NIST high-rise study was flawed. Oak Lawn has 2 or 3 high rises. However, Moore-Merrell did not know that all of the high rises are sprinklered. She also said she does not know how the Village deploys its personnel, and which Mutual Aid jurisdictions are called for help in the event of a high-rise fire. (Un. Ex. 9, Tab 16; Tr. 793, 1122-1124)

The Village next rejects the testimony of Union witness Fire Battalion Chief Scott Sobol, a Bargaining Unit member. Before working for Oak Lawn, Sobol worked for the Hometown Fire Protection District for 9 years. Hometown staffs its engines with less than 4 people. Sobol could not identify any occasions in which Firefighter safety or the safety of the citizens was jeopardized because of those staffing practices. (Er. Ex. 37; Tr. 41, 722-857)

Similarly, the Village rejects the testimony of Union witness Fire Battalion Chief Wesselhoff. Wesselhoff has worked for the Village since 1990. Wesselhoff has no experience operating with 3-person engine companies. Wesselhoff testified regarding a few incidents. During the first incident, the Village's engines were in a different community. Once Mutual Aid apparatus are factored in, there were 53 personnel on the scene of this fire. The Village eventually had more than triple the 15 Firefighters that are required by NFPA 1710. Other than a statement by Wesselhoff that 3-person engines would have slowed the Village's firefighting ability, there was no evidence presented to show how staffing with 3-man engines would have impacted operations on this call. (Un. Ex. 8, Tabs 32 at 9, 17 at 22; Tr. 41, 858-895)

Wesselhoff testified about a 2nd fire that occurred the same day. Wesselhoff testified that 3-person engines would have negatively impacted the fires, but did not elaborate. As for a third incident, Wesselhoff remarked that the Village's equipment responded to a call in Evergreen Park. Wesselhoff testified that while the Village's apparatus were in Evergreen Park, they were not available for immediate response in the Village. (Un. Ex. 8, Tabs 32-34; Tr. 873-879)

The Village also suggests that numerous actions by the Union demonstrate the safety of the Village's staffing proposal. During the Hearing, the Union did not specify whether its proposal meant that the Village would have to commit 3 personnel to the squad (and 22 per shift), or whether the Village would only have to use 2 personnel on the squad. While the Union was pursuing the possibility of 3 people per squad through the Court system, the Union's witness wrote in her report that the Village should maintain existing staffing and deployment strategies. (Un. Ex. 9, Tab 17 at 3; Tr. 247)

Second, the Union has chosen to take personnel out of service rather than meet the *status quo* staffing levels. The Union has taken people out of service and reduced staffing levels in order to staff various non-firefighting functions. (Er. Ex. 38A-B; Tr. 127-128)

Third, Battalion Chief John Hojek also serves as the Fire Chief for the Hometown. Hojek has instituted a minimum staffing level of just 3 people in Hometown. Further, at least 9 other members of the 1710 Committee staff their fire engines with only 3 people. (Er. Ex. 36B, 37; Tr. 131-132, 302, 484)

NFPA 1720 is a safety standard that applies to volunteer Fire Departments. Moore-Merrell conceded that Firefighters who operate under NFPA 1710 are better trained than volunteer Firefighters covered by NFPA 1720. However, the deployment standards for a structure fire are lower in NFPA 1720 than they are in NFPA 1710. Further, NFPA 1720 has no requirement that fire engines be staffed with 4 personnel. Thus, the Village argues that if volunteer Fire Departments are permitted to staff fire engines with less than 4 personnel under the NFPA standards, there is no reason that the professional Firefighters in the Village should not also be permitted to staff with 3-person engines. (Er. Ex. 106 at 1720-4; Tr. 1065-1067, 1069-1071, 1145)

The Village contends that the Union did not specify the minimum manning in its final staffing proposal. The Union committed to its position on September 16, 2016. The Village considers Elliot Goldstein's Award in *City of Rockford,* in which Goldstein rejected a union's attempt to clarify its final offer after the deadline for tendering such final offers. In this case, the Village's proposal recognizes the compelling need for the Fire Department to change with the times. The Department must evolve in order to ensure adequate funds for Firefighter pensions, safety equipment, and fire prevention efforts. The Section 14 factors and the breakthrough analysis all support adoption of the Village's final staffing offer.

Therefore, the Village contends that the Arbitrator should select the Village's final offer on minimum manning.

b. <u>The Union's Position</u>

The Union contends that the history of staffing in the Department is significant. Prior to 1992, the Department followed a practice of staffing each shift each day with a minimum of 22 personnel. In the event that staffing fell below the required minimum of 22, the Shift Commander completed a Daily Manpower Request Form to obtain approval to hire back an employee from the voluntary overtime list. (Jt. Ex. 2 at 30-32, Jt. Ex. 3 at 32-33; Un. Ex. 5, Tabs 5 at 25, 6 at 28, 7 at 27, 8 at 25, 9 at 30, 10 at 24, 11 at 23-24, 12 at 25-26, 13 at 25, 14 at 29-31, 15 at 32-33, Un. Ex. 8, Tab 1 at 49; Tr. 50-51)

The parties first included minimum manning language in the contract covering the term of 1992-1993 (the "92-93 Agreement"). At the time the 92-93 Agreement was executed, the manning was based on the following use of equipment and staffing distribution:

Equipment/Personnel	#Staff per Equipment/Position	Total Staff
3 Engines	4 Members per Engine	12 Members
3 Ambulances	2 Members per Ambulance	6 Members
1 Squad	3 Members	3 Members
1 Shift Commander	1 Member	1 Member
		TOTAL: 22 MEMBERS

(Un. Ex. 5, Tab 5 at 26; Un. Ex 8, Tab 1 at 48, 65, 68, 91-93)

The parties have entered into 6 contracts, spanning over 20 years since the minimum manning language was created in the 92-93 Agreement. Over the span of those contracts, the language of Section 7.9, Minimum Manning, has remained unchanged. The minimum manning level remained at 22 until about 1998. At that time, the parties agreed to reduce the minimum staffing level to 21, by reducing manning on the squad to a minimum of 2. It is undisputed that since that time, the Village never operated with fewer than 21 personnel, and with less than 4-person engines until January 2008. (Jt. Ex. 2 at 30-32, Jt. Ex. 3 at 32-33; Un. Ex. 5, Tabs 5 at 25, 6 at 28, 7 at 27, 8 at 25, 9 at 30, 10 at 24, 11 at 23-24, 12 at 25-26, 13 at 25, 14 at 29-31, 15 at 32-33, Un. Ex. 8, Tab 2 at 6-7, 15)

In December 2007, the Village announced that effective January 1, 2008, it was discontinuing the use of 21 employees per shift. On January 2, 2008, the Village announced that if staffing fell to either 20 or 19, the squad would be taken out of service. On January 14, 2008, the Village rescinded the January 2, 2008 notice, and announced that if staffing fell to 20 employees, one engine would be staffed with 3 employees, and if staffing fell to 19 employees, all 3 engines would be staffed with 3 employees. In January 2008, the Union filed a grievance contending that the Village had violated Section 7.9 of the contract. The grievance was filed pursuant to the 2003-2006 contract. The grievance proceeded to Arbitration before Arbitrator Stanley Kravit on July 30, 2008.

In March 2008, the Board appointed Robert Perkovich to serve as Interest Arbitrator for the parties. On June 26, 2008, the parties exchanged a list of issues and the Union did not seek any change to the contract language. The Village declined to negotiate over the manning issue in Section 7.9, indicating that it was a permissive subject of bargaining, and that it was to be deleted from the contract. (Un. Ex. 8, Tab 8 at 3, 5)

On July 8, 2008, the Union filed an Unfair Labor Practice charge with the Board, asserting that manning is a mandatory subject of bargaining and that the Village violated the Act by failing to bargain over minimum manning. (Un. Ex. 8, Tab 8 at 1)

On September 23, 2008, Arbitrator Stanley Kravit issued his Arbitration Award, establishing minimum manning levels pursuant to the contract, and finding that the Village had violated Section 7.9 of the contract. Arbitrator Kravit found that the contract required minimum manning of 22 per shift, but that due to an agreement reached by the parties to vary the contract, minimum manning had been reduced to 21. (Un. Ex. 8, Tab 2 at 4, 26)

In November 2008, the parties entered into contracts effective January 1, 2007 through December 31, 2010 ("2007-2010 Agreements"). The 2007-2010 Agreements rolled over by their terms to December 31, 2011. In Section 7.9 of the 2007-2010 Firefighter Agreement, the parties repeated the provisions contained in Section 7.9 of the 2003-2006 Agreement. However, the parties included the following additional language:

> The parties acknowledge that the Village has informed the Union that it considers this Section 7.9 as set forth in the predecessor Agreement to be permissive topics of bargaining. The Village has therefore submitted in its final proposal for arbitration that these provisions be deleted from the parties' successor contract. The Union has proposed that the status quo language continue in the successor contract. The Village acknowledges that the Union disputes the Village's position that these subsections are permissive topics contending that these provisions are mandatory subjects of bargaining which cannot be unilaterally modified by the Village. The Union has filed an unfair labor practice charge against the Village, docketed as Case No. S-CA-09-007, alleging that the Village is unilaterally deleting Section 7.9 of the parties' agreement and changing existing working conditions in violation of the Illinois Public Labor Relations Act. The parties further acknowledge that Arbitrator

> Perkovich has no jurisdiction to resolve whether the disputed issues are mandatory or permissive subjects of bargaining. The issue of whether the topics are mandatory or permissive in nature shall be determined through legal proceedings which have initiated before the Illinois Labor Relations Board. In the interim, the Union continues to maintain that the successor contract language on this issue is the status quo language which it intends to fully enforce and the Village continues to maintain that it can unilaterally omit the language from the parties' successor contract.
>
> The Village agrees that if it is determined that it violated the law by unilaterally deleting all or part of this Section, it will be liable to make affected employees whole. Therefore, during the pendency of the Labor Board proceedings, the parties agree to meet monthly, or at any interval agreed to between the Chief and Union President, to identify situations which have occurred which the Union believes violated the status quo language of this Section. In the event that the Labor Board determines the Village's conduct violated the Act, the Village agrees to:
>
> c. Abide by the status quo language of the predecessor contract for any part of this Section determined to be a mandatory subject of bargaining for the duration of this Agreement regardless of whether the Village appeals the Labor Board's decision; and,
>
> d. Not seek a stay of the Labor Board's decision.
>
> By entering into this Section 7.9, neither party waives any legal rights and/or position it may have related to this matter.

(Un. Ex. 5, Tab 14 at 29-31, Un. Ex. 6; Tr. 40-41)

On December 22, 2008, the Village filed a motion to vacate the Kravit Award in the Circuit Court of Cook County. *Village of Oak Lawn v. Oak Lawn Professional Firefighters Association, Local 3405 IAFF*, 2009 WL 8382350 (Cir. Ct. Cook County. 2009). On December 26, 2008, the Union wrote to inform the Village that the Union would begin enforcing the language of the contract, which Kravit found requires 22 employees per shift and 3 employees on a squad. (Un. Ex. 8, Tab 4)

On April 27, 2009, the Union filed its answer and counterclaim to confirm the Kravit Award. On June 19, 2009, the Union filed a Motion for Summary Judgment to confirm the Kravit Award. On September 3, 2009, the Circuit Court granted the Union's Motion for Summary Judgment and confirmed the Arbitrator Kravit's Arbitration Award.

On October 23, 2009, ALJ Sylvia Rios issued a Recommended Decision and Order ("RDO") in Case No. S-CA-09-007, finding that minimum manning is a mandatory subject of bargaining and the Village violated

Sections 10(a)(4) and (1) of the Act. On October 29, 2010, the Board issued its Order affirming ALJ Rios' RDO. On November 22, 2010, the Village appealed the Board's Order to the Illinois Appellate Court, First District. On June 30, 2011, the Appellate Court for the First District affirmed the Circuit Court's granting of the Union's Motion for Summary Judgment and confirmation of the Kravit Award. On September 7, 2011, the Appellate Court affirmed the Board's Order. The Village filed its Petition For Leave To Appeal with the Illinois Supreme Court, which was denied on November 30, 2011. *Village of Oak Lawn v. Illinois Labor Relations Board*, 962 N.E.2d 489 (Table) (2011). (Un. Ex. 8, Tabs 3, 8, 10 at 6, 12 at 7)

The parties began negotiations for a successor Contract for the period of January 1, 2012 – December 31, 2014. The parties proceeded to Interest Arbitration before Arbitrator Edwin Benn. On July 7, 2014, Arbitrator Benn issued his Award. One of the provisions submitted to Interest Arbitration was Section 7.9 of the contract. At Interest Arbitration, the Village sought to change the language of Section 7.9. The Village proposed that minimum shift staffing be 21 employees, but that if the staffing fell below 21 employees for any reason, then the Village could reduce staffing on each fire engine to not less than 3 employees on an engine. The Village also proposed reducing the number of employees assigned to the squad from 3 to 2 employees. The Union sought to maintain the *status quo*. Arbitrator Benn rejected the Village's proposal, and awarded the Union's final offer to maintain the *status quo* contract language. (Un. Ex. 7, Tabs 8, 14)

On December 11, 2014, the parties began negotiations for a successor contract to the 2012 – 2014 Contracts. The Union proposes to maintain the *status quo* current contract language. I note that there were a number of legal proceedings between the parties that ultimately led to a determination by the Illinois Appellate Court as to the proper interpretation of whether Section 7.9, Minimum Manning, means 21 or 22 employees on a shift. The Union acknowledged and agreed that it will be bound by the Illinois Appellate Court's interpretation of the current contract language. On September 12, 2016, the Illinois Appellate Court ruled that the current contract language, as written, means minimum staffing of 21 per shift with 4 on each engine, 2 on each ambulance and 2 on the squad. Under the Village's proposal, it would reduce engine staffing from 4 to 3 per engine. (Jt. Ex. 5 at 4; Tr. 18, 22-25, 35, 37, 45, 333, 361-366, 435-436, 654-655)

The Village did not specify how many individuals would staff the engines and how many would staff the quint. The Chief indicated that engines and quint were never listed separately. The fact that it failed to distinguish the engine from the quint further underscores why the Village's proposal is ambiguous. (Un. Ex. 7, Tab 8; Tr. 439)

The Union contends that the Village misrepresents its intent regarding the addition of the Battalion Chief of Training and Safety. The proposed contractual language notes that the Village will use its best efforts to fill the position. However, recently, the Village has twice stated that its "best efforts" does not mean that it must maintain the position. (Un. Ex. 8, Tabs 1, 2 and 14 at 10; Tr. 532-533)

When the parties were unable to reach agreement over the terms of their 2010-2014 Agreement, they proceeded to Interest Arbitration before Arbitrator Benn. In the Benn Arbitration, the Village sought to modify Section 7.9. Arbitrator Benn issued a bench ruling adopting the Union's position of no change to the *status quo*. According to Arbitrator Benn:

> Given the lack of support for reasons justifying a change in the minimum manning language as presented by the Village, the purpose of the bench ruling was to avoid further protracting and already protracted hearing. Had a bench ruling not issued, the Union would have been forced to consume much time rebutting evidence and arguments that I already knew were insufficient to meet the Village's burden on this issue. In my opinion, to not issue a bench ruling would have resulted in a waste of the parties' valuable money and time.
>
> (*Id.* at n. 102)

At that Hearing, the Village claimed that the present manning provisions are too costly due to overtime resulting from hirebacks necessary to meet the minimum manning levels and that manning levels can be reduced without harm to response time and safety. (*Id.* at 54-55)

During the Benn Arbitration, Chief Sheets testified that the Village could operate safely with 3 rather than 4 on an engine. The Village also offered, as it did in the instant case, a witness from TriData who concluded that the Village could operate with 3 on an engine. Arbitrator Benn concluded that the Village's evidence was insufficient to change the *status quo*. (*Id.* at 56-58)

The Village concedes that the real issue on manning is cost. Arbitrator Benn indicated that because of the very conservative nature of the process, Interest Arbitration frowns upon breakthroughs and changes to the *status quo*, unless the existing system is broken. Arbitrator Benn concluded, "At best, the current system is just costly due to overtime needed to meet the contractually required manning levels which have been the *status quo* for 20 years and have been premised upon safety". (*Id.* at 59-60)

Arbitrator Benn stated:

> The Village seeks a sea change to the manning system – specifically, the ability to reduce minimum manning from 4 to 3 employees on an engine, *i.e.,* a 25% reduction – when the system has been in place for 20 years and was formulated with the mutual intent "... for purposes of efficient response to emergency situations and for reasons of employee safety ..." with a mandate that if those agreed upon levels are not met, "... employees *shall* be hired back pursuant to Section 6.4. 'Overtime Distribution'" as expressed in Section 7.9(a) of the Firefighter Agreement [emphasis added]. The Village does not seek this sea change because the manning system is operationally broken. Rather, the Village seeks this sea change because the manning system is costly. That is not a basis for an interest arbitrator to change such a safety provision as important as minimum manning. Where one party (here, the Union) seeks to maintain the *status quo* and there is no demonstration by the party seeking the change (here, the Village) that the system is broken, that kind of change must come through the bargaining process.
>
> * * * *
>
> At most, the Village's claim here is a reluctance to pay or difficulty to pay. That is not sufficient to show that the manning system is broken and in need of change by an interest arbitrator.
>
> With respect to the "interests an[d] welfare of the public" portion of this factor, putting aside that reducing minimum manning on an engine by 25% goes against that parties' stated intent in Section 7.9(a) that the manning provisions were established "... for purposes of efficient response to emergency situations and for reasons of employee safety ...", it is not for me to determine that it is in the "interests an[d] welfare of the public" to reduce costs generated by overtime hirebacks to meet minimum manning requirements. …
>
> * * * *
>
> Given that the *status quo* is premised upon a safety issue, it would take a safety issue for me to change the *status quo* (*e.g.,* that there were sufficient instances of sub-par response times or ability to meet emergencies due to insufficient numbers of employees on the

> engines). That is not the case here. As the Village argues, as to the issue here, "[i]t's economic". In this case, "[i]t's economic" is just not enough.

(*Id.* at 6, 62-63, n.121)[4]

The Union disagrees with the Village's position that it offered a *quid pro quo* of value. In exchange for reducing staffing from 21 to 19, the Village was willing, in addition to withdrawing its opposition to the Union's UC petition, to provide a residency restriction when no such restriction previously existed. The Village's proposal included a residency requirement, but if the Union were willing to reduce minimum staffing, the Village would agree to a less restrictive residency proposal even though since 1981, no such restriction has ever been in place. (Un. Ex. 5; Tr. 475-476, 620, 626, 657, 666-667)

The Village's *quid pro quo* is to fill the vacated Bureau Chief of Training and Safety position. The Village does not justify how removing 3 people per shift can be exchanged for the value of an employee who does not engage in fire suppression. According to Chief Sheets, the Village determined that it could function without the Bureau Chief of Training and Safety position. Therefore, the Village's proposal has no value as a *quid pro quo*. (Jt. Ex. 4 at 2-3; Tr. 46, 420, 428, 431)

As Arbitrator Benn held in the last Interest Arbitration:

> But in any event, just because the Village was not successful in convincing the Union to change its position on maintaining the *status quo* on minimum manning does not mean that I must change it. The Village still has the heavy burden of showing that the existing minimum manning system is broken. The Village has shown that maintenance of the *status quo* on minimum manning is costly. However, taking everything in a light most favorable to the Village, the Village has not shown that the *status quo* on minimum manning is broken and must be changed through this conservative process.
>
> (Un. Ex. 7, Tab 8 at 65)

On April 8, 2015, during the parties' 7th bargaining session, the Union inquired what it would take to maintain the *status quo* on minimum manning. In response, the Village claimed it would take economic concessions.

[4] In the Benn Arbitration, the Village did not claim an inability to pay. (Un. Ex. 7, Tab 8, at 63, n. 121)

On September 14, 2009, the parties entered into a "Variance Agreement" in lieu of the Village laying off 11 Bargaining Unit employees. The Union provided concessions in both Bargaining Units which included:

- Reducing pay by 9 straight time hours per pay period from September 1, 2009 through December 31, 2009;
- Working at straight time rather than overtime for work on the remaining designated holiday in 2009 through December 31, 2010;
- Foregoing the remaining uniform allowance payments through December 31, 2010;
- Foregoing the 3.75% wage increase effective January 1, 2010; and
- Receiving pay at the straight time for the first 36 hours of overtime worked in 2010.

In exchange for this approximately $900,000 of concessions, the Union received a promise that the 11 layoffs would not occur. (Un. Ex. 7, Tabs 8, 14, 27, Un. Ex. 8, Tabs 5-7; Tr. 687)

At the same time, the Village sought concessions from the other bargaining units. According to the Village, each bargaining unit was to give its proportionate share or face layoffs. Based on the Village's request, each of the other bargaining units were to proportionately provide concessions as follows:

Police Unit	$1,249,920
911 Communications	$ 210,180
Local 150 (Public Works)	$ 704,630

(Un. Ex. 8, Tabs 5 at 4, 6 at 3; Tr. 682-686)

The Village would face a $1.3 million budget shortfall in 2009 and $1.8 million in 2010 and it expected the various bargaining units to agree concessions or face layoffs. Other than the Union's concessions, and a small concession from the Local 150 Public Works Unit, no other bargaining units did so, yet faced no consequences. Those same units received wage increases while the Union gave major concessions to avoid threatened layoffs that never occurred elsewhere. (Tr. 688)

The Union points out that on March 5, 2012, the Illinois Labor Relations Board issued its Decision in *Oak Lawn Professional Firefighters Association, Local 3405, IAFF and Village of Oak Lawn,* Case No. S-CA-08-271, in which the Village was found to have violated the Act when it laid off 3 Bargaining Unit employees and eliminated 3 additional budgeted Bargaining Unit vacancies. (Un. Ex. 8, Tab 11 at 2, 8)

In the instant case, the Union has proposed cost savings in the amount of approximately $74,653.92 by agreeing with the Village's decision to eliminate the Bureau Chief of Training and Safety. The Village has refused to accept these cost savings. However, unlike the other bargaining units, the Union agreed to the Village's request for concessions in 2009. The evidence does not support a need for the Union to do so again. (Un. Ex. 10, Tab 20; Tr. 428, 684)

Next, the Union rejects the credibility of the testimony of the Village's witnesses. First, Chief Sheets has been employed by the Village's Fire Department for 7 years. When questioned as to how he would implement 3 on an engine in the Village, he could not credibly answer. When asked which of the 4 individuals currently staffed on an engine would be eliminated as a result of the reduction of staffing from 4 to 3, Chief Sheets was unable to identify said individual. (Tr. 64, 66-67, 391-392)

Chief Sheets also claimed that the Village could operate with 3 on an engine with the Mutual Aid system. MABAS requires that each responding apparatus be staffed with no less than 4 This would result in the Village's having to send 2 apparatus to a fire scene in order to assemble an engine company of 4, which in turn would cause a piece of equipment at the scene to be shut down and would no longer be available for other services, most likely an ambulance. According to the Chief, the MABAS system is an automatic dispatch of apparatus. However, any department in MABAS may choose to not provide assistance. (Un. Ex. 8, Tab 18 at 17; Tr. 71, 72, 884-885)

Further, the Village is close to double the population of the other MABAS communities. Many of the MABAS Division 21 communities consist of volunteer Fire Departments or paid on-call or part-time personnel. While Chief Sheets testified that other departments operate with less than 4 on an engine, he admitted that he did not know how many pieces of apparatus each department maintains. The record is does not indicate how many apparatus that the external comparable communities operate. (Er. Ex. 30 at 2; Tr. 344-345, 351-353)

Chief Sheets stated that he reviewed data to support his contention that the Department can operate with 3 on an engine. Chief Sheets testified that the number of structure calls is about 10 or less per year. However, according to the National Fire Incident Reporting System ("NFIRS") Reports, during the period of January 1 to December 31, 2015, the Village had 96 structure fires. In fact, Oak Lawn had the 4th highest number of structure fires and total fires among the 15 external comparables, as well as the most structure fires per Firefighter. According to the Department's data for the same time period, there were 72 building fires. Phil Schaenman's testimony also conflicted with Chief Sheet's testimony regarding the number of structure fires per year. (Er. Ex. 31; Un. Ex. 8, Tabs 15, 16, 17 at 1; Tr. 116-118, 386-387, 454-456, 734-735)

The Union further challenges Chief Sheet's testimony, noting that when he was asked to identify the tactical objectives at a fire scene, he was unable to do so. The Union contends that these 8 objectives are well known to all Firefighters. Although the Chief claims to be present at 90-95% of the fires, the evidence proves otherwise. (Tr. 248, 352-358, 375, 381)

Second, the Union rejects the testimony of Philip Schaenman. Schaenman is the founder and president of TriData, and has a background in engineering. Schaenman has never been employed in the fire service or fought a fire. He concedes that he has only put on protective firefighting gear once. Prior to the instant proceeding, Schaenman has never been called upon to provide expert testimony regarding Fire Department staffing. (Er. Ex. 29; Tr. 138, 140, 142, 150-151, 178-179)

Similarly, Schaenman testified about Unit Hour Utilization ("UHU"). Based the UHU factor, Schaenman indicated that the Village's ambulance utilization is low. The Union contends that it is difficult to understand how Schaenman could claim that the Village's approximately 6,000 ambulance calls per year is a low utilization. UHU is used in private industry to measure productivity, i.e., to determine how many transports a private company can perform per hour to assess how much revenue it can bring in. UHU has no role in the fire service. (Er. Ex. 34; Un. Ex. 8, Tab 21; Tr. 170-171, 1032-1033)

According to Schaenman, in preparing his testimony, he reviewed certain information, which notably did not include CAD data. Schaenman concluded that the first responding apparatus would usually arrive within 4 minutes. If that were an engine staffed with 4, under the Village's proposal, it would now be an engine staffed with only 3 that would meet the 4 minute benchmark. Schaenman concluded that, based on current staffing levels, the Village could assemble an adequate number of Firefighters, and the Village's staffing levels are adequate. Schaenman failed to provide testimony regarding what would happen under the Village's offer to reduce staffing. The Union suggests that Schaenman failed to answer the ultimate question of whether he agreed to the Village's proposal to modify minimum staffing. (Er. Ex. 33; Un. Ex. 1; Tr. 155-156, 167-170, 191-192, 198)

Schaenman testified that his determination that it is safe to operate with 3 on an engine was based on other MABAS Division 21 entities. However, he never reviewed any information concerning the amount of Mutual Aid that the Village provides to the other MABAS 21 entities. The Village has the highest population of the MABAS Division 21 communities at 57,000, with the next highest community with half that population. The MABAS 21 Policy Manual provides that companies must arrive with a full crew of 4 members. Schaenman admitted that the Village provides more Mutual Aid than it receives. Schaenman's testimony makes clear that staffing an engine or quint with 3 is not as safe as with 4. (Er. Ex. 30 at 2; Un. Ex. 8, Tab 18 at 17; Tr. 218, 224)

Union witness William Bryson has been in the fire service for over 40 years. While Fire Chief, he obtained the first ISO 1 rating for the City of Miami and was the recipient of the Metropolitan Fire Chief of the Year Award in 2008. Bryson recently won the Metro Fire Chiefs' Award for his work in the fire industry. In both Miami and Miami-Dade County Fire Departments, engines were staffed with a minimum of 4. (Un. Ex. 3; Tr. 229-232)

Bryson has served on the NFPA 1710 Committee since 2005, and as Chairman for the past 7 to 8 years. Bryson is also working on staffing models for Houston and previously, Kansas City, Kansas. In both situations, Bryson's work was performed on behalf of the employer. (Un. Ex. 4; Tr. 228-229, 232, 234)

The Union explains that NFPA Standards are developed through a development process approved by the American National Standards Institute and are reviewed and modified every 4 years. NFPA 1710 specifies the minimum criteria for effectiveness and efficiency in the fire service. Nothing prohibits a jurisdiction from exceeding the minimum requirements. (Un. Ex. 4; Tr. 239, 241-242)

According to NFPA 1710, "Fire company staffing requirements shall be based on minimum levels necessary for safe, effective, and efficient emergency operations. Engine companies, which are defined as fire companies whose primary functions are to pump and deliver water and perform basic firefighting, … are required to be staffed with a minimum of 4 per engine." (Un. Ex. 4; Tr. 246)

Over the past over 20 years, the parties have, through negotiations, determined that 22, and later 21, is the necessary number of members on duty. If the Village's proposal is granted, staffing would no longer meet NFPA 1710. (Jt. Ex. 2; Tr. 247)

The Union offered testimony by Battalion Chief Scott Sobol, who has been employed by the Village for approximately 25 years. As Battalion Chief, Sobol is in charge of his shift for a given day. Sobol works 24 hours on, followed by 48 hours off. In the absence of Chief Sheets, Sobol is in charge. (Tr. 723-727)

Sobol was the Incident Commander at both the Harnew Road and 54^{th} street fires that occurred in the Village just prior to the Hearing in this case. The companies report to him regarding the conditions and progress of fighting a fire. Sobol in turn provides the companies with updates, any resources they request, and keeps track of the incident as it progresses. (Tr. 743, 767, 769)

Sobol testified that the 8 tactical objectives on every fire scene are size-up, call for help, save lives, confine and contain, ventilate, extinguish, overhaul, and salvage. The well-known acronym in fire service for these 8 tactical objectives is SCSCVEOS. Sobol explained each of these 8 objectives. In addition to the 8 objectives, at every emergency incident there are 4 strategic priorities. The first is to remove any endangered occupants and treat anyone that is injured. The 2^{nd} is to stabilize the incident and provide for life safety. The 3^{rd} priority is to conserve property, and the 4^{th} is to provide for the safety, accountability and well-being of fire personnel. (Tr. 753-760)

Sobol testified regarding the role of each of the 4 people on the engine and quint. The driver/operator, who is an Engineer, drives the apparatus to the scene. The driver is responsible for operating the pump to transport the water from the hydrant. The company officer is in charge of the company, and is historically a Lieutenant or Captain who is responsible for the initial size-up. The pipeman brings the hose into the structure and controls the nozzle to extinguish the fire. The hydrant man is responsible for hooking up the hose to the hydrant and sending water to the Engineer. Once the Engineer acknowledges that he has a positive water source, he traces the line back up to meet with the crew and assist the hose into the building along with the fire officer and nozzleman. (Tr. 748-750)

If the quint is first on the scene, it operates as an engine. If the quint arrives second, it operates as a ladder truck because the Village does not have its own ladder truck. The driver/operator of the quint operates the aerial apparatus and the other Firefighters have varied duties, depending on a number of factors. However, the quint cannot perform both functions simultaneously; it either serves as an engine or a truck. (Tr. 750-753)

According to the Union, in order to successfully mitigate a fire incident, all 4 roles must be performed simultaneously. If not, it will be a less efficient and a more risky and unsafe operation and will significantly impact the outcome and success of the fire. Sobol described the negative impact of removing one person from an engine. Sobol explained how today's building materials have caused a more rapid increase in temperature, causing the fire to grow extremely quickly. (Tr. 760-763, 771-773)

Sobol made clear that the importance of time and sequential completion of tasks is not only applicable to fire incidents, but is equally applicable to emergency medical service calls and vehicle extrication. By removing someone from the apparatus, crucial tasks are delayed. In response to the Chief's contention that it would most likely be the hydrant person who would be removed from the engine, Sobol explained that the task still exists and will have a negative effect on the operation. Removing any other person would have a more dire impact. (Tr. 773-778)

Sobol explained that not all equipment has water on it. Thus, if the Village were intending to dispatch the squad and an ambulance, each of which is staffed at 2 personnel to make a total of 4 personnel, it would provide no service at the scene of a fire where an engine with water is needed. Two pieces of apparatus allows each apparatus to respond to a specific type of call. If an ambulance and engine were paired at the scene of a fire, the ambulance would then be shut down and out of service. Thus, the level of service under the Village's proposal will result in less equipment to respond to fire and ambulance calls. (Tr. 791-793, 871-872)

Battalion Chief Robert Wesselhoff has been employed by the Department since April 1990. Wesselhoff described a fire that occurred in Oak Lawn on July 6, 2016, at which he was the incident commander. Dispatch initially sent the engine to the wrong location. The fire involved a building with a mansard roof, which are extremely difficult to extinguish. At the time the equipment was dispatched, Engine 1 was in Blue Island. Engine 2 was on another call at the west end of the Village, so neither engine was available. The first arriving units were Assistant Chief Bowman, an ambulance and the squad. Despite the presence of these apparatus, there was no water. It took the quint approximately 7 minutes to arrive at the scene of the fire and was the first water to arrive. When Wesselhoff arrived, the fire had grown to a significant fire in the interior of a condominium building. The Firefighters were shorthanded because the Village's engines were unavailable. If an engine had been available, and it reported with 3 Firefighters rather than the current 4, it would have further slowed down what already was a difficult situation. (Un. Ex. 8, Tabs 27, 32; Tr. 861-871)

Second, on July 6, 2016, Wesselhoff also served as incident commander at a fire that occurred at 8993 Natoma in the Village. This fire occurred at 4:00 a.m. on the same shift as the fire just described, resulting in 2 structure fires on the same shift. While in route to another fire, Engine 2 was rerouted to the Natoma fire. Burbank, one of the MABAS 21 communities, chose to not respond to the fire[5], which forced the Village to rely on Evergreen Park's truck, which was over 4 miles away, delaying the arrival time. What began as a garage fire escalated into a house fire. According to Wesselhoff, had Engine 2 been staffed with 3 rather than 4, it would have negatively impacted this fire. (Tr. 872-877)

[5] Any department can choose to not respond to mutual aid calls. (Tr. 884-885)

Thus, the Union contends that in comparison to the experience of Battalion Chiefs Sobol and Wesselhoff, neither Sheets' nor Schaenman's testimony is credible in regard to fireground safety. The Union argues that the testimony Chief Sheets and Schaenman is further refuted by the testimony Moore-Merrell. Moore-Merrell has managed emergency response system evaluation teams, including geographic information systems ("GIS") in over 500 Fire Departments throughout North America. (Tr. 935-943; Un. Ex. 9, Tab 1)

Moore-Merrell is also well known for her roles in a series of research projects, funded by the Department of Homeland Security to develop tools to assess risks/hazards and plan resource deployment based on these risks. Her research team works in the area of resource deployment from Fire Departments regarding Firefighter safety. Moore-Merrell has devoted over 10 years to research resulting in 4 landmark reports associated with the impact of the number of Firefighters on a company. (Un. Ex. 9; Tr. 943, 950, 960-963)

Moore-Merrell testified that numerous studies have concluded that it is far safer for civilians, Firefighters, and property to operate fire engines with 4 Firefighters rather than 3. In 2006, Moore-Merrell co-authored a study funded by the U.S Fire Administration, regarding contributing factors to Firefighter line-of-duty deaths ("LODD"). The study found that a cluster of factors, including staffing/crew size, was responsible for 44% of LODD from 2000-2005. (Un. Ex. 9, Tab 2A at 14-15, 18-19; Tr. 950-954, 1021, 1034, 1043-1044)

In April 2010, Moore-Merrell was a co-principal investigator for the "Report on Residential Fireground Field Experiments", funded by the U.S. Department of Homeland Security for NIST. It took 3 years to produce the study, which examined the impact of crew size on the 3 major outcomes of fires, namely civilian injury and death, Firefighter injury and death, and property damage. Using live fire, the study examined the effects of crew size on fire growth, and the time required to perform 22 critical tasks that must take place on the fireground. The study found that the time it takes for all 22 tasks to be completed was nearly 5 minutes less for 4-person crews than 3-person crews. (Un. Ex. 9, Tab 3 at 26, 35, 38, 40, 41; Tr. 960-963, 965, 967, 973-977)

Moore-Merrell also served as the principal for a study, funded by Homeland Security, examining the effects of different crew sizes deployed for EMS purposes. The study concluded that in all but one aspect, 4-person crews responded more quickly than 3-person crews in areas such as patient removal time, overall trauma scene time, and oxygen administration start time. (Un. Ex. 9, Tab 8, Tr. 991-995, 997-1000)

In April 2013, Moore-Merrell was co-principal investigator for another NIST study, "Report on High-Rise Fireground Field Experiments." She and her co-principal investigator gathered equipment, conducted experiments involving setting a fire on the 10th floor of a high-rise building, and prepared the analysis and fireground report. Moore-Merrell reviewed 3 variables, the first of which was crew size of 3-, 4-, 5-, and 6-person crews. She also considered the effect of different numbers of apparatus, along with stairs and elevator ascent times. This study found that 4-person crews had shorter response times than did 3-person crews in numerous areas. It also found through its experiments that toxic exposure for occupants on the fire floor, and the total heat release faced by Firefighters, created a more hazardous environment for 3-person crews. The search and rescue time area found significant differences between the 3- and 4-person crews due to the fact that a 4-person crew can be divided into 2 search teams of 2 and 2, whereas, the 3 person crew cannot be separated. (Un. Ex. 9, Tabs 9, 10, 12, 15; Tr. 1000-1012, 1018-1020)

The Union argues further that the 3-person crew also negatively impacts Firefighters' ability to commence fire suppression efforts, because an interior attack cannot begin until a 2nd engine arrives. Moore-Merrell testified that the initial arrival time of the complete crew of 4 was critical. If not, the suppression effort will be delayed. (Tr. 1013-1015, 1039-1040)

Moore-Merrell prepared a GIS report for the Village. Moore modeled the deployment capability of the Department, the apparatus sent out from a fire station, the capability to respond within 4 minutes for the first-arriving company, and the capability to respond and assemble a full-alarm assignment for low-hazard residential properties within 8 minutes. Moore-Merrell created a map that shows the locations of the stations and the surrounding population density. She then calculated the response times for various scenarios. Coverage of all area roads within 4 minutes was 67.6%. When given additional time, to 8 minutes, to assemble a minimum of 15 Firefighters on the scene, coverage improves to 95%. (Un. Ex. 9, Tabs 17-19; Tr. 1022-1031, 1146)

The GIS report produced a significant change when engines are staffed with only 3 Firefighters. While 4-person staffing resulted in 67.6% coverage within 4 minutes, engines staffed with 3 Firefighters resulted in only 6% coverage. Coverage is reduced from 95% to 87.54% when capability for 8 minutes is calculated for a 3-person crew size. Finally, when the crew size is reduced from 4 to 3, coverage under NFPA 1710 for a minimum of 15 personnel being assembled on scene within 8 minutes falls drastically, from 87.5% to 22.6%. Moore-Merrell testified that there would absolutely not be a scenario whereby 3 on an engine would be as safe as 4. (Un. Ex. 9, Tabs 18-20; Tr. 1030-1032, 1160-1161)

Under Section 14(h)(3) of the Act, the Arbitrator is to take into consideration the "the interests and welfare of the public and the financial ability of the unit of government to meet those costs." The Union contends that the Village can meet the costs of maintaining the *status quo* manning language. The evidence shows that the Village's proposal will have a substantial negative impact on both the Village community, its MABAS partners, and Firefighter safety. (Tr. 428-429)

The Village's MABAS 21 partners will also be negatively impacted by a reduction in staffing from 4 to 3 on an engine. The Village the largest of the MABAS 21 communities. The Department's role is crucial to MABAS Division 21. (Er. Ex. 30 at 2; Tr. 428-429, 783, 786-789)

The Union further contends that the public will also be impacted by the Village's proposal, as it will affect the Fire Department's ISO Rating. ISO is a rating that is provided by the Insurance Service Office, an organization that provides statistical information on risk of a particular Fire Department. Fire departments receive an ISO rating from 10 to 1 with ISO 1 being the best rating a department can achieve. All insurance companies calculate their insurance rates based on the ISO rating of the particular Fire Department that covers the homeowner. (Un. Ex. 8, Tabs 23-24; Tr. 706-707)

In determining a community's ISO rating, a fire suppression rating schedule is used, which reviews firefighting capabilities of individual communities. The schedule measures the major elements of a community's fire suppression system and develops a numerical rating called a public protection classification ("PPC"). The rating consists of an assessment of fire alarms, which is based on how well the Fire Department receives the fire alarm and dispatches its firefighting resources. Fifty percent of the rating is based on the Fire Department's first alarm response, the review of which includes manning level. Forty percent of the rating reviews the community's water supply. The Union notes that in 1994, when the Village staffed with 22 per shift, Oak Lawn had an ISO rating of 1. In 2007, when the Village staffed with the current number per shift of 21, its ISO rating was 2. (Un. Ex. 8, Tab 24; Tr. 707-708)

The Union rejects the Village's assertion of its list of "Unfunded Safety Related Necessities." The Village's evidence was created solely for the purposes of this Hearing. Chief Sheets testified that he, Assistant Chief Scott Boman and EMS Bureau Chief Gary Bettenhausen prepared the list of items that the Department wished to fulfill if unlimited funds were available. (Er. Ex. 21A; Un. Ex. 8, Tab 22; Tr. 19, 84-85, 704-705)

Therefore, for the reasons set forth above, the Union urges this Arbitrator to award the Union's proposal to maintain the *status quo* language of Section 7.9 Minimum Manning.

c. <u>Minimum Manning - Analysis</u>

After a review of the evidence and arguments in this matter, I find that the Village's proposal regarding manning is a breakthrough and that the Village has failed to meet its burden to show that such a breakthrough is appropriate. For the reasons discussed below, the Union's *status quo* proposal is granted.

The initial inquiry in the analysis of this Interest Arbitration item involves whether the Village's proposed changes to manning requirements of 21 qualify as a relatively minor change to the *status quo* of existing terms and conditions of employment, requiring a lower burden of proof, or whether the

Village's proposal, as the Union characterizes, constitutes a new or dramatically changed benefit that would be considered a breakthrough issue, requiring a heightened standard of proof. It is well known that the party seeking to change an existing provision of a contract bears the burden of proving the need for the change. In cases in which the requested change is to improve the *status quo* of an existing benefit, such as an increase in pay or amount of vacation time, Arbitrators generally require a lower burden of proof that demonstrates that the change is preferable or more equitable, based on the factors identified in the Act. *Village of Oak Brook and Illinois F.O.P. Labor Council*, Case No. S-MA-09-017 (McAlpin, 2011)

Conversely, where the requested change seeks to create an entirely new or a significant change in a benefit or procedure, Arbitrators apply a higher standard or a breakthrough analysis before the Section 14(h) factors are considered. "The traditional way of conceptualizing Interest Arbitration is that parties should not be able to obtain in Interest Arbitration any result which they could not get in a traditional collective bargaining situation." *City of Burbank and Illinois Fraternal Order of Police Labor Council*, Case No. S-MA-97-056 (Goldstein, 1998)

As established in *Will County Board and Sherriff of Will County,* Case No. S-MA-88-09 (Nathan, 1988) and *City of Burbank*, Arbitrators typically apply a 3-prong test that a party must meet in order to demonstrate that a major change in the *status quo* is needed:

> 1) the old system or procedure has not worked as anticipated when originally agreed to; or
>
> 2) the existing system or procedure has created operational hardships for the employer or equitable or due process problems for the union; and
>
> 3) the party seeking to maintain the *status quo* has resisted attempts to bargain over the change (i.e., refused a quid pro quo).
>
> *City of Burbank,* Case No. S-MA-97-056 (Goldstein, 1998).

With these principles in mind, the Arbitrator considers, "… what the parties may have reasonably agreed to if they had been successful in compromising and settling the open issues." *Wood Dale Fire Protection District and Wood Dale Professional Fire Fighters Ass'n*, S-MA-07-260, at 33 (Winton, 2008)

I note that the parties have presented a significant amount of evidence, including expert testimony on this matter. I have carefully considered the extremely voluminous record in this case, including all the evidence and arguments that have been proffered by the parties. I agree with the Union that the Village's proposal to decrease the minimum staffing requirement is a breakthrough issue. I find that by lowering the amount of employees on an engine from 4 to 3, the Village is attempting to significantly change the *status quo* in the Department, rather than simply modifying an existing term or condition of employment. I disagree with the Village that this is not a minor change in existing working conditions. Rather, I find that it is a major modification to the existing manning structure.

I note that the amount of employees on a shift has been the same since approximately 1992, a period of 24 years. While the Village argues that its proposal merely reduces the amount of employees on a shift and will not modify the effectiveness of the Department, in applying the 3-part test, it is evident that this reduction in staffing will change the *status quo* in a dramatic fashion. I find that the evidence indicates that the Village seeks to obtain through this Interest Arbitration a significant departure from an existing provision that qualifies as a breakthrough change based on the precedent cited above.

In addressing the 3 factors, I first find that the evidence does not establish that the Department's minimum staffing has not worked as intended and thus does not meet the breakthrough standard. I note that the Village has argued that it believes that the minimum staffing is in excess of what is necessary to properly staff the Village.

The first measure of a breakthrough analysis is:

> 1) the old system or procedure has not worked as anticipated when originally agreed to;

I have reviewed the evidence in this case and find that it is uncontested that the Fire Department in the Village has successfully been fighting fires with 21 employees on a shift. I note that the Village has presented a significant amount of evidence to show that it does not need 21 employees on a shift and that 19 employees would serve the Village equally well and save the Village a significant amount of money that it could use for other purposes that would benefit the Village. The Village points to the fact that it not only staffs sufficient Fire Department employees, but that with Mutual Aid, 19 employees on a shift is eminently reasonable. Further, it cites to the testimony of its expert witness, Phillip Schaenman who testified credibly that the Village could easily function with 3 employees on an engine rather than with 4. The Village contends that it has proven that while it was originally agreed that 21 employees on a shift was sufficient, the conditions which led to that amount have changed based on a number of factors, including better equipment and Mutual Aid.

Conversely, the Union has presented evidence that the system of having 21 employees on a shift has worked well. The Village of Oak Lawn is obtaining excellent fire protection and the current staffing is working exactly as it was intended. Further, the Union contends that the evidence shows that by implementing the plan that the Village intends would be counterintuitive. It would actually impede the ability of the Village to effectively respond to fires. For example, with 4 employees on an engine, one company can arrive at a fire and immediately begin to fight it. Further, if the Village's proposal was implemented, it would require 2 pieces of equipment in order to begin to fight a fire, which is not the most efficient approach to fire fighting. By having to rely more heavily on Mutual Aid, it places the citizens of the Village in a vulnerable position in which, at times, it must rely upon the willingness of a neighboring community to assist. This is not feasible and should be rejected. Finally, the Union's expert witness, Moore-Merrell, testified credibly that 4 employees on an engine is far preferable to 3 in terms of fighting fires. The fact that some departments do use 3 Firefighters on an engine does not mean that 4 is not a preferable number.

As noted above, in order to meet the standard for a breakthrough, the party requesting the breakthrough must prove that all relevant aspects have been met. As noted above, Interest Arbitration is an extremely conservative process, and parties must not be able to obtain in Interest Arbitration what it could not achieve in negotiations. Interest Arbitration is a last resort process, only to be utilized when parties that cannot strike cannot reach agreement after good faith bargaining.

In the instant case, I find that the minimum manning system has worked as intended. The Village has essentially argued that the system would work better with 3 employees on an engine, rather than 4. It has presented a substantial amount of evidence to show that the Village could function with 3 rather than 4 on an engine. The Union has also presented substantial evidence to show that by moving from 4 to 3 employees on an engine, the residents of the Village would be placed in a vulnerable situation that would endanger lives.

As noted above, the first prong that must be met to meet the threshold of a breakthrough analysis is to prove that the system is not working as it was intended. I have reviewed all the evidence and find that the staffing of a shift with 21 employees is working as intended. Even if I were to agree with the Village that it could function with 3 on an engine, that does not meet the initial standard to show that the system is not working as intended. Further, it is clear, based on the evidence presented, that the reason that the Village wishes to reduce manning, is primarily economic, and not operational. This is not a valid reason to obtain a breakthrough change in Interest Arbitration. For these reasons, the Village has not shown that minimum staffing has not worked as the parties intended when they agreed that the amount of individuals on a shift should be 21.

The 2nd prong of the 3-pronged test requires that the moving party must show:

> 2) the existing system or procedure has created operational hardships for the employer or equitable or due process problems for the union; and

As noted by Arbitrators Nathan and Goldstein, the party pursuing a breakthrough change to the *status quo* must show that either the first or 2nd threshold requirement has been met. Based on the evidence presented above, I cannot find that the existing system has created operational hardships for the Village. Thus, I find that the Village has been unable to meet either of the first 2 prongs of the 3-prong test.

The third prong of the test requires:

> 3) the party seeking to maintain the *status quo* has resisted attempts to bargain over the change (i.e., refused a *quid pro quo*).

I note that in order to obtain a breakthrough change, the party seeking the change must first prove that one of the first 2 requirements has been met, and further, that the party seeking to maintain the *status quo* (here, the Union) has resisted attempts at the bargaining table to address these issues. As noted above, I have determined that the Village has not met its initial burden to show that the system is broken. While it is unnecessary to reach the 3rd prong, I have nonetheless reviewed the bargaining history and cannot find that the Village has met its burden to show that the Union has resisted attempts at the bargaining table to address the issue.

First, the Union contends that while the Village has made proposals to the Union regarding manning, those proposals were not of sufficient value for the Union to seriously consider reducing the number of personnel on an engine. Specifically, the Union identified the Village's proposals and any *quid pro quos* that were offered:

- On January 29, 2015 and March 11, 2015, the Village proposed to modify the minimum manning provision covering the Firefighter Unit without a responsive benefit. (Un. Ex. 7, Tab 15 at 16-18, 20 at 3)
- On February 11, 2015 and March 19, 2015, , the Village proposed to modify the minimum manning provision covering the Officer Unit without a responsive benefit. (Un. Ex. 7, Tab 16 at 14, 21 at 4)
- On April 8, 2015, the Village proposed to modify the minimum manning provision covering the Firefighter Unit. In exchange, the Village offered to withdraw its opposition

to the UC Petition and agree to merge the two units. Local 3405 responded that it believed that the UC Petition had no value. (Un. Ex. 7, Tab 25 at 1; Tr. 655-656, 663)

- On June 2, 2015, the Village proposed to modify the minimum manning provision covering the Officer Unit. In exchange, the Village offered to withdraw its opposition to the UC Petition and agree to merge the two units. Local 3405 again responded that the UC Petition had no value. (Un. Ex. 7, Tab 29 at 2; Tr. 655-656)

- On June 25, 2015, the Village proposed to modify the minimum manning provision covering the Firefighter Unit again in exchange for agreeing to the UC Petition but seeking a breakthrough residency requirement, the ability to subcontract out bargaining unit work to full-time non-bargaining unit, part-time and paid on call personnel and mandating that Local 3405 withdraw all pending litigation relating to minimum manning. (Un. Ex. 7, Tab 30)

- On July 14, 2015, the Village proposed to modify the minimum manning provision covering the Firefighter Unit in exchange for the same items it previously offered on June 25, 2015, but would now allow the Union the burden to prove that there has been a serious risk to the safety of any bargaining unit employee beyond normal firefighting duties. The remedy would be limited to adding one additional person per shift. (Un. Ex. 7, Tab 32)

The Union contends that the Village never offered any proposal of sufficient value to the Union. According to the Union, in exchange for reducing staffing from 21 to 19 over the length of the contract, the Village proposed, in addition to withdrawing its opposition to the Union's UC petition, to provide a residency restriction when no such restriction ever existed. The Union contends that the Village's approach essentially consisted of proposing a very restrictive residency requirement, but that if the Union were willing to reduce minimum staffing, the Village would agree to a less restrictive residency proposal even though since 1981, no such restriction has ever been in place. The Village's *quid pro quo* is to fill the vacated Bureau Chief of Training and Safety position, which is an administrative position working a day shift. Essentially, the Union contends that no realistic proposal was ever presented. Thus, the Union contends that it has not resisted bargaining over this issue. (Jt. Ex. 4 at 2-3; Tr. 46, 420, 666-667)

The Union cites to Arbitrator Benn's Interest Arbitration Award between the parties, regarding manning:

> … The Village still has the heavy burden of showing that the existing minimum manning system is broken. The Village has shown that maintenance of the *status quo* on minimum manning is costly. However,

> taking everything in a light most favorable to the Village, the Village has not shown that the *status quo* on minimum manning is broken and must be changed through this conservative process.

Conversely, the Village contends that it was the Union that resisted attempts to change the *status quo*. The Village contends that its efforts were as follows:

> **April 8, 2015.** Village modified its proposal so that the reduction in staffing levels would be reduced gradually over time. The Village offered to agree to merge the bargaining units that there would be no residency restrictions for current employees.
>
> **June 25, 2015.** The Village proposed that it would be willing to keep a total of 21 personnel on duty each shift. These 21 would include 17 bargaining unit personnel, supplemented with subcontractors and/or part time personnel. (Tr. 79-80; *see also* ER. EX. 27).
>
> **June 29, 2015.** The Village offered to allow the Union to keep 21 personnel per shift if the Union would make adjustments to the calculation of overtime. Alternatively, the Village offered to pay a total of $1.46 million to the bargaining unit in exchange for a reduction in shift and engine staffing requirements. The Village again offered to agree to the Union's desire to merge the bargaining units and that there would be no residency restrictions for current employees.
>
> **July 4, 2015.** The Village offered to gradually reduce from 21 employees to 18 employees per shift. Further, if the Union believed the reduced staffing level was unsafe, the Union could file a grievance. If the grievance was sustained, the Village would be required to return to the previous staffing level. The Village added a third, valuable *quid pro quo*: a no layoff guarantee.
>
> **June 2, 2016.** The Village offered that if the Union would accept its staffing proposal with regards to shift and apparatus staffing, the Village would add a contractual commitment to employ at least 3 Bureau Chiefs.

The Village contends that each of these bargaining proposals was rejected by the Union. The Union failed to offer a meaningful counteroffer that would address the Village's concerns. Thus, it contends that the Village was forced to bid against itself in an attempt to reach a voluntary contract settlement. The record shows that the Union was unwilling to negotiate over this issue. Therefore, the final element of the breakthrough analysis has been satisfied.

As noted above, I need not reach this 3rd prong of the breakthrough analysis because the Village has been unable to meet one of the first 2 prongs. However, I have nonetheless reviewed this issue. After a review of the positions of the parties, I find that the Village has been unable to prove that the Union has completely resisted attempts to change the *status quo*. While there have been proposals made by the Village in exchange for the reduction in manning, I cannot find that the Village has proven that the Union's rejection of these proposals shows that it fully resisted making changes to the *status quo*. Therefore, I cannot find that the third prong of the breakthrough analysis was fulfilled.

Finally, I note that Arbitrator Benn was confronted with the same issue in the prior case between these parties. In rejecting the same issue, he held:

> The Village seeks a sea change to the manning system - specifically, the ability to reduce minimum manning from four to three employees on an engine, *i.e.,* a 25% reduction - when the system has been in place for 20 years and was formulated with the mutual intent " ... for purposes of efficient response to emergency situations and for reasons of employee safety ... " with a mandate that if those agreed upon levels are not met, " ... employees *shall* be hired back pursuant to Section 6.4. 'Overtime Distribution'" as expressed in Section 7.9(a) of the Firefighter Agreement [emphasis added]. The Village does not seek this sea change because the manning system is operationally broken. Rather, the Village seeks this sea change because the manning system is costly. That is not a basis for an interest arbitrator to change such a safety provision as important as minimum manning. Where one party (here, the Union) seeks to maintain the *status quo* and there is no demonstration by the party seeking the change (here, the Village) that the system is broken, that kind of change must come through the bargaining process.
>
> (*Id*. At 62-63)

As noted by numerous Arbitrators, Interest Arbitration is a fundamentally conservative process and parties should not be able to obtain in Interest Arbitration what they could not at the bargaining table. In the instant case, the Village sought to significantly modify the minimum manning provision of the contract. As noted above, I have determined that this is a breakthrough issue and the Village has not met its burden to prove that its proposal meets the standards under the 3-pronged breakthrough test. As the Village has been unable to meet its burden to show that this Interest Arbitrator should grant a reduction in manning, it is now up to the parties themselves to negotiate any changes. I agree with Arbitrator Briggs' statement in

City of Rockford and City Firefighters, Local 413, IAFF, Case No. S-MA-97-199, at 32 (Briggs, 1998) that "It is also clear that at the bargaining table the parties have successfully resolved their past differences of opinion with regard to minimum manning. Firefighter safety is fundamentally a matter for the parties themselves to address. Their respective bargaining teams have the necessary expertise to do so; interest arbitrators do not. For that reason, the Neutral Chair is inclined to favor the final offer on this issue which departs the least from the negotiated *status quo*."

Based on all these factors, I find that the Village has not been successful in proving that it has met the standards for a breakthrough. Therefore, I find that the Village has been unable to prove the necessary requirements to change the minimum staffing and I am rejecting the Village's proposal and am ruling that the *status quo* must remain.

3. Extra Duties and Responsibilities Pay (Economic)

The parties have made the following final proposals regarding a new Section 6.6, Extra Duties and Responsibilities:

UNION PROPOSAL	VILLAGE PROPOSAL
New Section 6.6. Extra Duties and Responsibilities The Assistant Chief(s) and Battalion Chiefs covered by this Agreement shall accrue an additional sixteen (16) hours of pay per month. This sixteen (16) hours of pay shall be rounded to a whole dollar amount. No employee shall be entitled to the payment of more than one (1) allotment of sixteen (16) hours of pay in a month by reason of the assignment of extra duties (including, but not limited to, duties in the areas of Apparatus Maintenance, Training, Radios & Communications, Station Maintenance, Box Cards, SOGs and Mutual Aid Agreements). Due to extra duties and responsibilities outside those contained in the covered employees'	*Status Quo* (i.e., There will be no new extra duties benefit language in Section 6.6.)

usual and traditional duties and responsibilities, the Village agrees to the above stated compensation.	

a. The Village's Position

The Village argues that the list of extra duties has been performed by individuals in the Village's Battalion Chief and Assistant Chief positions for a significant period of time. The job descriptions indicate that Battalion Chiefs are required to perform the duties for which the Union is now seeking extra pay. The Union's witness, Battalion Chief Sobol, admitted that the individuals that were performing these extra duties in the past were Battalion Chiefs. By its final offer, the Union is seeking more money for performing the same work without any evidence that the extra payment is warranted. (Er. Ex. 90; Tr. 604, 1173-1174)

Next, the Village contends that the Union has offered no evidence to demonstrate that Battalion Chiefs and/or Assistant Chiefs perform more work than their counterparts in the comparable communities. The Union has not offered any evidence to show that the individuals in these positions are underpaid in terms of the comparables. Therefore, external comparability cannot support the Union's final offer.

Similarly, the internal comparables do not support the Union's proposal. None of the other Village bargaining units receive extra pay for performing the work they are expected to perform as part of their normal job duties. The Union may argue that Police Officers receive stipends for performing duties beyond regular duties. However, the key distinction there is that Officers that may receive those stipends are actually performing specialty work above and beyond other Officers.

The Union may also argue that the Police Supervisors represented by the FOP receive extra duty pay. However, for that bargaining unit, extra duty pay is for performing extra duties and not pay for performing the same responsibilities the supervisors always performed. Here, the Union is seeking extra pay for performing work that is and has always been expected of their position, and it has presented no evidence to the contrary.

The Village also contends that the Union presented this same issue in the prior Interest Arbitration. In that case, the Union sought 12 hours of compensatory time per month for performing what the Union argued were extra duties and responsibilities. *See Village of Oak Lawn*, Case No. S-MA-13-033, pp. 103-104 (Benn, 2014). (Er. Ex. 91; Tr. 604)

In the prior Interest Arbitration, Arbitrator Benn recognized that the Union's position on extra duties is based upon the argument that during the course of the predecessor Officer contract, assignments of certain non-Bargaining Unit duties were shifted into the Bargaining Unit. At the time, the Village argued that Bargaining Unit members had long been performing said duties. Arbitrator Benn agreed with the Village's position, denied the Union's final offer, and concluded that the Union's issue on extra duties is something that should be handled through the grievance arbitration process.

On June 16, 2014, the Union filed a grievance, arguing that the Village was requiring Bargaining Unit employees to perform duties beyond those performed by this Bargaining Unit, and failed to pay Bargaining Unit employees for said duties. The Union withdrew the grievance on May 7, 2015. (Er. Ex. 92, 93; Tr. 605)

Last, the Village argues that the Union's extra duty proposal is not in the interests and welfare of the public. The proposal would impose a wage increase in excess of that required. Additionally, the Union's proposal would further burden the pension system. The Union's proposal for extra pay totals approximately $35,134.08 annually, which translates into 4 Bargaining Unit employees receiving, in addition to an increase in wages, an extra 7% to nearly 10% in pay per year:

NAME	ANNUAL SALARY AS OF 12/31/14	COST OF UNION EXTRA DUTIES PROPOSAL	PERCENT INCREASE IN PAY
BOMAN	$114,792	$10,596.48	**9.23%**
JENSEN	$111,996	$8,204.16	**7.33%**

HOJEK	$111,996	$8,204.16	**7.33%**
SOBOL	$110,976	$8,129.28	**7.33%**
TOTAL COST OF UNION PROPOSAL**:**		**$35,134.08**	

(Un. Ex. 10, Tab 20)

The increase in salary that the Union seeks is heightened when viewed in light of the February 2016 tentative agreement, which would have provided the Battalion Chiefs and the Assistant Chief with a monthly stipend on a non-precedential basis for performing additional duties previously performed by a now vacant position. However, the Union failed to ratify that tentative agreement. (Un. Ex. 10, Tab 19; Tr. 1187-1188, 1192-1193)

The tentative agreement provided that Assistant Chief Boman and the 3 Battalion Chiefs would receive additional pay each month, of $300.00 and $100.00 respectively, for a total of $7200.00 per year. Now, in Interest Arbitration, the Union seeks more than $35,000, far more than the $7200 in the tentative agreement. *See City of Chicago*, Case No. L-MA-12-005, p. 89 (Bierig, 2013) ("… an interest arbitrator should grant only what the parties would have agreed to in bargaining.") (Un. Ex. 10, Tab 19)

Further, the Union concedes that its extra duties pay proposal would be pensionable income. The Union's proposal would increase the pension funding problems discussed above, yet the Village would be getting the exact same work that has historically been performed by Bargaining Unit employees. (Tr. 1192)

For all of these reasons, the Union's proposal must be rejected and the Village's proposal regarding extra duties and responsibilities pay must be adopted by this Arbitrator.

b. <u>The Union's Position</u>

The Union argues that its proposal reflects the reality that over time the Assistant Chief and Battalion Chiefs have absorbed duties that were formerly performed by Division Chiefs. The Union proposes to provide the Assistant Chiefs and Battalion Chiefs an additional 16 hours of pay each month resulting from the absorption of these additional duties. (Un. Ex. 10, Tab 18; Tr. 1185-1186)

In 2005, the Fire Chief was Edward Folliard, followed in the chain of command by 2 non-bargaining unit Division Chiefs who oversaw the operations of the Department and Administrative/Support Services. On July 18, 2005, Chief Folliard issued a Memorandum setting forth the duties and responsibilities of the 2 Division Chiefs Norman Rick and Peter Lombardi. As the Division Chief of Operations, Rick was responsible for Code Enforcement, Training, Haz Mat, Records/Reports, Shift Personnel, Safety, Continuous Air Resource Transport ("C.A.R.T."), and Standard Operating Guidelines ("S.O.G.s"). As the Division Chief of Administrative/Support Service, Lombardi was responsible for Emergency Medical Services ("EMS"), Administrative Manuals, Buildings and Grounds, Computer Operations, Work Requests, Vehicle Maintenance, Communications, Equipment, and S.O.G.s. (Un. Ex. 10, Tab 18; Tr. 1169)

Code Enforcement includes working with local businesses to ensure that fire codes and fire inspection codes are followed. Haz Mat involves responses and training subject to OSHA. Records and Reports involves all Fire Department reporting. Shift Personnel includes any personnel matters. Safety includes response safety, apparatus driving safety, safety within the fire station, and wellness-fitness. C.A.R.T. is a cooperative between departments for technical rescue. S.O.G.s are standard operating guidelines for the Department. (Tr. 1170-1171)

EMS involves all emergency medical services operations. Supervision over Administrative Manuals involves all orders and directives of the Department. Building and Grounds includes all building issues. Computer Operations works with the Village's IT Department. Work Requests deal with repairs of various Departmental operations. Communications works with radio operations and the dispatch center. Equipment refers to the equipment that the apparatus carry. S.O.G.s involves coordinating guideline development under the direction of the Fire Chief. (TR. 1172-1173)

Beginning in 2007 or 2008, the Village began to restructure the Department. Lombardi and Rick were demoted to Battalion Chief when the position of Division Chief was eliminated. In 2012, the Village created the position of Bureau Chief of Training and Safety. James McGeever occupied this position as a Bargaining Unit employee until his retirement in 2015. The Village subsequently eliminated the position after McGeever retired. (Un. Ex. 7, Tabs 13, 19 at 3; Tr. 426-427, 1176-1177, 1182)

The Union contends that after McGeever's retirement, the duties of former Division Chiefs Rick and Lombardi were distributed as follows:

Rick (Operations)	**2015**
Code Enforcement	Bureau Chief Leikel
Training	Assistant Chief and Battalion Chiefs
Haz Mat	Assistant Chief and Battalion Chiefs
Records/Reports	Assistant Chief
Shift Personnel	Assistant Chief and Battalion Chiefs
Safety	Assistant Chief and Battalion Chiefs
C.A.R.T.	Assistant Chief and Battalion Chiefs
S.O.G.s	Assistant Chief and Battalion Chiefs

Lombardi (Administrative/Support Services)	
E.M.S.	Bureau Chief Bettenhausen
Administrative Manuals Assistant	Chief and Battalion Chiefs
Buildings and Grounds	Battalion Chiefs
Computer Operations	Assistant Chief
Work Requests	Battalion Chiefs
Vehicle Maintenance	Battalion Chiefs
Communications	Battalion Chiefs
Equipment	Battalion Chiefs
S.O.G.s	Battalion Chiefs

(Tr. 1175, 1178-1180, 1187)

In February 2016, the parties engaged in effects bargaining regarding the duties formerly performed by the Bureau Chief of Training and Safety Officer. As a result of the effects bargaining, the parties reached the terms of a tentative agreement regarding extra duty pay, providing that the Village had determined not to fund the vacancy in the rank of Bureau Chief of Training and Safety created by the retirement of Bureau Chief McGeever. The tentative agreement further detailed how McGeever's duties would be distributed and provided that Assistant Chief Boman and the 3 Battalion Chiefs would receive additional pay each month, of $300.00 and $100.00, respectively, for performing the additional duties. However, the Union membership voted to reject the tentative agreement. (Er. Ex. 38; Un. Ex. 10, Tab 19; Tr. 1187-1188)

The Union argues that its proposal most closely approximates the position in which the parties would have been had they been able to reach agreement. An Interest Arbitrator must consider what the parties may have reasonably agreed to if they had been successful in compromising and settling the open issues.

During the Interest Arbitration proceeding before Arbitrator Benn, the Union proposed to add a new Section entitled Extra Duties and Responsibilities. Arbitrator Benn, however, awarded the Village's proposal to maintain the *status quo*. Benn's Award was based on the fact that non-Bargaining Unit work had shifted to Bargaining Unit members, and therefore the matter should be dealt with through the grievance procedure. Conversely, in this case, the Union is not arguing that non-Bargaining Unit duties have been improperly assigned to the Bargaining Unit. Rather, the additional duties that are now being performed by the Assistant Chief and Battalion Chiefs were previously performed by Bargaining Unit members. Thus, the Union's proposal provides compensation for those who have absorbed additional duties formerly performed by other Bargaining Unit members. (Un. Ex. 7, Tab 8 at 103-104)

The Union argues that its proposal is more reasonable than that of the Village. The Union's proposal to pay the Assistant Chief and Battalion Chiefs an additional 16 hours of pay per month equates to $35,134.08 per year. The Village's proposal regarding minimum manning to fill the Bureau Chief of Training and Safety position equates to $109,788 – the annual salary of the Bureau Chief of Training and Safety position. Thus, the Union's proposal would save the Village $74,653.92 per year. (Un. Ex. 10, Tab 20)

Last, the Union proposal should also be adopted because it is supported by internal comparability with the Police Supervisors unit. The Police Supervisors contract provides for compensation of employees who perform extra duties and responsibilities. Section 9.5(b) of the Police Supervisors contract gives Police Supervisors an additional 16 hours of compensatory time or pay per month, equal to the amount proposed here. The evidence presented by the Union demonstrates that the all of the above-outlined additional duties and responsibilities are not the usual duties of the Assistant Chief and Battalion Chief positions. The Fire Officer Unit should also receive the same level of compensation for these extra duties and responsibilities, and the Arbitrator should adopt the Union's proposal. (Un. Ex. 5, Tab 21 at 24)

For all of these reasons, the Union requests that its proposal be accepted.

c. <u>Extra Duties and Responsibilities Pay - Analysis</u>

After a review of the parties' evidence and arguments, I find that the Union has not met its burden to show that its proposal should be awarded. Therefore, the Village's *status quo* proposal is accepted.

I have reviewed the parties' proposals. As noted above, the parties did reach a tentative agreement in February 2016 to give the Assistant Chief and the Battalion Chiefs an additional $300 per month and $100 per month, respectively. That would have cost the Department a total of $7200 per year. However, the Union voted to not ratify the tentative agreement. The Union's current proposal would cost more than $35,000 per year in salaries. The Village proposes to retain the *status quo*. The Union contends that the Assistant Chief and the Battalion Chief are entitled to additional compensation because they are performing additional duties. The Village contends that these duties have always been part of the regular duties of the Assistant Chief and the Battalion Chiefs and therefore no additional compensation is necessary. The Village contends that the additional $7200 was an agreement reached during effects bargaining, but that the Union's current proposal is far beyond what the parties initially agreed upon.

I note that the Union has argued that the tentative agreement should be given weight. I agree that in the past, I have considered a rejected agreement as part of my deliberations regarding whether to accept one party's proposal over the other. *See City of Chicago*, Case No. L-MA-12-005 However, in the instant case, I will not use that analysis because the tentative agreement bears little resemblance to the Union's proposal. The Union's proposal is 4.88 times the amount that was agreed upon. Based on the divergence of the tentative agreement and the Union's proposal, I must review the parties' proposals without giving preference to the tentative agreement.

I have reviewed the Union's proposal in terms of the factors set forth in Section 14. I do not believe that this is a breakthrough proposal. This proposal seeks to compensate the Assistant Chief and the Battalion Chiefs for additional duties that they perform. The burden in this issue is on the Union to prove that the Assistant Chief and the Battalion Chiefs are deserving of the additional 16 hours per month. I have reviewed the evidence and find that while it does appear that additional tasks have been assigned to the Assistant Chief and the Battalion Chiefs over the years, these additional tasks are within the general job responsibilities of their positions. I note that these tasks have been performed by these Bargaining Unit positions for a significant period of time.

I cannot find that the conservative process of Interest Arbitration shows that such an increase is justified. While it has been shown that other bargaining units in the Village do obtain additional compensation for additional duties that were previously not performed, in the instant case, I find that the Assistant Chief and Battalion Chief have been performing these duties for some time. I cannot find that the Union has been able to prove that at this time, it is appropriate to increase their compensation after they have been performing these duties for a significant period of time.

Further, I agree with Arbitrator Benn that this matter is best dealt with through the grievance procedure. In the instant case, I believe that the best approach to resolve this matter is to either reach an agreement at the bargaining table, or in the absence thereof, for the Union to file a grievance with a Rights Arbitrator to determine the outcome. I do not find that Interest Arbitration is the best approach here.

Therefore, I find that the Village's proposal to retain the *status quo* is granted. There shall be no change in Section 6.6.

4. **Employee Medical Benefits (Economic)**

The Village and Union have proposed the following regarding Article IX, Section 9.1 of the Contract:

VILLAGE PROPOSAL	UNION PROPOSAL
Section 9.1. General Principles	*Status Quo*

a. The Village shall provide health insurance and other employee benefit plans to all full time employees covered by this Agreement, and to retired employees receiving retirement benefits for their service to the Village, in accordance with the following provisions. The number and form of such plans shall be determined from time to time by the Village. The plans for medical, dental, vision and prescription drug benefits may not be substantially changed by the Employer without the agreement of the Union. In 2015, the Village will continue to pay ninety percent (90%) and the employees will pay ten percent (10%) of the base HMO plan for active employees. On January 1, 2016, ~~T~~the Village will ~~continue to~~ pay ~~ninety~~ eighty-seven and one-half percent (~~90%~~ 87.5%) and the employees will pay ~~ten~~ twelve and one half percent (~~10%~~12.5%) of the base HMO plan for active employees. The cost of the change in premiums paid shall be retroactive to January 1, 2016, and shall be withdrawn directly from each bargaining unit member's payroll on the same paycheck under which retroactive wage increases are issued. If the Village offers any alternative option(s) for health insurance coverage, the employee shall be financially responsible for any difference in health insurance premiums. On the date of this Agreement said employee benefit plans include health and medical insurance plans with options, life insurance, retiree benefits, long-term disability benefits, flexible spending accounts, vision benefits, dental benefits, and deferred compensation plans. [No changes to sub-sections b.or c.]	

a. <u>The Village's Position</u>

The Village contends that its proposal is modeled after the negotiated resolutions reached with its other bargaining units, and should be adopted. The difference in cost between the Village's proposal and the *status quo* is nominal. Employees will only contribute an additional $14 per month for single, $28.70 per month for couple, or $41.98 per month for family health insurance under the Base Plan, PPO Plus, or HMO plan options. (Er. Ex. 83)

The Village first argues that Interest Arbitrators have consistently adopted the principle that internal comparability is a persuasive factor when analyzing an employer's health insurance offer, even if that final offer results in extra costs to employees. Here, the Village's Firefighters are the only Village employees of any kind, who still contribute only 10% for health insurance premiums. The Village's insurance proposal matches the negotiated resolutions for the 2016-2017 periods reached with all of its other represented employee groups, including FOP (Police Supervisors), MAP (Police), MAP (Detention Officers), IUOE Local 150 (Residual Unit), and IUOE Local 150 (Crew Chiefs). The Union has not presented sufficient evidence that it should be allowed to break away from this pattern of internal comparability. To allow the Firefighters to pay less for their insurance premiums than the Village's other bargaining units would be counterproductive to the bargaining process and would discourage bargained resolutions. *City of Evanston*, FMCS No. 95-11910, p. 21 (Grenig, 1996). (Er. Ex. 80; Tr. 591)

Arbitrator Marvin Hill cited the importance of internal comparability regarding the selection of health insurance benefits:

> Equally important, there is the validity to the notion of internal consistency with respect to insurance coverage. . . . In *Village of Schaumburg & Metropolitan Alliance of Police Chapter 195* (2007), Arbitrator Tom Yaeger found compelling notions of internal consistency with respect to insurance benefits…:
>
> ". . . . As I discussed earlier, **unless there is some compelling reason why this bargaining unit should not be treated like other Village bargaining units, the Village's ability to negotiate the same provision with its other represented bargaining units should receive significant if not controlling weight in this interest arbitration."**

Village of Skokie, Case No. S-MA-07-007, pp. 48-50 (Hill, 2007) (emphasis in original).

The Village contends that its final offer is also supported by the external comparables. Bargaining Unit employees pay less for their percentage of insurance premiums than the majority of the comparable communities. The Village is currently contributing more in terms of HMO premiums (90%) than the jurisdictions of Lombard (Family 81.6%), Hoffman Estates (89%), Arlington Heights (88%), Lisle-Woodridge FPD ('16: 88%, '17: 87.5%, '18: 86.5%), Skokie (88%), Elgin (88% or 80% depending on date of hire), Park Ridge (87%), Oak Park (single: 82.6%; Single +1: 83.78%, Family: 84.1%), and Naperville (80%). (Er. Ex. 81, 83)

Under the Village's proposal, effective January 1, 2016, all employees will pay the same or less for HMO coverage than 6 of the comparable communities. For example, under the Village's proposal to have the employees pay 87.5% of premium costs, the Village will still be paying the same or more in premium contributions than the following communities:

Communities	Employer HMO Premium Contribution (except where otherwise stated)
Lombard	Employee Family: 81.6%
Lisle-Woodridge FPD	2017: 87.5% 2018: 86.5%
Elgin	80% (Employees hired on or after 7/1/12)
Park Ridge	87%
Oak Park	Single: 82.6% Single +1: 83.78% Family: 84.1%
Naperville	80%

(Er. Ex. 81, 83)

Next, the Village suggests that its final offer should be adopted when viewed in the context of the overall compensation factor. Considering the Village's proposal to increase health insurance premiums by $14 per month for single, $29 per month for couple, and $42 per month for family, the net wage increase for employees under the Village's final wage offer would remain significant. The Village has placed a total of $932,979 on the table in additional base wages over the life of the contract. The total additional cost of the Village's health insurance proposal is a $26,598.24 per year. Bargaining Unit employees will still net $853,184.28 in additional money over the life of the contract. (Er. Ex. 13, 74)

Last, the Village argues that in this economic environment in which health insurance premiums are increasing at a rate that far exceeds the rate of inflation, it is not in the interests and welfare of the public to allow Bargaining Unit employees to pay less for their insurance premiums than the Village's other employees. See *Greene County (Sheriff)*, Case No. S-MA-08-033, pp. 11-12 (Meyers, 2008).

For these reasons, internal and external comparability, as well as the interests of the public favor adoption of the Village's insurance proposal.

b. <u>The Union's Position</u>

The Union contends that where the employer proposes to change the *status quo* by requiring its employees to pay a greater share of insurance costs, the employer must prove that it has suffered a sufficient increase in insurance costs to warrant seeking an increase from its employees. In the instant case, the Village seeks to increase health insurance premium contribution amounts in the absence of any evidence demonstrating that its costs have increased.

The Union contends that the Village's proposal represents a significant departure from the *status quo* because it seeks to increase employee contribution amounts and make those increased changes retroactive. The Union, citing *Village of Homewood and Homewood Professional Firefighters, Local 3656, IAFF*, ILRB Case No. S-MA-11-034 (Bierig, 2012) at 36-37, contends that the Village's proposal represents a breakthrough. In such a situation, in order to meet its burden, the Village must prove that:

1) the old system or procedure has not worked as anticipated when originally agreed to;
2) the existing system or procedure has created operational hardships for the employer or equitable or due process problems for the union; and

3) the party seeking to maintain the *status quo* has resisted attempts to bargain over the change (i.e., refused a *quid pro quo*).

The Union argues that the Village proposes to increase employee premium contributions and make such increases retroactive in spite of any evidence demonstrating that the system has not worked, or that it has created operational hardships, or even that its health insurance costs have increased. Further, the Village offered no *quid pro quo* in exchange for the proposed changes. There is no evidence that the Union resisted attempts to bargain over the change. Arbitral case law favors a policy of leaving any non *de minimis* changes in long-time benefits, especially insurance, to the parties to resolve. *Tri-State Fire Protection District and Tri-State Professional Firefighters Union, Local 3165*, ILRB Case No. S-MA-13-299 (Hill, 2014) at 78. In the instant case, because such provisions constitute a significant change to the *status quo*, they should be negotiated between the parties, not imposed through this Interest Arbitration.

The Union also asserts that the Village never proposed language concerning retroactivity of increased insurance premiums until the Interest Arbitration. The Village submitted a total of 7 proposals during negotiations that sought changes to Article IX, Section 9.1(a), none of which included a proposal to make increased premium contributions retroactive. Therefore, the Village's final offer was not fully vetted in negotiations and should be rejected. *County of Lake and Lake County Sheriff's Department, supra* at 11; *Palos Heights Fire Protection District, supra* at 18-19. Here, the Village failed to present any proposal addressing retroactivity of health insurance premium increases. Therefore, the Village is prohibited from attempting to do so in this proceeding. (Jt. Ex. 4 at 11; Un. Ex. 7, Tabs 15 at 20-21, 16 at 16-17, 20 at 4, 25, 29 at 4, 30 at 2, 32 at 3, 53 at 11)

Regarding the merits, the Union rejects the Village's contention that its proposal is supported by the internal comparables. Although the Village presented a chart detailing current insurance costs, no evidence was presented demonstrating whether insurance costs have increased, or by how much. Rather, the Village argued that the internal comparable groups voluntarily agreed to the increased contribution amounts. No evidence was presented demonstrating whether the internal comparable bargaining units agreed to these increases without receiving a *quid pro quo*. (Tr. 591)

The Village only introduced the current contracts for the non-public safety bargaining units represented by MAP Chapter #351, IUOE, Local 150 Crew Chiefs and IUOE, Local 150 Residual Unit. Although the Union does not consider such units to be comparable, it does not matter because the Village's failure to present the most recently expired contracts renders it impossible to determine whether any of these bargaining units received any gains in exchange for agreeing to the Village's desired health insurance contributions. The fact that other internal bargaining units accepted the same insurance rates proposed here should be given no weight. (Er. Ex. 49A2)

By presenting only evidence that internal comparable groups accepted the same increases to health insurance contributions, the Village asks this Arbitrator to adopt the Village's proposal without justification. While it is true that Arbitrators rely on internal comparability regarding health insurance, this does not mean that acceptance of the Village's proposal by internal comparables is the only factor. *Village of Forest Park and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-12-281 (Perkovich, 2014), *Dolton Professional Firefighters Assoc., Local 3766 and Village of Dolton*, ILRB Case No. S-MA-15-287 (Fletcher, 2016). Thus, the Union indicates that Arbitrators look beyond internal comparability to factors such as bargaining history, whether there is a history of parity between the internal comparable bargaining units, and whether the other internal bargaining units voluntarily agreed to increased contribution rates. Importantly, in rejecting internal comparability, Arbitrator Fletcher noted:

> the evidence in this record shows that the other bargaining units in this Village, most notably the police and the sergeants, voluntarily agreed to increase their contribution rates, as a matter of arms-length bargaining. This is an important distinction … The parties will be returning to the bargaining table shortly, which is an important consideration in this Arbitrator's view. *Village of Dolton* at 16.

Here, the record does not show any evidence that Firefighters have been in parity with internal comparables in health insurance contribution amounts. The only evidence presented by the Village shows that, as of 2016, all other internal comparables voluntarily agreed to the health insurance contribution amounts proposed here. Further, a review of the salary charts demonstrates that the Police bargaining units are paid more, and, therefore, can afford higher premium contributions. The Union urges that internal comparability should carry little weight in this case. (Er. Ex. 80; Un. Ex. 5, Tab 17 at 36, Un. Ex. 7, Tab 6 at 53, Un. Ex. 5, Tab 20 at 29, Un. Ex. 7, Tab 7 at 48)

As to the external comparables, the Union contends that there is insufficient evidence presented by the Village. The Village presented a chart setting forth the employer contribution rates. The Village also presented a document setting forth the 2016 health insurance rates for Lombard. Such evidence is inadequate to sustain the Village's burden of proof. The Village failed to present evidence detailing the overall health insurance coverage provided to its employees, and the costs of said coverage. Rather, as part of its total compensation analysis, the Village provided its portion of insurance costs for 2014. The Village then applied the contribution rates of the comparable communities to the Village's insurance costs, and used those figures for comparability purposes. (Er. Ex. 71, 81; Tr. 577, 581)

Thus, rather than presenting any evidence of the actual insurance costs of comparable communities, the Village provided evidence of what it would cost comparable communities if they provided the Village's health insurance coverage to their employees. This approach prohibits this Arbitrator from drawing an "apples to apples" comparison of health insurance costs and coverage between the Village and comparable communities. In *Wood Dale Fire Protection District*, Arbitrator Winton adopted the union's *status quo* proposal to maintain the 10% contribution rate for employees, noting that the employer only suggested the employee contribution percentages among comparable communities but failed to detail the exact coverage. *Wood Dale Fire Protection District and Wood Dale Professional Firefighters Association, Local 3594*, Case No. S-MA-07-260 (Winton, 2008) at 25-26. The Village has done the same here by supplying only the employee contribution percentages while failing to provide any details regarding the corresponding coverage or overall premium costs. Although some of the comparables' contracts contain benefit summaries, the Village failed to present evidence of both health insurance costs and coverage.

In the absence of evidence showing actual health insurance coverage and costs of the comparable communities, the Village's evidence is merely a suggestion. Such evidence is not relevant because there is no way of knowing whether the insurance costs and coverage of comparable communities are in fact comparable. Thus, the Village failed to prove that its proposal is supported by the comparable communities.

Last, the Union argues the lack of uncertainty going forward regarding the Affordable Care Act underscores maintaining the *status quo*. Recently, Arbitrators have held that changes to health insurance contributions are best left to the parties during good faith negotiations. *Village of Dolton*, at 16; *Tri-State Fire Protection District and Tri-State Professional Firefighters, Local 3165*, ILRB Case No. S-MA-13-299 (Hill, 2014); *City of Effingham and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-13-206 (Fletcher, 2014); *Village of Skokie and Skokie Firefighters Local 3033*, ILRB Case No. S-MA-10-197 (Benn, 2014). In *Village of Skokie*, Arbitrator Benn awarded the union's proposal to maintain the *status quo* due to the uncertainty of health insurance surrounding the implementation of the Affordable Care Act, noting that the parties were in a better position to discuss insurance on a going forward basis. *Village of Skokie* at 40.

For all of the foregoing reasons, the Union's proposal should be adopted.

c. **<u>Employee Medical Benefits - Analysis</u>**

In considering the parties' proposals regarding medical benefits for current employees, I find that the Union's proposal to maintain the *status quo* is favored by the statutory factors and is therefore granted.

The Village's proposal involves an increase to the employee's contribution by 2.5% of the total medical insurance premium for all plans, including the BASE plan, PPO Plus, and HMO, for single, couple, and family coverage, retroactive to January 1, 2016. The employee monthly premium contribution would increase $13.98 for the single plan, $28.70 for the couples plan, and $41.98 for the family plan, which translates in actual dollars to a 25% increase to the monthly employee contribution. (Er. Ex. 82-83)

The Village argues that the statutory factors, particularly those concerning internal and external comparability, overall compensation, and the interests and welfare of the public, all favor adoption of its proposal. I have reviewed these factors. Regarding internal comparability, the Village argues that its proposal matches the 2016-2017 contracts reached with its other represented units, which includes 3 public safety units. Citing Arbitrator Grenig in *City of Evanston*, the Village contends that to allow the Firefighters to pay less in insurance would be counterproductive to collective bargaining and discourage future contractual agreements. Further, the Village contends that the Union has not presented sufficient evidence to support a departure from internal comparability.

I note that *Evanston* is distinguishable. In *Evanston*, the issue was not simply the Firefighters' premiums as compared to the city's other bargaining units, but how an increase in insurance premiums upon Firefighters could adversely affect the gap in salaries between Police and Firefighters. In the instant case, any salary gap between the Firefighter and Police Bargaining Unit was not an issue.

Further, the Union notes that although the Village contends that because the other bargaining units voluntarily agreed to the proposed 2.5% increase, so should the Firefighters, the Village presented no evidence as to whether the internal comparable units agreed to the increase without receiving a *quid pro quo*. In addition, the Union argues persuasively that there is no evidence of history between it and the other bargaining units in relation to health insurance amounts. Yet there was evidence presented of prior concessions made by the Union without parity from other Village bargaining units. Thus, I find that the internal comparables favor the Union, particularly in light of the fact that no evidence was presented as to what the other bargaining units gained for accepting the Village's proposal to increase the percentage of employee contribution by 25% per month.

Regarding the external comparables, I find that this factor also favors the Union. The Village argues that its 90% contribution is greater than 9 of the 12 comparable communities for which employer data was available. Even contributing 87.5% for the premium cost, the Village argues it will still be paying the same or more than 6 of the comparable communities. Conversely, the Union, *citing Wood Dale Fire Protection District*, argues that the Village's evidence should be rejected. The Union claims the Village fails to provide an apples-to-apples comparison of health insurances costs and coverage between it and the other communities. Rather, the Union contends that the Village supplied only contribution percentage and not the actual health insurance costs of corresponding coverage.

The Village next argues that the overall compensation factor favors its proposal. It contends that the increase in health insurance premiums amounts to $26,598.24 per year, or $79,794.72 for the contract's term. When that increase is viewed against the $932,979 in increased base wages over the contract term, Bargaining Unit members would still net $853,184.28 in additional money. However, this offset represents an almost 8.6% decrease in base wages over the contract term. The record has no evidence of a *quid pro quo* presented to the Union for the Union's consideration of the reduction in net base wages of 8.6% that would result. *See, e.g., Village of Schaumburg, IL and Schaumburg Lodge No. 71, IL Fraternal Order of Police Labor Council*, S-MA-93-155 (Fleischli, 1994). Therefore, when the proposed increased in insurance premiums by the Village is viewed in totality, I find that the effect it has on the factor of overall compensation favors the Union's proposal to retain the *status quo* in insurance premiums.

The Village argues that it is not in the interest or welfare of the public to allow the employees to pay less for their insurance premiums than do other Village employees. I note that the statutory factor states, "The interests and welfare of the public and the financial ability of the unit of government to meet those costs." There was no evidence provided by the Village as to the actual costs being incurred for premiums. This is significant. The Village is asking for increased contributions without showing that its costs have increased. Further, the evidence indicates that the Village is on a relatively good financial footing. There was no evidence presented that the Village is unable to meet the cost of any increase in insurance premiums.

I note that because it is the Village who is asking for the increase in insurance premiums, it has the burden to prove that such a change is justified. I have reviewed the statutory factors above, and find that the Village has been unable to prove that the increase in health care premiums is justified. Because I have found that the statutory factors resolve the matter in favor of the Union, I need not reach the question of whether the change constitutes a breakthrough, as the Union alleges. Therefore, the Union's proposal to maintain the *status quo* is granted.

5. **<u>Retiree Medical Benefits (Economic)</u>**

VILLAGE PROPOSAL	UNION PROPOSAL
<u>Section 9.3(f). Retiree Medical Benefits</u>. **<u>For employees who retired before the issuance of Arbitrator Bierig's interest arbitration award,</u>** the Village shall continue to provide full payment for medical insurance for employees who retire at or after age 50 with twenty (20) or more years of service, until age 65 or until Medicare eligible, whichever occurs first. Retirees **<u>who retired before the issuance of Arbitrator Bierig's award</u>** and their spouses (at the time of retirement) shall not be permitted to contribute to the cost of such benefits, if they are enrolled in the designated "BASE" plan (currently HMO IL Blue Advantage) for retirees, selected by the Village. **<u>For employees who retire on or after the issuance of Arbitrator Bierig's interest arbitration award at or after age 50 with 20 or more years of service, the retiree shall be required to pay 10% of the cost of coverage if they are enrolled in the designated "BASE" plan (currently HMO IL Blue Advantage) for retirees, selected by the Village.</u>** Any dependents of the retiree who are eligible for continuation of insurance benefits in accordance with Illinois law will be permitted to continue to be covered by the plan at the full cost of the retiree with premiums to be paid timely monthly as provided by law and the applicable policy in advance of the monthly due date. Medical benefits for retirees, their spouses and dependents shall be the same as those made available to active employees as determined from time to time by the	*Status Quo*

Village. ~~**In addition, an employee who retires under this provision may elect not to have HMO couples coverage, and receive the cash equivalent amount which the Village would have paid as premium for that coverage which amount may increase or decrease from time to time.**~~ All retirees who withdraw from the Village's health insurance program can re-enroll, but such re-enrollments can only occur during the open enrollment period or situations of life altering events per the applicable insurance policy. If a retiree elects to enroll in the Village's base medical insurance plan couples only, that coverage shall be deemed to be a vested benefit that cannot be removed as a result of future collective bargaining between the Village and the Union. Retirees and their spouses shall be eligible to participate in the Village's dental and vision programs under the terms established by COBRA or the equivalent laws and regulations.	

a. The Village's Position

The Village notes that this Arbitrator has previously concluded that it is not reasonable to expect an employer to continue to pay the entire cost of health care for retirees. Further, it is reasonable to require newly-retired employees to pay a small portion of their health care costs. *See City of Chicago*, Case No. L-MA-12-005, pp. 89-90 (Bierig, 2013). Here, the Village currently pays 100% of the premium costs for health insurance for retirees and their spouses if the employee retires after age 50 and with 20 or more years of service. The Village proposes that Bargaining Unit employees who retire on or after the issuance of this Arbitrator's Interest Arbitration Award and who otherwise qualify for this benefit shall be required to pay 10% of the cost of health insurance coverage. This offer is consistent with internal and external comparability, will continue to provide affordable health insurance upon retirement, and makes the most fiscal sense. (Er. Ex.1; Tr. 596)

The Village notes that it has reached voluntary agreements to phase out paying 100% of retiree benefits for all other represented Village employees. This is the only Bargaining Unit that has not agreed to contribute to retiree health insurance. The FOP (Police Supervisors), MAP (Police), MAP (Detention), IUOE Local 150 (Residual Unit), and IUOE Local 150 (Crew Chiefs) have all agreed to contribute 10% for 2016-2017. (Er. Ex. 84)

The Village argues that the internal comparability evidence strongly supports the Village's final offer, and that the Union has provided no evidence to refute the Village's internal comparisons. Under the Village's proposal, Firefighters will be treated the same as all other Village employees. Because internal comparables are given great weight by Interest Arbitrators, this factor strongly favors adoption of the Village's final offer.

Turning to the external comparables, the Village argues that the vast majority of comparable employers do not pay the full cost for retiree health insurance. Only 1 of the 14 comparable communities pays close to what the Village currently pays for retiree health insurance. Orland Fire Protection District contributes 50% to retiree health insurance. This is 50% less than what the Village is currently paying for retiree insurance. It is also 40% less than what the Village is proposing to pay as part of its final offer.

None of the other comparable communities contributes a portion of the premium costs of retiree health insurance:

	JURISDICTION	CONTRACT SECTION	EMPLOYER PREMIUM COSTS
1	Orland Fire Protection District	16.4	ER=50% unless
2	Bolingbrook	Art. XVI, Section 6	Employer pays 1% of annual salary into a savings fund. Reduced benefit for employees who retire after 5/1/1999.
3	Evanston	11.6	0% but pays into post-employment health plan - $50 per paycheck.
4	Naperville	20.15	0% but pays certain benefit time into post-employment fund. Also pays $797 per employee into fund.

5	Oak Park	14.6 and 14.7	0% but pays $750 per employee into post-employment fund.
6	Mount Prospect	10.10	0% but pays unused sick leave into Post Employment Savings Account.
7	Park Ridge	5.11 and 6.3	0% but pays certain benefit time into post-employment fund.
8	Skokie	15.8	0% but pays certain benefit time into post-employment fund.
9	Lisle-Woodridge Fire Protection District	18.1	0%
10	Arlington Heights	Art. XII, Sec 8, Section 4.1	0%, but employees can convert unused sick leave to a maximum of 40 months of retiree insurance.
11	Berwyn	Art. XII, Sec 5	0%
12	Elgin	Art. XVI, Sec. (c)	0%
13	Lombard	21.6	0%
14	Hoffman Estates	N/A	No Benefit

(Er. Ex. 85 A)

Thus, the Village contends that there is no support in external comparability to maintain this significant benefit; rather the external comparability data strongly favors adopting the Village's final offer.

The Village contends that where there is no support in the internal or external comparables for providing or maintain such a benefit, it is not in the interests and welfare of the public to continue to pay a benefit that costs the Village at least $24,960.04 per month. Annually, this benefit costs the Village $299,520. For all aforementioned reasons, the Village's proposal to split the cost of retiree insurance subsidy for employees hired on or after the issuance of this Arbitrator's Award should be adopted by this Arbitrator. (Er. Ex. 85 B)

b. <u>The Union's Position</u>

The Union notes that all the contracts since 1991 have provided for the Village to pay 100% of the retiree medical insurance. (Jt. Ex. 2 at 42, 3 at 41; Un. Ex. 5, Tabs 4 at 11-12, 5 at 13, 6 at 15, 7 at 13, 8 at 13, 9 at 13, 10 at 12, 11 at 11, 12 at 13, 13 at 11, 14 at 41, 15 at 40)

Under the current language in both Contracts, the Village provides full payment for medical insurance for employees who retire at or after age 50 with 20 or more years of service, until age 65 or until Medicare eligible. Retirees under each Contract do not contribute to the cost of such benefits if they are enrolled in the designated "BASE" plan (currently HMO IL Blue Advantage) for retirees. Retirees may elect not to have HMO couples coverage, and receive the cash equivalent amount that the Village would have paid as premium for that coverage amount. (Jt. Ex. 2 at 42-43, Jt. Ex. 3 at 41-42)

The Union notes that there are 2 differences in coverage between the Firefighter and Officer Contracts. In the Officer Contract, retirees enrolled in the BASE Plan are not required to pay for coverage of their dependents; however the Firefighter Contract provides that retirees pay the full cost of premiums for their dependents. The Firefighter Contract provides that only a retiree's spouse at the time of the retiree's retirement shall not be required to contribute to the cost of coverage. The Officer Contract contains no such limitation.

The Union argues that the Village's proposals must be rejected because they represent significant changes to the *status quo* and the Village has failed to meet its breakthrough burden by demonstrating that the system is broken and in need of repair. The Village has failed to justify the 2 reductions in the retiree benefit under the Officer Contract. These include the elimination of the cost-free dependent coverage for retirees, and the addition of the restriction that spousal coverage be limited only to a retiree's spouse at time of retirement. These proposed changes in benefits is based on Section 9.3(f) of the Firefighter Contract, which now directly impacts the Officer Unit. The Officer Contract provides cost-free coverage under the BASE Plan for retiree, spouse, and dependent coverage, and does not in any way limit spousal coverage to the spouse at time of retirement. The Firefighter Contract, however, only provides for retiree and spouse coverage and spouse coverage at the time of retirement. Since the Village's final offer does not provide for dependent coverage, retired Officers would be denied the right to cost-free coverage for their dependents. (Jt. Ex. 2 at 42, 3 at 41, 4 at 12)

Second, the Union contends that the Village's proposal would adversely affect a large number of current and future Officers. There are 6 current Officers who have dependent insurance coverage. Under the Village's proposal, all 6 would lose their cost-free retiree coverage for their dependents. Further, there are 4 Lieutenants who are currently on the eligibility list for Captain and all have dependent coverage. These Lieutenants could be potentially promoted to the rank of Captain and could be covered under the Officer Contract by the completion of the Arbitration Award. The Lieutenants could also potentially lose their cost-free retiree dependent coverage.

Thus, the Village's final offer forces these Officers and Lieutenants to consider whether they should retire, as their dependents may lose cost-free insurance coverage. (Jt. Ex. 4 at 12; Un. Ex. 10, Tab 22; Tr. 1208)

The Union argues that the Village's proposal only provides coverage for spouses who are spouses at the time of retirement. This provision negatively impacts retirees under the Officer Contract that currently provides no such restriction. The Officer Contract currently provides coverage for spouses who are spouses at the time of retirement or who become spouses thereafter. Under the Village's proposal, retired Officers would lose retiree spousal coverage if they marry or remarry after retirement. (Jt. Ex. 2 at 43, Jt. Ex. 3 at 41)

The Village's proposal has 2 economic components. It seeks to impose a retiree contribution of 10% for those employees who retire on or after issuance of the Arbitrator's Award. It also will remove from employees the option of receiving a cash equivalent if they elect not to have HMO couple coverage. The Village's justifications for said changes are based on cost savings and internal and external comparability. However, the evidence demonstrates that these justifications are insufficient and fail to meet the Village's burden to prove that a change to the *status quo* is warranted.

As noted, since 1991, Union members have been entitled to cost-free retiree health insurance benefits. The Union argues that such a substantial benefit should not be removed by an Interest Arbitrator, but rather through the give and take of good faith negotiations. The Village has failed to establish that the costs of the retiree health benefit is broken. While the Village did submit evidence showing its monthly cost for retiree health insurance for the month of December 2015, it failed to submit any evidence showing what previous costs were, and whether December's costs represented an increase. (Er. Ex. 85 B; Tr. 598)

Further, the Union asserts that the fact that a benefit may be expensive does not justify a change to the *status quo*. Interest Arbitrators follow applicable statutory factors that are found in Section 14(h). If application of the statutory factors by an Interest Arbitrator results in requiring payment of a benefit that proves to be too costly, it is up to the municipality, not the Interest Arbitrator, to determine how to meet its financial obligations for payment of that benefit. *City of Highland Park*, Case No. S-MA-09-273, at 9.

Although in *City of Highland Park,* Arbitrator Benn agreed that maintenance of the benefit was expensive to the employer, he pointed out that cost is "not the determinative factor to compel a change through this very conservative process." Here, the Village has failed to establish an inability to pay, and the unproven increase in costs is not enough to demonstrate that the existing benefit is too expensive, and justifies a change to the *status quo*. (*Id.* at 23)

The Village's evidence with respect to internal and external comparables is insufficient to warrant adoption of its proposal. The internal comparability evidence is not entirely uniform. This is because the Police Supervisor unit, despite agreeing to pay a portion of its premium costs, has been able to retain its retiree dependent coverage in its 2015 - 2018 contract. Here, the Village is proposing to eliminate dependent coverage for Officers, along with requiring a premium contribution by all retirees. The record does not provide that the Village's other bargaining units received any *quid pro quo* in exchange for their agreement to assume a portion of the retiree health insurance premium costs. Without this evidence, along with the fact that Police Supervisors retain their dependent coverage, the Village's arguments regarding internal comparability must be rejected. (Jt. Ex. 4 at 12; Un. Ex. 5, Tab 21 at 19)

Regarding external comparables, while the Village's evidence appears to show that a number of external comparables pay little or nothing toward retiree health insurance costs, there is not enough evidence to conclude that these are valid comparisons. For example, neither the

Firefighter nor Officer Contracts contain provisions for a PEHP (Post Employee Health Plan) benefit. A number of the external comparables have such a benefit. Further, there is no evidence concerning the nature of the retiree insurance benefit provided by the comparable communities.

The Union further argues that the proposal should be rejected on procedural grounds because the Village did not propose it during negotiations. The evidence shows that the Village proposals for the new Firefighter contract included dependent coverage, even though the current Firefighter Contract did not include such coverage. On January 29, 2015, March 11, 2015, April 8, 2015, June 25, 2015 (package offer #2), and July 14, 2015, the Village proposed to *add* dependent coverage for employees under the Firefighter contract. Yet, the Village consistently proposed maintaining the existing dependent coverage for employees under the Officer contract. On February 11, 2015, March 19, 2015, and June 2, 2015, the Village proposed that employees covered by the Officer contract would continue to enjoy dependent coverage. (Jt. Ex. 4 at 12; Un. Ex. 7, Tab 15 at 24, Tab 16 at 20, Tab 20 at 4, Tab 23 at 7, Tab 25 at 5, Tab 29 at 7, Tab 30 at 2, Tab 32 at 3)

The Union contends that it was not until May 24, 2016, that the Village, for the first time, proposed that retirees, both Firefighters and Officers, would not be entitled to dependent coverage. The Village maintained that proposal in its final offer. As a result of the Village's failure to present its final offer during negotiations, it did not offer the Union a *quid pro quo* in exchange for its retiree insurance proposal. (Jt. Ex. 4 at 12; Un. Ex. 7, Tab 53 at 12)

The Union concludes that the evidence supporting the Village's breakthrough proposal on retiree health insurance is insufficient to enable the Village to meet its stringent burden of proof. The Village's proposal eliminates dependent care coverage for retirees, eliminates the retiree buyout option, and significantly increases the cost of coverage, constituting a significant change to the *status quo.* Given that the Village's proposal involves an economic issue, the Arbitrator must adopt the party's final proposal that best comports with the factors identified in Section 14(h) of the Act. Thus, the Village's proposal must either be accepted in its entirety or rejected in its entirety without any modifications. The Union asks that the *status quo* remain and the Union's proposal be accepted. (Tr. 596)

c. <u>Retiree Medical Benefits - Analysis</u>

In considering the parties' proposals regarding medical benefits for retirees, I find the Union's proposal to be the more reasonable approach when considering the statutory factors cited by the Village, or, pursuant to a breakthrough analysis as argued by the Union. The Village proposes that, effective with this Award, future retirees who meet the age and years of service threshold will be required to pay 10% of the cost of health insurance coverage.

The record reflects that since 1991, the Village has paid 100% of the premium costs for retiree health insurance until age 65 or until Medicare eligible, as well as their spouses, if the employee retires after age 50 and with 20 or more years of service. Retirees under each Contract do not contribute to the cost of such benefits if they are enrolled in the designated BASE plan (currently HMO IL Blue Advantage) for retirees. Retirees may elect to not have HMO couples coverage, and receive the cash equivalent amount that the Village would have paid as premium for that coverage amount. Further, it is important to reiterate that there are 2 significant differences in coverage between the Firefighter and Officer Contracts. In the Officer Contract, retirees enrolled in the BASE plan are not required to pay for coverage of their dependents; however, the Firefighter Contract provides that retirees pay the full cost of premiums for their dependents. The Firefighter Contract provides that only a retiree's spouse, who is a spouse at the time of the Firefighter's retirement, shall not be required to contribute to the cost of coverage. The Officer Contract contains no such limitation. The Officer Contract provides cost-free coverage under the BASE plan for retiree, spouse, and dependent coverage, and does not in any way limit spousal coverage to the spouse at time of retirement.

I have carefully reviewed the record, including all the evidence and arguments that the parties have presented on this issue, including cited authority. I agree with the Union that the Village's proposal to require future retirees to pay 10% for health care and the reductions in retiree benefits affecting the Officer Contract represents a significant change to the *status quo* rather than simply modifying an existing condition. The Village has not met the breakthrough by demonstrating that the system is broken and in need of repair, and has not adequately justified the elimination of the cost-free dependent coverage and the addition of the restriction that spousal coverage be limited only to a retiree's spouse at time of retirement under the Officer Contract.

As discussed earlier, pursuant to the conservative nature of Interest Arbitration, a 3-pronged test has long been the accepted standard for breakthrough analysis. In order to meet the standard, the party requesting the breakthrough must prove that the relevant aspects of the test have been met.

The first and second measures of a breakthrough analysis require that the moving party must show that:

> 1) the old system or procedure has not worked as anticipated when originally agreed to; or
>
> 2) the existing system or procedure has created operational hardships for the employer or equitable or due process problems for the union;

As noted, since 1991, Union members have been entitled to cost-free retiree health insurance benefits. The Union argues that such a substantial benefit may not be easily removed. Conversely, the Village cites *City of Chicago*, Case No. L-MA-12-005, pp. 89-90 (Bierig, 2013), to argue that it is not reasonable to expect an employer to continue to pay the entire cost of health care for retirees, but that it is reasonable to require newly-retired employees to pay a small portion of their health care costs. However, I note that in *City of Chicago*, in which this Arbitrator was the neutral member of a tripartite panel format, the panel found that the City had presented significant evidence to meet its initial burden to show that the system is no longer working, and further that the City had shown that its health care costs have increased dramatically. Conversely, in the instant case, the record reveals that the Village's cost for retiree health insurance for December 2015 was $24,960.04. This evidence is not determinative to conclude that the costs of the retiree health benefit, or that the spousal and dependent coverage benefits available to Officers, has not worked as anticipated when agreed to and is now broken. Similarly, there is insufficient evidence to prove that it has created operational hardships for the Village.

Nonetheless, the Village argues that the internal and external comparables favor adoption of its position. First, the Village notes that its other bargaining units have all voluntarily agreed for new retirees to contribute 10% of health insurance premiums. Thus, the Village argues that Firefighters should be treated the same as all other Village employees, and that the Union has provided no determinative evidence to reject the Village's internal comparisons. Second, the Village argues that the vast majority of the external comparables do not pay the full cost for retiree health insurance. Only 1 of the 14 comparable communities pays anything close to what the Village currently pays for retiree health insurance, and that employer, Orland Fire Protection District, contributes only 50% to retiree health insurance. The Village argues further that the even with the 10% retiree contribution it is proposing, the Village will still be paying 40% more than what Orland Fire Protection District currently pays.

The Union rejects the internal and external comparable evidence presented by the Village. Regarding the internal comparables, the Union notes that, although Police Supervisors agreed to pay a portion of its premium costs, it retained its retiree dependent coverage in its 2015 - 2018 contract; in contrast, the Village proposes to eliminate dependent coverage for Officers, along with requiring a premium contribution by all retirees. The Union contends that there is no evidence in the record of any *quid pro quo* that the Village's other bargaining units obtained in exchange for their agreement to assume a portion of the retiree health insurance premium costs. As for the external comparables, the Union challenges the validity of the comparable communities on this issue. A number of the external comparables have a Post Employee Health Plan benefit that neither the Village's Firefighter nor Officer Contract contains.

In addition to meeting the first 2 prongs of the breakthrough analysis, the 3rd prong of the 3-pronged test must also be met. That 3rd prong is that:

> 3) The party seeking to maintain the *status quo* has resisted attempts to bargain over the change (i.e., refused a *quid pro quo*).

I find that the Village's arguments and evidence does not meet the third prong because there is no evidence that on this issue that the Village offered a *quid pro quo* to consider in exchange for new retirees contributing 10% for health care premiums.

As noted, it is a well-accepted tenet of Interest Arbitration that the party proposing a significant change from the *status quo* bears a heavy burden to prove the need for the change requested. Although asking retirees to contribute 10% toward their health insurance premiums in principle may not be significant, or fiscally unreasonable, in the context of the parties' bargaining history, it is significant. Since 1991, retirees have received free health care insurance between retirement and age 65, or otherwise Medicare eligible. In addition, the Village proposes to eliminate all coverage for Officers' dependents. However, as discussed, there is insufficient evidence for the Village to prevail given the 3-pronged breakthrough test.

Further, when the statutory factors cited by the Village are examined, the evidence does not require the adoption of the Village's proposal. I concur with the rationale Arbitrator Edwin Benn has applied in *City of Highland Park* that although the maintenance of the benefit was expensive to the employer, he pointed out that cost is "not the determinative factor to compel a change through this very conservative process." I agree that the evidence here has not established an inability to pay by the Village, and the uncertain increase in health insurance costs is insufficient to demonstrate that the existing benefit is too expensive, and therefore there is no need to change the *status quo*.

Overall, based upon either analysis of the applicable statutory factors or a breakthrough analysis, I again find the Union's proposal more compelling. Therefore, I accept the Union's medical benefits proposal for retirees and the *status quo* shall remain.

6. Education Incentive (Economic)

The Village and Union have proposed the following regarding the issue of modification to Article V, Section 5.11 of the Contract:

VILLAGE PROPOSAL	UNION PROPOSAL
Section 5.11. Education and Training. a. Education Incentive. Employees covered by this Agreement who submit to the Village proof from the State Certified Schools as to earned credit hours toward the following certificate or degrees shall be compensated additionally as follows: AA Degree and/or Fire Officer II: $450.00 Bachelor's Degree and/or Fire Officer III: $820.00	*Status Quo*

Master's Degree: $1,200.00 The Fire Officer II and III incentives are only available to employees above the rank of Lieutenant. It is understood that the Fire Department can and will utilize an employee's education for the betterment of the Village. Education incentive will be paid each regular pay day at the rate of one twenty-fourth (1/24) of the above schedule and incorporated in the employee's regular paycheck. **<u>No employees hired after January 1, 2015 shall be eligible to receive the education incentives listed above.</u>**	

a. <u>The Village's Position</u>

The Village argues that the internal and external comparability factors support acceptance of the Village's final offer on education incentive. The Village argues that the Union presented no evidence on the issue of eliminating education reimbursement for employees hired after January 1, 2015.

First, the Village contends that the internal comparability supports adopting the Village's final offer, as no other Village bargaining unit has the same education incentive benefits as that of the Firefighters:

EMPLOYEE GROUP	SECTION	CONTRACT LANGUAGE
Ill. FOP Labor Council (Police Supervisors)	8.2	All employees hired after December 20, 2011: no benefit unless earn master's degree in law enforcement related study as approved by the Chief of Police.
MAP Ch. #309 (Patrol)	10	All employees hired after October 31, 2011: no benefit unless earn a master's degree in law enforcement related study, as approved by the Chief.

MAP Ch. #351 (Detention Officers)	7.7	All employees hired after January 1, 2011: no benefit
IUOE Local 150	11.6	All employees hired after September 11, 2012: no benefit
IUOE Local 150 (Crew Chiefs)	N/A	No benefit

(Er. Ex. 86)

With the exception of the Crew Chiefs unit, which does not have the benefit, each of the Village's other bargaining units have voluntarily eliminated the education incentive benefit for employees hired after a certain date, which is what the Village is seeking here.

Second, the Village contends that external comparability also supports its proposal. For example, 8 of the 14 comparable communities either do not provide an education incentive or provide for a 2-tiered system, such as the one the Village has proposed here. Six of the comparable communities do not provide any contractual education incentive benefit. (Er. Ex. 87)

The Village concludes that this Arbitrator must adopt the Village's proposal.

b. <u>The Union's Position</u>

The Village proposes a 2-tiered education incentive that eliminates this benefit for all employees hired after January 1, 2015, whereas the Union proposes to maintain the *status quo*. The Union argues that the Village has failed to meet its burden to demonstrate that this breakthrough proposal should be adopted. The Union notes that in a case addressing 2-tiered wage schedules, Arbitrator Nielsen found such schedules to be:

> … the epitome of a breakthrough proposal. It is a dramatic departure from the past. It creates a new and lesser class of employees. … Arbitration is not intended to be an innovative process, and if parties wish to plow entirely new ground, they should, if at all possible, do so voluntarily. *Palos Heights Fire Protection District, supra* at 19.

The Union contends that the same rationale should be applied here. Further, Arbitrator Benn relied on this rationale in the last Interest Arbitration between the parties, as he cited Arbitrator Nielsen's Decision and agreed regarding having a 2-tiered education incentive and tuition reimbursement benefit. (Un. Ex. 7, Tab 8 at 87)

Two-tiered benefits of this nature, which are not collectively bargained, should not be obtained through Interest Arbitration. Arbitrator McAlpin declined to award the employer's proposed implementation of a 2-tiered residency requirement, holding that such a system was not only a significant change to the *status quo,* but could also cause significant problems for the bargaining unit. *City of Centralia and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-09-076, (McAlpin, 2010) at 13-14. See Also *City of Elgin and Local No. 439, International Association of Firefighters*, ILRB Case No. S-MA-91-78 (Fleischli, 1992) at 26.

The Union argues that the proposal should also be rejected on procedural grounds because the Village did not include this provision during negotiations. The Village submitted a total of 7 proposals that included changes to education incentives, but none included a provision to omit the incentive for a Master's Degree for newly-hired employees. Thus, not only is this proposal regressive, but it was not properly vetted and must be rejected, and awarding such a proposal is not appropriate for determination by this Arbitrator. *City of Chicago Police Department, supra*. (Jt. Ex. 4 at 13; Un. Ex. 7, Tabs 15 at 5, 16 at 6, 20 at 1, 23 at 2-3, 25, 29 at 2, 53 at 14)

Regarding the merits, the Union notes that the Village admitted that its offer is based on internal comparability. There is no internal parity regarding education incentives, as the other internal bargaining units voluntarily agreed to eliminate this benefit years ago. Further, the Village proposes to eliminate the entire benefit for new hires, yet the 2 Police bargaining units eliminated the benefit for those hired after December 20, 2011 unless the employee earns a Master's Degree in a law enforcement related study. Thus, the Village's proposal does not accomplish parity with the only 2 comparable internal bargaining units. (Er. Ex. 86; Tr. 599)

In rejecting the Village's 2-tiered system in the last Interest Arbitration, Arbitrator Benn held that:

> Under the circumstances, the Village cannot get such a system in this process. The Village seeks a major breakthrough and this process frowns upon breakthroughs. …The Village argues that it "negotiated with all of its other bargaining units to eliminate the education incentive for new hires, except those that have or obtain a master's degree." Assuming that to be the case, then that is how the Village must accomplish this type of breakthrough – offer something sufficient in the negotiation process to achieve that two-tiered result rather than having it imposed through this conservative process.
>
> (Un. Ex. 7, Tab 8 at 86-87)

The Union asserts that nothing has changed since the Benn Award, and the Village offered no evidence to support an award of this breakthrough item. Furthermore, the Village presented no evidence that the internal bargaining units agreed to eliminate this benefit in the absence of a *quid pro quo*. It is clear that the Village has failed to meet its burden of proof.

Last, the Union contends that the external comparables do not support the Village's position. Of the 14 comparable communities, 6 offer no education incentive. Of the remaining 8 comparable communities, only 2 have a 2-tiered system, an insufficient number to justify awarding such a drastic change in the *status quo*. The Village failed to present any analysis of cost savings and presented no legitimate argument as to why the Village needs this breakthrough. Rather, the Village argued that because 2 other external comparable communities agreed to such a concept, it should be imposed in this Interest Arbitration. Here, the Union seeks to maintain the *status quo*, which it contends is a reasonable proposal. (Er. Ex. 87; Tr. 600)

c. Education Incentive - Analysis

I have reviewed the evidence and arguments in this matter and find that the *status quo* shall remain. This is fundamentally a breakthrough proposal and I cannot find that the Village has met its burden to show that a breakthrough is appropriate.

As noted above, the Village seeks a 2-tiered system for education incentive. It effectively eliminates any such incentive for any employees hired after January 1, 2015. Arbitrator Benn dealt with the same issue in 2014:

> The Village thus seeks a two-tiered system for this section - *i.e.,* new hires will receive a different benefit than existing employees. Under the circumstances, the Village cannot get such a system in this process. The Village seeks a major breakthrough and this process frowns upon breakthroughs.
>
> In a case cited by the Union addressing two-tiered wage schedules, Arbitrator Daniel Nielsen recently stated in *Palos Heights Fire Protection District and Palos Heights Professional Firefighters Union, Local 4254, IAFF,* S-MA-12-389 (2013) at 19: 180
>
> * * * *
>
> I agree with those quoted comments in the context of having a two-tiered education incentive and tuition reimbursement benefit. For reasons discussed in the minimum manning section… the fact that a benefit may be costly does not, in and of itself, require the benefit be changed.
>
> The Village argues that it "negotiated with all of its other bargaining units to eliminate the education incentive for all new hires, except those that have or obtain a master's degree." Assuming that to be the case, then that is how the Village must accomplish this type of breakthrough - offer something sufficient in the negotiation process to achieve that two-tiered result rather than having it imposed through this conservative process.
>
> The Village has a heavy burden to meet to achieve the kind of change it seeks here. That burden has not been met. The Union's position that the *status quo* be maintained is adopted.
>
> (Id. at. 86-88)

I agree with Arbitrator Benn. As he indicated, the elimination of such a benefit is a breakthrough change and the Village has been unable to prove that such a breakthrough analysis has been met. The *status quo* shall remain.

7. **<u>Tuition Reimbursement (Economic)</u>**

The Village and Union have proposed the following regarding the issue of modification to Article V, Section 5.11 of the Contract:

VILLAGE PROPOSAL	UNION PROPOSAL
b. <u>Tuition Reimbursement</u>. The Village will reimburse employees for costs incurred for books, fees, and tuition upon successful completion of courses related to the fire service area (the Chief must approve the course as related to the first service area which approval shall not unreasonably be withheld), and for courses necessary to complete degrees in fire service areas. Reimbursement hereunder shall be limited to no more than $1,500 per employee and to no more than $9,000 per year for all-bargaining unit members. **<u>No employees hired after January 1, 2015, shall be eligible for tuition reimbursement.</u>**	*Status Quo*

a. **<u>The Village's Position</u>**

The Village argues that the internal comparability factor strongly supports its final offer. The Village's proposal would maintain a strong pattern of internal comparability by eliminating tuition reimbursement for new hires. None of the Village's other bargaining units provides tuition reimbursement for newly hired employees:

EMPLOYEE GROUP	SECTION	CONTRACT LANGUAGE
Ill. FOP Labor Council (Police Supervisors)	8.2	All employees hired after December 20, 2011: No Benefit
MAP Ch. #309 (Patrol)	10	All employees hired after October 31, 2011: no benefit
MAP Ch. #351 (Detention Officers)	7.7	All employees hired after January 1, 2011: no benefit
IUOE Local 150	11.6	All employees hired after September 11, 2012: no benefit
IUOE Local 150 (Crew Chiefs)	11.5	All new hires after ratification: no benefit

The Village argues that external comparability favors selection of its final offer. Out of 14 comparable communities, only 5 provide tuition reimbursement. The remaining 9 comparables including Elgin, Evanston, Hoffman Estates, Lisle-Woodridge Fire Protection District, Mount Prospect, Naperville, Orland Fire Protection District, Park Ridge, and Skokie are not contractually bound to provide tuition reimbursement to their Firefighter bargaining units. (Er. Ex. 89)

For all of these reasons, the Arbitrator must select the Village's final offer on this issue.

b. The Union's Position

The Village proposes a 2-tiered system that eliminates tuition reimbursement for employees hired after January 1, 2015, whereas the Union proposes to maintain the *status quo*. The Village's arguments are nearly identical to those proffered in support of its proposal concerning education incentives. Because both internal and external comparable bargaining units agreed to the elimination of tuition reimbursement, the Village believes that it should be awarded this breakthrough item. The Union contends that the same analysis utilized in the education incentive section above applies here.

The Firefighter and Officer Contract contain identical language with regard to tuition reimbursement, providing for a maximum of $1,500 per year per employee and no more than $9,000 per year for all Bargaining Unit members; thus up to $18,000 was available for all Bargaining Unit employees. However, under the Village's proposal, the Village seeks to cut this benefit in half, as the Village proposes only $9,000 per year for all Bargaining Unit members. Such a drastic departure from the *status quo* cannot be awarded, as the Village failed to meet the heightened burden necessary to prove the need for such change, or that a *quid pro quo* was offered by the Village that the Union refused to accept. (Jt. Ex. 5 at 14; Un. Ex. 7, Tabs 6 at 12-13, 7 at 13)

Further, the Union insists that it cannot be ignored that the Village proposes a 2-tiered system. As noted above, 2-tiered systems are frowned upon and should only be accomplished through a voluntary agreement. The Union reiterates that, in ruling on this issue in the prior Interest Arbitration between the parties, Arbitrator Benn rejected the Village's 2-tiered proposal, agreeing that it is the epitome of a breakthrough and that it creates a class of lesser employees. (Un. Ex. 7, Tab 8 at 87)

Arbitrator Benn's analysis concerning education incentive, as set forth above, equally applies here to the issue of tuition reimbursement. The Union insists that the Village provided no evidence to support this breakthrough item. The Village argued that, because the other internal bargaining units voluntarily agreed to it, its proposal should be adopted. Such justification falls short of the burden necessary to accomplish such a breakthrough. (Un. Ex. 7, Tab 8 at 85-88)

The Union concludes that the Village offered no analysis of the cost savings realized from this proposal, or why it needs the proposed breakthrough language. Once again, the Village argues that, because others agreed to no tuition reimbursement, their proposal should be awarded. Accordingly, the Village falls short of meeting its heavy burden of demonstrating that its breakthrough proposal should be awarded.

c. **<u>Tuition Reimbursement - Analysis</u>**

The evidence and arguments regarding tuition reimbursement are almost identical to that of education incentives. For the same reasons identified regarding education incentive, the Village's proposal on tuition reimbursement is rejected. The *status quo* shall remain. The Union's proposal is granted.

8. **<u>Paramedic Certification (Economic)</u>**

The Village and the Union have proposed the following regarding the issue of modification to Article VII, Section 7.5 and Appendix B of the Contract:

VILLAGE PROPOSAL	UNION PROPOSAL
<u>Section 7.5. Discipline/Investigations.</u> …. As a general rule, the Village will follow principles of timely and progressive discipline, except where the offense is serious and substantial. ~~For all new firefighters hired after January 1, 2008,~~ The failure to ~~obtain, within a timeframe prescribed by the Village at the time of hire and to thereafter~~ maintain State of Illinois Paramedic and EMS System certification **<u>as per the requirements established in Appendix B</u>** shall result in the Fire Chief providing the employee with a reasonable time period under the circumstances to obtain the requisite licensure or certification, and the failure to do so within the extension period may subject the employee to disciplinary action.… **APPENDIX B- AGREEMENT FOR THE ADMINISTRATIVE ORGANIZATION OF PARAMEDIC PROGRAM** It is the intent of this Agreement that we have formalization of the Paramedic Program, which has proven its	*Status Quo*

worth to the residents as well as to the effective operation of the municipality. The following are points of this organization as mutually agreed upon:

(1) The training and education provided for a Paramedic is lengthy, as provided by Christ Hospital's current Emergency Medical System Training Program requirements. This is a significant investment for the Village as well as for the individual involved. ~~In order to make it of value to the Village, all new Paramedics will sign an agreement with the Village to provide their services as a Paramedic for a period of four (4) years.~~ The Village realized that the employee has invested many hours of personal time for the betterment of the Fire Department; thus, upon successfully completing the Paramedic Course, the employee will have an option to overtime pay, for hours attended on personal time.

(2) Maintenance of the employee's Paramedic certification is a condition of employment and failure to maintain that license will be cause for discharge. No employee with current Paramedic certification will be permitted to decertify. All employees who have a Paramedic certification are required to use that certification and cannot opt out of paramedic duties. If the Chief determines in the sound exercise of his discretion that more paramedics are needed, the Chief may order additional firefighters to obtain their certifications. Order will be given by reverse seniority within the appropriate rank (most junior employee ordered first). ~~The present Paramedics will enter into a minimum two (2) year agreement to provide their services as Paramedics. After this two-year term, a one-year notice must be presented to the Fire Chief, in writing, if a member intends not to continue as a Paramedic. Obviously, the one-year notice is an option for the Paramedic only. If the Village is dissatisfied with a Paramedic's~~

~~services, he/she will be relieved of Paramedic duties, after a Supervisory Board Review. It is also understood that one (1) year notice may be modified, after review of the Supervisory Board, and subject to approval by the Fire Chief, in order to adapt to a unique personnel situation~~. (3) A Paramedic Supervisor Board will be formed for the purpose of a peer review of all the activities of this particular group. Such a Board will have recommendatory powers to assist the Fire Chief in matters pertinent to Paramedic operations. The Board will consist of a designated Paramedic Coordinator, as well as two (2) Paramedics. The Fire Chief, or his designee, will attend these meetings on request by either the Supervisory Board or the Administration. This Board will aid the Chief in the maintenance of the important peer review of Paramedic performance in all aspects of the job. This should aid in the maintenance of high standards and performance, assuring that the recipients of their services are receiving the best of care. (4) The Paramedics have been recognized for their particular services since the inception of this program in 1976; therefore, the Paramedics will receive a stipend in recognition of additional duties above those of a firefighter. The stipend will be reflected in the salary compensation schedule where a firefighter/paramedic will receive a stated salary greater than that of a firefighter. Before any employee will receive this stipend, a budgeted vacancy must exist and it will be necessary to have received full certification as a Paramedic. The stipend will not be part of the pay during any preliminary training, including completion of Christ Hospital's current Emergency Medical System Training Program requirements. Having attained that certification, the stipend will commence with the next pay period. Once an employee has attained the	

necessary Paramedic certification, it will be his responsibility to maintain the necessary continuing education hours needed for Paramedic recertification. A Paramedic who ~~decides~~ **<u>decided</u>** not to recertify after completing ten (10) years of service as a Paramedic will not forfeit his Paramedic stipend as long as he ~~gives~~ **<u>gave</u>** two (2) years' advance written notice not to recertify to the Fire Chief**<u>, and as long as the Paramedic first took advantage of this benefit prior to the issuance of Arbitrator Bierig's award</u>**; (which notice may **<u>have been</u>** ~~be~~ given at any time after completion of seven (7) years of service as a paramedic) his salary will remain frozen until his normal pay catches up to his current salary level. **<u>This benefit shall not be available to any employee after the issuance of Arbitrator Bierig's award because maintenance of a paramedic license will be a condition of employment</u>**. It is understood that the Oak Lawn Paramedic Program will be operated under the Christ Hospital Emergency Medical Service System, and in the event of contemplated change or revision, this Agreement shall be subject to an advisory procedure between the Village and the Union. Off-duty Paramedics training required for recertification which is scheduled during off-duty time by the Village shall be paid at time and one-half the hourly rate. The existing policy permits Fire Department non-paramedics to enter paramedic training, before hiring from the outside, will be followed. (5) Employees who have served as certified paramedics on the Oak Lawn Fire Department for thirteen (13) years or more shall receive an annual salary payment of $300.00 in addition to the Paramedic stipend set forth in Paragraph 4 above. If the employee continues serving as	

a certified Paramedic in the Oak Lawn Fire Department after completion of the thirteen (13) years of service, the employee shall receive both the $300.00 payment and the Paramedic stipend. If an employee ~~ceases~~ **ceased** to serve as a Paramedic in the Oak Lawn Fire Department after completion of thirteen (13) years of Paramedic service (but continues in the employ of the Oak Lawn Fire Department in a bargaining unit position) **prior to issuance of Arbitrator Bierig's award**, the employee shall continue to receive the $300.00 annual payment and the employee will be protected by the "salary freeze" clause in Paragraph 4 above. ~~Employees who are now active paramedics and who were in the original Oak Lawn Paramedic Program shall be deemed to have satisfied the thirteen (13) year requirement in the paragraph even if said employees have been paramedics for less than thirteen (13) years. However, if an employee ceases to serve as a Paramedic in the Oak Lawn Fire Department after completion of twenty (20) years of Paramedic service, continues in the employ of the Oak Lawn Fire Department in a bargaining unit position, and provides to the Chief a signed, irrevocable letter of resignation in a form acceptable to the Chief a signed and effective on a date not more than one (1) year from the date that the employee ceases service as a Paramedic, that employee shall receive all salary, benefits and stipends that he or she would have received had he or she continued to serve as a Paramedic until the effective date of the employee's resignation. Such an employee shall not be required to ride the ambulance on a regular basis or counted as part of the Village's Paramedic contingent, but such an employee may be required to cover Paramedic duties as may be necessary on an occasional basis.~~ Each employee above the rank and classification of Firefighter (i.e., Fire Engineer, Fire Lieutenant and employees	

previously covered in the Officers' Agreement) shall receive an additional $1,200.00 per year paramedic specialty pay, provided they obtain (or have obtained) and maintain full certification as a paramedic. These employees are also covered by the terms set forth in this Appendix B.	

a. The Village's Position

The Village's final offer on the issue of paramedic certification involves deleting language that gives employees the unilateral right to withdraw his/her paramedic certification, and to require employees to maintain their certification throughout their career. It argues that this final offer will not impact those employees who have already decertified as Paramedics prior to the issuance of this Arbitrator's Award. The Village contends that under the current system, the Department is unable to control the level of EMS service to the residents of the Village because a Bargaining Unit employee is currently permitted to unilaterally declare that he/she is will no longer perform paramedic services. (Tr. 548)

The Village argues that it is not appropriate for an employee to decide who shall be paramedic certified. The Village argues that it must have the right to determine the job requirements for employees, including the level of EMS certification. Arbitral precedent holds that public policy matters and standards of service do not easily lend themselves to bargaining. *Village of Orland Park,* 21 PERI ¶ 42 (ILRB-SP 2005); *City of Danville*, 31 PERI ¶ 187 (ILRB-SP GC 2014).

The Village argues that paramedic certification is a permissive subject of bargaining for all bargaining units formed after 1986. *See e.g.*, *Village of Wilmette*, 18 PERI ¶ 2045 (ILRB-SP 2002); *Village of Lombard*, 15 PERI ¶ 2007 (ILRB-SP 1999). In the instant case, it is a mandatory subject because the Village voluntarily bargained with the Union before it had the legal obligation to do so. (Er. Ex. 52)

In both the *Village of Wilmette* and *Village of Lombard*, the Unions proposed that Paramedics should be able to withdraw their certification after a certain period of time. The General Counsel of the Board determined that such proposals limited the employers' right to increase the level of paramedic services provided. The General Counsel also stated that the Unions failed to demonstrate a significant interest or benefit that outweighed the employers' interest in setting the standards of service for EMS. The General Counsel concluded that the paramedic certification proposals were permissive subjects of bargaining. The Village further argues that there is no breakthrough analysis required on this issue because it is not asking employees to perform a new duty that is not already one of their job requirements upon hire. Rather, the Village is asking employees to continue performing the work they were hired to perform.

The Union may contend that it offered concessions in return for the ability to unilaterally decertify paramedic status. However, the Union introduced no evidence in support of its position on this issue. Further, in the Contract, the language regarding paramedic certification is binding only for the life of the Contract. Simply because the parties previously negotiated language into their Contract regarding a unilateral withdrawal of paramedic certification, does not mean it cannot be modified. *See Atlas Metal Parts Co., Inc. v. NLRB*, 660 F.2d 304, 308 (7th Cir. 1981)

On the merits, the Village first turns to the external comparables. It argues that 13 of the 14 comparable communities prohibit employees from unilaterally withdrawing their paramedic certification. Arlington Heights, Berwyn, Bolingbrook, Elgin, Evanston (if hired after 1986), Hoffman Estates, Lisle-Woodridge Fire Protection District, Lombard, Mount Prospect (only Lieutenants can withdraw certification after 10 years), Naperville, Oak Park (if hired after 2001), and Orland Fire Protection District (can only drop if there are sufficient Paramedics in the department) all prohibit their Paramedics from unilaterally withdrawing their certifications. Significantly, 3 of these comparable communities (Hoffman Estates, Lombard, and Mount Prospect) address paramedic certification by policy, not by contract. Thus, Skokie and the Village are the only exceptions regarding this point. Thus, external comparability supports the Village's final offer. (Er. Ex. 53)

Next, the Village argues that internal comparability also supports its proposal. In the Village's 4 non-fire bargaining units, there is not a single contract in which employees are able to unilaterally indicate that they are going to discontinue an essential function of the job, which was required when hired.

The ability of Bargaining Unit employees to determine the level of life-saving emergency medical services cannot be allowed, particularly where the adequacy of EMS directly impacts the interests and welfare of the public. The Union's expert witness, Moore-Merrell testified that having more Paramedics is better than having too few. (Tr. 1091)

Moore-Merrell also acknowledged the importance of Firefighters maintaining paramedic certification as EMS calls can equate to over 75% of calls. She indicated:

> it is in the best interest of the public good for the fire department to provide EMS transport as well as first response. The benefit of supporting EMS transport within fire department operations is that fire departments are already geared towards rapid response and rapid intervention. Strategically located stations and personnel are positioned to deliver time critical response and effective fire suppression and are therefore equally situated to provide effective response to time crucial requests for EMS service.

Moore-Merrell stated that both fire suppression and EMS response are required by industry standards to have adequate personnel and resources operating on scene within 4 minutes. Permitting the Union to unilaterally decide the adequate level of personnel that can respond to EMS calls is counterintuitive and not sustainable. (Un. Ex. 9, Tab 17 at 30)

For these reasons, the Village's final offer must be awarded. Any other result would be detrimental to the public welfare.

b. <u>The Union's Position</u>

The Union contends that the Village inaccurately describes the *status quo* by asserting that employees have the right to indicate unilaterally whether they are going to maintain their paramedic license. The Union explains that Article VII, Section 7.5 and Appendix B of the Firefighter Contract both contain language pertaining to paramedic certification/decertification. Article VII, Section 7.5 provides that new Firefighters hired after January 1, 2008 may be subject to discipline for failing to timely obtain and maintain paramedic certification, and Appendix B details the Paramedic Program. The Officer Contract does not contain similar provisions. The last paragraph in Appendix B of the Firefighter Contract states that each employee above the rank and classification of Firefighter, Fire Engineer, Fire Lieutenant, and employees covered in the Officers' Contract, shall receive an additional $1,200.00 per year paramedic pay, provided they obtain and maintain full certification as a Paramedic. (Un. Ex. 7, Tab 6 at 27, 55-58)

Further, provisions pertaining to the Paramedic Program, including the right to decertify, have been contained in contracts since 1981, prior to the effective date of the Act. Appendix AA of the parties' 1981 and 1982 contracts provided, "the present Paramedics will enter into a minimum two (2) year agreement to provide their services as a paramedic. A one (1) year notice prior to the end of this agreement must be presented to the Fire Chief, in writing, if a member intends not to continue as a paramedic." (Un. Ex. 5, Tabs 1, 2, 5 at 34-37)

The Union further argues that the right to decertify has been included in every Firefighter contract since the 1981 and 1982 contracts. The framework for the current Appendix B was put into place in the parties' 92-93 contract. It first contained the existing options to decertify, under certain conditions, after 4 years for new employees and after 2 years for current employees. The 1994-96 and 1997-99 contracts substantially continued the framework created in the 92-93 contract. However, the 1997-99 contract included, for the first time, the $1200.00 specialty pay for employees above the rank of Firefighter. The language currently contained in Appendix B of the current Firefighter Contract has been contained in identical form in the 2000-2002, 2003-2006, 2007-2010, and 2012-2014 contracts. (Un. Ex. 5, Tabs 5 at 34-37, 6 at Appendix B, 8 at Appendix B, 10 at 32-35, 12 at 34-37, 14 at Appendix B; Un. Ex. 7, Tab 6 at Appendix B)

The language contained in Article VII, Section 7.5 of the current Contract provides that new Firefighters hired after January 1, 2008 may be subject to discipline for failing to timely obtain and maintain paramedic certification appeared for the first time in the parties' 2007-2010 contract. Prior to this time, paramedic certification was not a requirement for new Firefighters. (Un. Ex. 5, Tab 14 at 25)

The Firefighter Contract also contains various provisions related to pay for performance of paramedic duties. Firefighter/Paramedics receive a higher salary than Firefighters. In addition, employees who serve as Paramedics for 13 years or more receive an annual salary payment of $300.00. Finally, as noted above, employees in the ranks above that of Firefighter shall receive an additional $1,200.00 per year specialty pay provided they obtain and maintain full certification as a Paramedic. (Jt. Ex. 2 at 54, Appendix A., at 56, Appendix B, ¶4, at 57, Appendix B, ¶5, at 58, Appendix B, ¶5)

Next, regarding the current language in Appendix B, the Union argues there are various options for decertifying as a Paramedic. After 4 years, a new Paramedic may decertify. After 2 years, a current Paramedic may decertify provided he presents the Chief with a 1-year notice of his intent to decertify as a Paramedic. After 10 years, a Paramedic may choose to decertify as long as he provides the Chief with a 2-year notice. In such a situation, the Paramedic maintains the paramedic stipend, and his salary remains frozen until the normal pay grade catches up to his current salary level. (Jt. Ex. 2 at 55, ¶1-2, at 56-57)

There are 2 additional benchmarks for paramedic decertification. If an employee ceases to serve as a Paramedic after completion of 13 years of paramedic service, the employee continues to receive the $300.00 annual payment and the employee is protected by the "salary freeze" clause contained in Paragraph 4. After 20 years, a Paramedic may choose to decertify, if he or she provides the Chief with a signed irrevocable letter of resignation effective not more than one year from the date the employee ceases service as a Paramedic. If the employee provides the requisite notice, he or she shall continue to receive all salary, benefits, and stipends as if he had continued to serve as a Paramedic until the effective date of his resignation. (Jt. Ex. 2 at 57-58, ¶5)

Next, the Union points out that during negotiations, the Village proposed to change the language in Section 7.5 and Appendix B on January 29, 2015, February 11, 2015, March 11, 2015, March 19, 2015, April 8, 2015, and June 25, 2015. The Union rejected those proposals, and proposed to retain the *status quo* current contract language. (Un. Ex. 7, Tabs 15-16, 18, 20, 23, 24,25, 30)

On April 26, 2016, after the parties had been bargaining for over a year and the Village had filed its demand for Interest Arbitration, the Village asserted that the issue of paramedic certification is a permissive subject of bargaining. The Village filed a petition for a Declaratory Ruling in Case No. S-DR-16-005. On July 1, 2016, the Board's General Counsel held that the paramedic certification is a mandatory subject of bargaining because the parties bargained over the issue beginning in 1982, before the effective date of the Act. The General Counsel also noted that the parties continued bargaining over the issue for every contract effective between 1982 and 2014. (Un. Ex. 7, Tabs 45, 46, 46C)

The Union contends that the Village's final offer seeks a multitude of changes to Article VII, Section 7.5 and Appendix B. First, the Village's offer changes the language in Article VII, Section 7.5 to provide that any employee who fails to maintain paramedic licensure may be subject to discipline. Currently, only new Firefighters hired after January 1, 2008 are subject to discipline for not maintaining paramedic licensure. Second, the Village proposes that any employee with paramedic certification must continue to maintain the certification and failure to do so constitutes grounds for discharge. No employee with a paramedic certification may opt out or decertify. Third, the Chief, at his discretion, may order additional Firefighters to obtain paramedic certification. Thus, the Village's proposal seeks to eliminate a decertification option that employees have possessed for years, and provide the Chief with sole discretion to require additional Firefighters to obtain paramedic certification. (Jt. Ex. 2 at 27; Un. Ex. 7, Tab 60 at 4-8; Tr. 622)

The Union argues that the Village's proposal represents a significant change to the *status quo,* and that the Village has failed to meet its burden of demonstrating that the system is broken and in need of repair. The Village's justifications for these proposed changes are based primarily on a desire to increase the number of Paramedics, put another ambulance in service, and increase ambulance revenue. The Village never set forth any proposals addressing these alleged concerns at the bargaining table. (Un. Ex. 7, Tabs 15-17, 19-20, 22-23, 25-26, 29-30, 32; Tr. 512)

The Village has not demonstrated that the system is broken. It asserts that more Paramedics are necessary to allow the Chief to determine the level of ambulance service provided to the community. The Union insists that if more Paramedics are required to meet the Village's requirements, the Village must obtain that requirement at the bargaining table, not through Interest Arbitration. The Village could have proposed to provide additional incentives in negotiations for employees to obtain, and maintain, paramedic certification, but did not do so. The Village is free to hire more Paramedics at any time. The Firefighter Contract requires that the Village exercise its best efforts to maintain a minimum number of Firefighter/Paramedics; it does not restrict the Village's ability to hire additional Paramedics and go beyond the minimum number required by the Contract. Despite this flexibility, the Village admitted that it does not have plans to hire more employees, beyond filling vacant positions necessary to maintain the minimum number of Paramedics required by the Contract. (Jt. Ex. 2 at 31, §7.9.c.; Tr. 548-549, 601)

Second, the Union argues that if adopted, the Village's proposal would also adversely impact a significant number of employees. Firefighters hired after January 1, 2008, are required to obtain paramedic certification as a condition of employment. Under the Village's offer, those Firefighters would now be required to maintain their paramedic license for the remainder of their careers, even if they moved up the ranks and out of the Firefighter/Paramedic rank. Thus, a Firefighter/Paramedic hired on January 2, 2008 who is promoted to Engineer, Lieutenant, Captain, Battalion Chief, or Bureau Chief would be required to maintain that paramedic license throughout his/her career despite his/her rank.

There currently are 11 employees above the rank of Firefighter/Paramedic with paramedic certification who would be required to retain their paramedic certification under threat of discharge: 4 Engineers, 4 Lieutenants, 1 Captain, and 2 Bureau Chiefs. Under the Village's proposal, all of those employees would now be required to maintain their paramedic license for the remainder of their career. (Un. Ex. 10, Tab 23)

Third, contrary to the Village's contention, a review of the contracts of comparable communities demonstrates that many communities do, in fact, allow Paramedics to withdraw their paramedic certification. Among the external comparables, the following have contracts that provide a mechanism for employees to decertify as Paramedics:

> Arlington Heights (Employees may drop cert. after 5 years so long as number of paramedics is maintained; notice to chief is required)
>
> Berwyn (Employee may drop cert. after 8 years so long as number of paramedics is maintained; notice and chief approval required)
>
> Bolingbrook (Employee may apply to decertify; if shortage of paramedics, will be required to retain until replacement obtained)

> Elgin (Employees may request decertification if number of paramedics exceed required number)
>
> Evanston (Employees are allowed to withdraw so long as established number of paramedics is maintained)
>
> Lisle-Woodridge Fire Protection District (Employees may decertify after 6, 10, or 12 years, subject to availability of sufficient no. of paramedics, and possible need to give notice)
>
> Naperville (After 10 years an employee may apply to reclassify from Firefighter/paramedic to firefighter; normally approved so long as numbers met)
>
> Oak Park (Employee may withdraw after 4 years so long as numbers are maintained)
>
> Orland Fire Protection District (Employee may withdraw after 10 years so long as numbers are maintained)
>
> Park Ridge (Employee may withdraw after 10 years so long as numbers are maintained)
>
> Skokie (Employee may opt out after 4 years if the number of paramedics established by chief is maintained)

Three other communities, Hoffman Estates, Lombard, and Mount Prospect have no provisions relating to paramedic decertification. (Er. Ex. 50C; Tr. 549-550)

A common theme runs through each of the 11 contracts listed above. Each provides for establishment of a required number of Paramedics, and employees may decertify their paramedic status as long as the required number is maintained. None of the external comparables contains a requirement that all Paramedics must permanently maintain their certification. None of the contracts contains a blanket prohibition against a Paramedic decertifying his/her paramedic status. The contracts in comparable communities support the Union's proposal to maintain the *status quo*.

Last, the Union dismisses the Village's final offer as being regressive. On June 2, 2015, as part of the Village's "Offer #1", the Village proposed that Appendix B, with its ban on opting out of paramedic certification, would not apply to the Officers Unit. The Village's final offer does not include that language. (Jt. Ex. 4 at 4-8; Un. Ex. 7, Tab 29)

Therefore, the Union urges this Arbitrator to reject the Village's proposal because it is regressive, completely alters Appendix B, a historical provision which has contained essentially identical language since its inception in 1981, and adversely affects numerous employees.

c. <u>Paramedic Certification - Analysis</u>

The Village's proposal requires that individuals who have Paramedic training and have continued to maintain their paramedic training may not withdraw their paramedic license for the duration of their career. Previously, there were enumerated periods of time during which Paramedics could withdraw their licenses without penalty.

I have reviewed the Village's proposal and find it to be a significant change. While I understand that the Village certainly has an interest in maintaining the proper number of Paramedics in the Department, the proposal by the Village significantly modifies the prior system. Under the system proposed by the Village, any individual who continues to have a Paramedic license as of the date of the Arbitration Award must retain that license until the end of his/her career.

The Village's proposal is a significant change that qualifies as a breakthrough. Such a change made via Interest Arbitration is exactly what is referred to as a breakthrough, which is best obtained in bargaining and not through the very conservative nature of Interest Arbitration. As noted by this Arbitrator and numerous others, an Interest Arbitrator should only endeavor to award those items that the parties would have reached across the table.

In the instant case, based on the parties' positions and bargaining history, it is clear that such a change could not occur across the bargaining table. Further, in order to prove that a breakthrough should be reached, the party requesting a change to the *status quo* must prove the following:

> 1) the old system or procedure has not worked as anticipated when originally agreed to;
>
> 2) the existing system or procedure has created operational hardships for the employer or equitable or due process problems for the union; and
>
> 3) the party seeking to maintain the *status quo* has resisted attempts to bargain over the change (i.e., refused a *quid pro quo*).
>
> *City of Burbank,* Case No. S-MA-97-056 (Goldstein, 1998)

In the instant case, the Village has not proven that the system was broken, or that the existing system has created operational hardships for the employer. While the Village has credibly articulated that it would like to have more control over the issue of paramedic licensure, which is certainly a valid concern, I cannot find that the system is broken. There is no credible evidence that there too few Paramedics or that the Department has had difficulty obtaining and maintaining the correct number of Paramedics.

Because the Village's proposal such a major change, and because the Village has not proven that the system is broken, the Village's proposal is rejected and the Union's *status quo* proposal is accepted.

9. **Residency (Non-Economic)**

The parties have made the following final proposals regarding a new Section 7.15, Residency:

VILLAGE PROPOSAL	UNION PROPOSAL
Section 7.15 Residency All bargaining unit members hired	*Status Quo*

before the issuance of Arbitrator Bierig's award are required to establish residency within the State of Illinois within six months of the issuance of his decision. All bargaining unit members hired on or after the issuance of Arbitrator Bierig's award are required to establish residency within fifty (50) miles of Village Hall (9446 S. Raymond Ave., Oak Lawn, IL) and within the State of Illinois within six months of the probation period for new-hires. The Village Manager may in his discretion grant an extension of this time limit for good cause shown. Residency as established in this Section is a condition of employment and failure to comply with this residency shall be cause for discharge.	(i.e., There will be no new residency language in Section 7.15.)

a. <u>The Village's Position</u>

The Village contends that, pursuant to the Rules and Regulations of the Illinois Labor Relations Board §1200.143, this Arbitrator has no choice to but to select its residency proposal. The parties sought a Declaratory Ruling on this issue with the General Counsel of the ILRB. The General Counsel noted that "if the arbitrator granted the Union's proposal, the arbitrator's award would expressly allow residency outside of Illinois and would therefore contravene Section 14(i) of the Act ..." *Village of Oak Lawn*, Case No. S-DR-16-005, at 11-14 (General Counsel, 2016)

Further, the Village argues that, prior to the issuance of the Declaratory Ruling and during bargaining, it made efforts to negotiate a residency provision. Thus, while the Union may argue that requiring individuals who now live outside of the State of Illinois to move back into the state would be disruptive to those employees, the Union did not provide to the Village any alternative proposal; rather, the Union rejected the Village's compromise offers to settle the issue. (Tr. 558-559)

For these reasons, the Arbitrator has no choice but to award the Village's final offer.

b. <u>The Union's Position</u>

The Union argues that, historically, there has been no residency requirements for Bargaining Unit employees. The only justification offered for this drastic departure from the *status quo* is the Village's incorrect interpretation that residency within Illinois is mandated by the Act. Further, the Union argues that its proposal is supported by the parties' lengthy bargaining history, lack of internal parity, external comparability, and the fact that the Village failed to meet its heightened burden of proving the need for this breakthrough item. Also, this is a non-economic issue, which means that this Arbitrator may award either proposal, or craft language that represents a compromise between the parties' positions. *County of Jefferson and Jefferson County Sheriff and Illinois Fraternal Order of Police Labor Council*, ILRB Case No. S-MA-06-030 (Meyers, 2006) at 5, 20 (Tr. 556)

First, the Union notes that throughout the parties' historical, pre-Act relationship, the contracts have contained no residency requirements. Section 14(i) of the Act provides, in relevant part:

> In the case of fire fighter, and fire department or fire district paramedic matters, the arbitration decision shall be limited to wages, hours, and conditions of employment (including manning and also including residency requirements in municipalities with a population under 1,000,000, but those residency requirements shall not allow residency outside of Illinois) …
>
> 5 ILCS 315/14(i)

There is no language in the Act that requires parties to include residency provisions within their contracts. Rather, Section 14(i) provides that an Arbitrator's Decision shall be limited to mandatory subjects of bargaining, which include manning and residency requirements. Specifically, the Act provides that residency requirements shall not allow residency outside of Illinois. It does not follow that Section 14(i) mandates the inclusion of residency within Illinois in an Interest Arbitration Award. However, it is clear from the language of the Act that if an Arbitration Award does include residency requirements, such an Award shall not allow residency outside of Illinois. Here, it cannot be ignored that the contracts contain no residency requirement. Thus, an Award that grants the Union's *status quo* proposal would not be inconsistent with the Statute because the contract would continue to contain no residency requirement. (Tr. 555-556)

The Village's position that the Act mandates residency within Illinois relies upon an interpretation that the Statute requires that contracts include residency requirements. This interpretation is not appropriate based on the plain meaning of the Statue. The most reliable indicator of legislative intent is the language of the Statute's plain meaning. *Karonis v. Visible Spectrum, Inc.*, 2015 IL App (2d) 150019, ¶17. Had the legislature intended to require parties to include residency requirements in contracts, the legislature would have done so, but did not. Taking the Village's argument to its logical conclusion means that Section 14(i) of the Act mandates that all Interest Arbitration Awards must also include minimum manning provisions.

Second, as to the Petition for Declaratory Judgment the Union filed in the Circuit Court of Cook County (the "Petition"), docketed as Case No. 2016-CH-09908, seeking a determination as to whether the Municipal Code precludes the Village from imposing residency requirements on Bargaining Unit employees, the Union argues that said case is currently pending and, unlike the Declaratory Ruling issued by the Board's General Counsel, will be binding on the parties.

Section 10-2.1-6.3(c) of the Illinois Municipal Code, 65 ILCS 5/10-2.1-6.3(c), contains provisions governing the appointment of members of Fire Departments subject to the Illinois Municipal Code:

> Residency requirements in effect at the time an individual enters the fire service of a municipality cannot be made more restrictive for that individual during his or her period of service for that municipality, or be made a condition of promotion, except for the rank or position of fire chief and for no more than 2 positions that rank immediately below that of the chief rank which are appointed positions pursuant to the Fire Department Promotion Act. …

Here, there have never been residency requirements for Bargaining Unit employees. Thus, any residency requirement is more restrictive for current Bargaining Unit employees, and is, prohibited under Section 10-2.1-6.3(c) of the Municipal Code.

The Village argues that Section 15 of the Act renders the Municipal Code subordinate to the Act because it provides that in case of any conflict between the provisions of the Act and any other law, the provisions of the Act or any contract shall prevail. 5 ILCS 315/15. However, no such conflict exists because the Act provides that an Arbitrator's Award shall not allow residency outside of Illinois, whereas the Municipal Code provides that residency requirements in effect at the time a Firefighter was hired cannot be made more restrictive during their service for the municipality. Because the contracts in question contain no residency requirements, an Award to maintain the *status quo* will not conflict with the Act.

A conflict between the 2 Statutes exists only if an Award is issued that imposes residency requirements on current employees, as any residency requirement is more restrictive for employees who have never been subject to any such requirement. In the event of a conflict, it is clear that it is the Act that is subordinate to the Municipal Code with respect to the issue of residency requirements. Section 10-2.1-6.3(a) of the Illinois Municipal Code, 65 ILCS 5/10-2.1-6.3(a), contains provisions governing the applicability of this Section and states in relevant part:

> (a) Applicability.
>
> *   *   *
>
> Notwithstanding any statute, ordinance, rule, or other law to the contrary, all original appointments to an affected department to which this Section applies shall be administered in the manner provided for in this Section. Provisions of the Illinois Municipal Code, municipal ordinances, and rules adopted pursuant to such authority and other laws relating to initial hiring of firefighters in affected departments shall continue to apply to the extent they are compatible with this Section, but in the event of a conflict between this Section and any other law, this Section shall control.
>
> A home rule or non-home rule municipality may not administer its fire department process for original appointments in a manner that is less stringent than this Section. This Section is a limitation under subsection (i) of Section 6 of Article VII of the Illinois Constitution on the concurrent exercise by home rule units of the powers and functions exercised by the State. …

Importantly, the provisions concerning residency contained within Section 14(i) were enacted in 1997, whereas Section 10-2.1-6.3 was enacted in 2011. "Where two statutes are allegedly in conflict, a court has a duty to interpret the statutes in a manner that avoids inconsistency and gives effect to both statutes, where such an interpretation is reasonably possible." *Barragan v. Casco Design Corp.*, 216 Ill.2d 435, 441-42 (2005). It is well established that the more specific and more recently enacted statute controls. *Village of Chatham v. County of Sangamon*, 351 Ill.App.3d 889, 895 (4th Dist. 2004)

In the instant case, to the extent there is a conflict between the 2 Statutes, the Municipal Code is both more specific and more recently enacted. The language of Section 10-2.1-6.3(c) provides that residency requirements in effect at the time that an individual enters fire service cannot be made more restrictive during the time they serve for that municipality, whereas Section 14(i) of the Act states that an Arbitrator cannot award residency requirements outside of Illinois. As the Municipal Code is more specific, and was more recently enacted, it is clear that, to the extent there is any conflict, the Municipal Code controls.

It is established in Illinois that bargaining unit employees are not required to relinquish statutory rights. *Mt. Vernon Educ. Ass'n, IEA-NEA v. Ill. Educ. Labor Rel. Bd.*, 278 Ill.App.3d 814, 816-17 (4th Dist. 1996); *Board of Trustees of the University of Illinois*, 8 PERI ¶1014 at IX-57 (IELRB 1991), *aff'd*. 244 Ill.App.3d 945 (4th Dist. 1993). The Municipal Code establishes a stautory right for bargaining unit employees concerning residency requirements, and protects them from being subjected to more restrictive residency requirements than those in effect at the time they were hired. Because the Village's proposal subjects current Bargaining Unit employees to a more restrictive residency requirement than that which was in effect at the time said employees were hired by the Village, it violates the Municipal Code and, therefore, must be rejected.

The Union argues that the Village incorrectly asserted at Arbitration that the Declaratory Ruling by the ILRB is binding in this proceeding. The Union asserts that the Declaratory Ruling does not resolve the issue between the parties, as it is not a final and binding decision. The Board's Rules and Regulations do not require that an Arbitrator consider a Declaratory Ruling involving the parties to an Interest Arbitration proceeding. Section 1230.90(k) provides that an Arbitration panel may consider and render an Award on an issue that has been declared by the Board or the General Counsel to be a mandatory subject of bargaining. 80 Ill. Admin. Code §1230.90(k). If either the legislature or the Board intended for Declaratory Rulings to be binding, either the Act or the Board's Rules and Regulations would contain such a requirement. However, it did not do so. (Tr. 618)

The Union argues that the Declaratory Ruling was based on the conclusion that the Village's proposal does not violate the Municipal Code. The Board is not charged with administering the Municipal Code. The Union asserts that the portion of the Declaratory Ruling concerning residency is erroneous because it does not comport with the Municipal Code, and is, therefore, void because it exceeds the authority of the Board and its General Counsel. (Er. Ex. 102 at 10)

Significantly, Board precedent establishes that Declaratory Rulings are non-binding. In *City of Highland Park*, 14 PERI ¶2023 (IL SLRB ALJ 1998), a non-precedential decision that applied to a Peace Officer unit, the ALJ found that because Declaratory Rulings of the Board's General Counsel are not appealable, they are best characterized as non-binding advisory opinions rather than binding declaratory orders because they do not involve an adversarial procedure, and, because the Board's Rules and Regulations provide that requests for Declaratory Rulings may be filed by one or both parties, and that "to bind the Union to a ruling which it did not seek seems manifestly unfair given that the Rules do not provide for any appeal of a declaratory ruling." In the instant case, the Union did not join in the Petition for Declaratory Ruling, which shows that the unilateral Declaratory Ruling is not binding on either the parties or this proceeding.

The Union argues that there has never been a residency requirement contained in any of the contracts. Yet, in the instant case, the Village seeks to impose a 2-tiered residency requirement that requires Bargaining Unit employees hired prior to the issuance of this Arbitrator's Award to establish residency in Illinois within 6 months of issuance, and, for those hired after issuance of this Arbitrator's Award, to live within 50 miles of Village Hall and within Illinois within 6 months of the probation period for new hires. Further, the Village's proposals on the issue of residency changed constantly throughout the parties' negotiations. (Jt. Ex. 4 at 1; Un. Ex. 5, Tabs 1-15; Tr. 626-27)

The Village's proposal must be rejected because the Arbitrator must place the parties where they would have been had an agreement been reached. *Will County Board and the Sheriff of Will County*, ILRB Case No. S-MA-88-009 (Nathan, 1988) at 49-50. Here, there is no question that the Union would never have agreed to residency requirements. Not only have such requirements never existed for the Bargaining Unit, but the Union has maintained that such requirements violate the

Municipal Code. Further, the fact that 4 of the Village's proposals included no residency requirement for current Bargaining Unit employees demonstrates that the Village was willing to agree to no residency requirements for such employees. Thus, the parties' bargaining history supports the Union's *status quo* proposal.

The Union considers the comparables to be the strongest evidence in support of maintaining the *status quo*. First, the Village has taken the opposite position regarding to its 2 Police units. In the MAP Patrol Officer unit, the 2007-2010 and 2011-2014 contracts contain no residency provision. The most current MAP Patrol Officer contract contains the following residency requirement:

> All employees hired after ratification must establish residency within the State of Illinois and within fifty (50) miles of Village Hall (9446 S. Raymond Ave.) within six months of their date of the completion of their probationary period.
>
> In exchange for agreement on the residency language listed above and for the term of this contract only, the Village will offer the following incentive to any officer not currently residing within the Village of Oak Lawn that purchases a primary residence within the Village of Oak Lawn, the employee will receive a one-time bonus payment of $6,500 upon presentation of a HUD closing statement to the Village of Oak Lawn. The employee must use this residence as a bona fide primary residence for the term of this CBA or a period of three years, whichever is longer. Failure to maintain this residence as the employee's bona fide primary residence for the term of this CBA or a period of three years, whichever is longer, will result in a full forfeiture of the bonus paid to the employee and the employee shall be required to promptly reimburse the Village for the full bonus paid to the employee. The employer may enter into an agreement with the employee regarding the method of reimbursement.

The FOP Supervisor contracts that cover 2007-2010, 2011-2014, and 2015-2018 contain no residency requirement. (Un. Ex. 5, Tabs 16, 17, 18 at 38, Tabs 19-21; Tr. 556)

The fact that the Village did not take the same position on residency with regard to the Police bargaining units contradicts its claim that the Act mandates residency within Illinois, as Section 14(i) of the Act contains identical language regarding residency for both Peace Officer and

Firefighter units. Not only is the Village's position on residency inconsistent, but the Village even offered the MAP Patrol Officers unit a *quid pro quo* in exchange for agreeing to the residency requirement. No such offer was ever made to the Union. The differences in the treatment of the Police bargaining units as compared with the Firefighter Bargaining Unit underscores the fact that the Village's proposal is intended to be punitive. The Village offered no further justification for the proposal other than its claims that the Act mandates residency within Illinois and wants Bargaining Unit employees to spend their tax dollars in Illinois. The Union contends that it is unclear why the Village wants only all Firefighter Bargaining Unit employees to spend their tax dollars in Illinois, while wanting only newly-hired Patrol Officers to do the same. (Tr. 618-19, 657)

Second, the Union contends that the evidence concerning external comparability also supports its position, as demonstrated by the following chart:

MUNICIPALITY	CBA ART.	RESIDENCY
Arlington Heights	Art. XIV, Sec. 7 (V. Ex. 50C at 51)	Employees must comply with reasonable residency requirements that may be established by the Village except as provided by law.
Berwyn	Art. VIII (V. Ex. 50C at 9)	Restricted to the following counties: Cook, Lake, DuPage, Kane, McHenry, and Will.
Bolingbrook	Art. XX, Sec. 3 (V. Ex. 50C at 79)	Restricted to 13 miles from the center of the Village.
Elgin	Art. 30, Sec. f (V. Ex. 50C at 33)	No residency requirement.
Evanston	N/A	No residency requirement.
Hoffman Estates	Art. XII (V. Ex. 50C at 18)	No residency requirement.
Lisle-Woodridge Fire Protection District	Art. XXIV, Sec. 24.6 (*Id*. at 53)	Restricted to Illinois.
Lombard	N/A	No residency requirement.

MUNICIPALITY	CBA ART.	RESIDENCY
Mount Prospect	N/A	No residency requirement.
Naperville	Art. XX, Sec. 20.8 (V. Ex. 50C at 41)	Existing residency requirements will not be modified during the term of the agreement.
Oak Park	Art. XXII (V. Ex. 50C at 40)	No residency requirement.
Orland Fire Protection District	Art. 23 (V. Ex. 50C at 43)	Restricted to sixty-five (65) miles beyond the District's boundaries.
Park Ridge	N/A	No residency requirement.
Skokie	XII, Sec. 12.28 (V. Ex. 50C at 60)	Restricted to Lake, Cook, DuPage, Kane, Kendall, Will, and McHenry counties in IL; Kenosha county in WI; and Lake county in IN. All new hires shall move within the boundaries within eighteen months of their hire, unless and extension is requested of and granted by the Board of Fire and Police Commissioners.

Thus, of the 14 comparables, 5 have residency requirements, and 7 have no residency requirements. Regarding the remaining 2 comparable communities, the evidence is unclear as to whether there is a residency requirement. Accordingly, the Union's *status quo* proposal is supported by the external comparables.

The Union insists that because the Village's breakthrough proposal is such a drastic departure from the *status quo,* the Village must meet a heightened burden of proof in order to demonstrate that its proposal should be awarded. This heightened burden of proof is discussed above.

Further, the Village claimed that it does not even know what impact its proposal will have on current Bargaining Unit employees. Although the Village is aware that there are 3 Bargaining Unit employees who currently live out of state, the Village does not know whether they own homes or have children enrolled in a school district. The evidence demonstrates that the proposed language will create a significant hardship for the Bargaining Unit employees who currently live out of state. All 3 of these individuals have children who attend public school in Indiana and all 3 own homes and have lived in Indiana for 24, 21, and 19, respectively. (Un. Ex. 10, Tab 24; Tr. 558, 1210-1211)

Last, the Union argues that the Village incorrectly claimed that this Arbitrator has no choice but to award the Village's proposal due to the fact that the Board's General Counsel deemed the Union's proposal to be permissive and the Union stated it would not alter its proposal. However, as the Union points out, residency is a non-economic issue and this Arbitrator can craft his own language on this issue. Even if this Arbitrator decides not to award the Union's *status quo* proposal, that does not mean that the Village's proposal must be adopted. Because the Village's proposal violates Section 10-2.1-6.3(c) of the Municipal Code, said proposal cannot be adopted. Therefore, in the event this Arbitrator does not award the Union's *status quo* proposal, this Arbitrator must craft his own language that comports with the Municipal Code. (Tr. 618-620)

c. <u>Residency - Analysis</u>

After a review of the evidence and arguments, I have determined that I will not accept either of the parties' proposals. Rather, as this is a non-economic issue, I have framed a new provision regarding residency, as indicated below:

> 1. All Bargaining Unit members are required to live within the State of Illinois.
>
> 2. Any Bargaining Unit employee living outside the State of Illinois at the time of the issuance of this Award will have until the end of the contract, December 31, 2017, or any agreed upon extension thereto, to notify the Village of his/her intent to move to the State of Illinois and to provide the time frame for said move to the State of Illinois.

> 3. This matter is currently being litigated by the parties. In the event that a court of competent jurisdiction issues a final order indicating that the Union's proposal, that is, the *status quo*, is legal under State of Illinois law, this provision shall be null and void and the *status quo* shall be immediately reinstated.
>
> 4. This provision shall not constitute a *status quo* for subsequent negotiation and Interest Arbitration purposes.

It is uncontested that the parties have historically never had a residency requirement, and that at least 3 employees currently live in Indiana and have lived there for a considerable length of time. In this case, the Village seeks to require all current employees to live within the State of Illinois within 6 months of the issuance of this Award, and all new employees to live in the state within 50 miles of Village Hall, within 6 months of the probationary period.

First, as a preliminary matter, it is clear that this is a breakthrough issue and that the Village has not met its burden of proving that such a breakthrough is appropriate. However, there is a question of statutory interpretation in this case. With regard to Firefighters, the Act requires:

> In the case of fire fighter, and fire department or fire district paramedic matters, the arbitration decision shall be limited to wages, hours, and conditions of employment (including manning and also including residency requirements in municipalities with a population under 1,000,000, *but those residency requirements shall not allow residency outside of Illinois*) …
>
> (emphasis added)

I note that pursuant to the Village's request for a Declaratory Ruling, the General Counsel of the Labor Board made the following ruling, in relevant part:

> … As a practical matter, if the arbitrator awarded the Union's proposal, the contract would contain no restriction on residency at all. The absence of any restriction on residency is, in turn, a grant of permission to firefighters allowing them to live outside of Illinois.
>
> More importantly, if the arbitrator granted the Union's proposal, the arbitrator's award would expressly allow residency outside of Illinois and would therefore contravene Section 14(i) of the Act, even if the

> contract contained no such express allowance. The award and the contract are separate—the award sets forth the arbitrator's reasoning while the contract distills terms the arbitrator selected or formulated. 5 ILCS 315/14(n) (noting that the terms of an award are to be included in a separate agreement, which is to be presented for ratification by an employer's governing body). If the arbitrator adopted the Union's proposal, his award would inevitably discuss the meaning and impact of the Union's proposed omission of residency language. The arbitrator would explain that his adoption of the Union's proposal would leave no restriction on residency and would thereby allow residency outside of Illinois. The contract's ultimate silence on the issue of residency would not cure the fact that an arbitration award adopting the Union's proposal would necessary address residency and expressly allow residency outside of Illinois.

Thus, the General Counsel has indicated that granting the Union's proposal would effectively contravene the Statute. While the Union has argued that the General Counsel's Declaratory Ruling is non-binding on this Arbitrator, I nonetheless find that the Ruling is a definitive statement on the interpretation of the Act, the Statute from which I obtain my authority to issue this Award. While the Union contends that the Illinois Municipal Code supersedes the Act, that is not for me to determine. That is a question for the courts, where litigation is currently pending. Therefore, I find that the Declaratory Ruling by the General Counsel is precedent that I will follow.

Subsequent to the General Counsel's opinion, the parties entered into litigation over this issue; however, that litigation is ongoing and as yet, unresolved. At this time, the only definitive ruling regarding this litigation is that which was issued by the General Counsel, who indicated that granting the Union's proposal would effectively be a violation of the Statute.

As stated above, I note that because the residency matter is a non-economic issue, I need not grant the position of one side or the other, but may fashion my own provision. I have chosen this approach. I find that I have no choice but to impose an Illinois residency requirement due to the language of the Statute and the opinion of the General Counsel of the ILRB. However, I find that the residency requirement proposed by the Village is too restrictive and must be more flexible. Further, it is clear that the Bargaining Unit employees who live in Indiana will undergo significant hardships as a result of this provision. In light of these considerations, I have chosen to craft the following residency requirement to be placed into the contract:

> 1. All Bargaining Unit members are required to live within the State of Illinois.
>
> 2. Any Bargaining Unit employee living outside the State of Illinois at the time of the issuance of this Award will have until the end of the contract, December 31, 2017, or any agreed upon extension thereto, to notify the Village of his/her intent to move to the State of Illinois and to provide the time frame for said move to the State of Illinois.
>
> 3. This matter is currently being litigated by the parties. In the event that a court of competent jurisdiction issues a final order indicating that the Union's proposal, that is, the *status quo*, is legal under State of Illinois law, this provision shall be null and void and the *status quo* shall be immediately reinstated.
>
> 4. This provision shall not constitute a *status quo* for subsequent negotiation and Interest Arbitration purposes.

Arbitrator Benn recently dealt with this issue in the *Village of Lansing and Illinois FOP Labor Council* S-MA-12-214. Arbitrator Benn believed that he had no choice but to require a residency requirement for the Police Officers in the *Village of Lansing*. However, in reaching that conclusion, he made the following cautionary ruling:

> Notwithstanding how perplexing the Village's proposal may be and how no change in the status quo is justified under the analysis used for such changes … I am required to adopt the Village's proposal.
>
> The Village argues that "... although the Village is seeking a change in the status quo, this change is not subject to the general breakthrough analysis ..." and "[t]he Arbitrator has no choice to but select the Village's residency proposal." As a matter of law, the Village is absolutely correct. As a matter of statute, Section 14(i) of IPLRA prevents me from deciding a residency dispute with adoption of an offer which allows officers to live outside the State of Illinois …. So too, if a party asks for a residency provision which requires residency inside the State of Illinois, that request must also be granted.

Therefore, I simply have no choice. As required by Section 14(i) of the IPLRA, the Village's offer must be adopted.

* * * *

As an interest arbitrator, I cannot use the residency provisions of the Fire and Police Commissioners Act to protect those officers who relied upon the ability to move to Indiana as negotiated by the parties and permitted by the 2009-2012 Agreement.

The Union recognizes that I cannot resolve conflicts between the residency provisions of the Fire and Police Commissioners Act and the IPLRA. If there are conflicts, sorting out those conflicts is a task for the courts – not for me as an interest arbitrator. My authority as an interest arbitrator is limited by the provisions of the IPLRA. If there are conflicts between the IPLRA and the Fire and Police Commissioners Act, some forum other than this one will have to sort that all out.

As an interest arbitrator, for me to "rewrite" the provisions of Section 25.3 of the Agreement concerning enforcement of the residency provisions as the Union asks to "shield these employees from any discipline the Village can issue" or otherwise exempt those officers from the residency requirements when these employees relied upon the ability to move to Indiana as negotiated by the parties and permitted by the 2009-2012 Agreement, would, in my opinion, indirectly do what Section 14(i) of IPLRA prohibits me from doing. Shielding these officers from discipline through an interest arbitration proceeding as the Union asks will, for all purposes, be tantamount to issuing an interest award that goes against the strict admonition in Section 14(i) of the IPLRA that my interest award "... shall not allow residency outside of Illinois ...." To "shield" those officers from discipline or by re-writing provisions of Section 25.3 to make the residency requirements inapplicable to these officers as the Union requests will have the same effect as if I inserted a provision that allows the officers to reside in Indiana. Under Section 14(i) of the IPLRA, as an interest arbitrator, I do not have that authority. Under that section I am prohibited from doing what the Union requests.

But that is as an interest arbitrator. A grievance arbitrator may have a different view of disciplinary actions taken against those officers who relied upon the ability to move to Indiana as negotiated by the parties and permitted by the 2009-2012 Agreement which the Village now successfully has taken away.

In the end, Section 25.3 of the Agreement does not make discipline or discharge automatic for violation of the residency requirements.

* * * *

There's a big and costly gamble here – for all involved. And the perplexing aspect of all of this is that there is no real operational reason for the Village's position to obtain the no out-of-state residency requirement that I am compelled to impose in this case, other than the fact that Section 14(i) of the IPLRA allows the Village to obtain that prohibition. The Village's proposal that I am compelled to adopt to the extent that residency outside of the Illinois is prohibited, requires officers who live in Indiana … to make the choice of whether to remain at their newly established Indiana residences and quit or potentially be discharged or uproot and return to residence in Illinois. At the same time, because the Village's proposal which continues that portion of the 2009-2012 Agreement, officers can reside anywhere in Illinois – indeed, in theory, as far away as Cairo, Illinois (358 miles from Village Hall, 5 hours, 12 minutes driving time) which would make it impossible for officers residing at far distances from the Village … Given those realities, the Village's right to require residency in Illinois may become a public relations nightmare for the Village as it may have to explain to the public why it is forcing these officers to move back from short distances away in Indiana and causing potential personal havoc to those officers and their families when just a few years ago the Village agreed that those officers could move to Indiana while allowing other officers (if they choose) to live great distances from the Village in Illinois – and, in the end, getting nothing in return from this proceeding to justify such a draconian position. Quite frankly, the residency issue standing alone, makes absolutely no sense to me.

But again, as an interest arbitrator, I cannot do what the Union asks to "rewrite" Section 25.3 of the Agreement to shield officers who relied upon the ability to move to Indiana as negotiated by the parties and permitted by the 2009-2012 Agreement and then find themselves being subject to discipline or discharge for doing so. The real answer to this may be years and many tens of thousands of dollars down the road. All of this is just may well be a waste of valuable time and resources.

In this award, the Village is getting what it is legally entitled to receive under Section 14(i) of the IPLRA – a prohibition against residency outside the State of Illinois. As an interest arbitrator, I have no authority to make the Village pay to get what it is legally entitled to receive. …

Is the result of adopting the Village's proposal on this issue "unfair" to the officers (and their families) who relied upon the ability to move to Indiana as negotiated by the parties and permitted by the 2009-2012 Agreement and now find themselves in a position of potential discipline or discharge if they do not move back to Illinois? Of course it is. However, because of the language in Section 14(i) of the IPLRA that my award "... shall not allow residency outside of Illinois ...", as the Village

> correctly argues, as an interest arbitrator I have absolutely no choice or discretion on this issue.
>
> The Village's proposal on residency is therefore adopted.
>
> (Id. at 39-41,43, 45-46, 51-54)

Similar to this extensive reasoning by Arbitrator Benn in *Lansing*, I have no choice in this matter. I am persuaded by the Village that the Statute requires that Bargaining Unit employees must live in the State of Illinois and I have so ordered. While I have crafted a new provision that I believe serves the interests of both parties to the extent possible, I ask that the Village seriously consider whether it is in the best interests of the Village to enforce this provision. As Arbitrator Benn indicated:

> … the perplexing aspect of all of this is that there is no real operational reason for the Village's position to obtain the no out-of-state residency requirement that I am compelled to impose in this case, other than the fact that Section 14(i) of the IPLRA allows the Village to obtain that prohibition. The Village's proposal that I am compelled to adopt …requires officers who live in Indiana … to make the choice of whether to remain at their newly established Indiana residences and quit or potentially be discharged or uproot and return to residence in Illinois.
>
> … Given those realities, the Village's right to require residency in Illinois may become a public relations nightmare for the Village as it may have to explain to the public why it is forcing these officers to move back from short distances away in Indiana and causing potential personal havoc to those officers and their families…

As Arbitrator Benn did in *Lansing*, I strongly encourage the parties to go back to the bargaining table regarding the residency issue to resolve this matter in such a way so that both parties' interests are best served.

10. **<u>Grievance Procedure/Merger of the Bargaining Units (Non-Economic)</u>**

The parties have made the following final proposals regarding a modification to Section 4.2 of the contract:

VILLAGE PROPOSAL	UNION PROPOSAL
<u>Section 4.2. Procedure.</u> **Step 1 –** An employee and/or Union representative may submit a grievance in writing to the ~~employee's shift commander~~ **<u>Fire Chief</u>**. The grievance shall contain a brief statement of facts, the contractual provisions and/or other matters of alleged violation and the relief requested. Grievances shall be presented no later than ten (10) calendar days from the date of occurrence giving rise to the grievance or ten (10) calendar days from when the grievant, through normal diligence, should have become aware of the grievance. The **~~shift commander~~** **<u>Chief</u>** shall render a written answer to the grievant and the Union within seven (7) calendar days after the grievance is presented. **~~Grievances of a broad contractual nature, a class action type of grievance affecting two (2) or more employees, or a "Union" grievance may bypass Step 1 and be submitted directly to Step 2~~**. **Step 2 –** If the grievance is not settled in Step 1, it may be submitted to the **~~Chief~~** **<u>Village Manager</u>** within seven (7) calendar days after receipt of the answer in Step 1. The **~~Chief~~** **<u>Village Manager</u>** shall investigate the grievance, offer to meet with the grievant and an authorized Union representative, and render a written answer within ten (10) calendar days after receipt of the grievance. ~~Step 3 – If the grievance is not settled in Step 2, the grievance may be submitted within ten (10) calendar days after receipt of the answer in Step 2 to the Village~~	The Village has added a new issue not previously identified in its list of issues exchanged by the Parties on May 10, 2016, Section 4.2, Grievance Procedure. The Village cannot raise new issues after its exchange of issues. Therefore, the Union objects to the presentation of this issue at hearing. To the extent that this issue falls under the Union's request that the arbitrator retain jurisdiction to address any disputes the Parties may have concerning the merger of their two agreements, should there be a dispute over the grievance procedure, or any other matter, it can be addressed after the Parties have had an opportunity to discuss the matter. The Union reserves all rights it may have concerning the Village's newly presented proposal.

~~Manager who shall meet with the grievant and an authorized representative of the Union, and provide a written answer within ten (10) calendar days following the meeting.~~ **Step <u>3</u> –** If the grievance is not settled at Step **<u>2</u>**, the grievance may be submitted to arbitration by either the Union or the Village upon written notice to the other party. Such written notice shall be given within ten (10) calendar days of receiving the answer in Step **<u>2.</u>** c. The parties shall attempt to agree upon an arbitrator within ten (10) calendar days after receipt of the notice of referral to arbitration. In the event the parties are unable to agree upon an arbitrator within the ten (10) calendar day period, they shall jointly request or either may request the Federal Mediation and Conciliation Service to submit a panel of seven (7) arbitrators each of whom is a member of the National Academy of Arbitrators and maintains a principal residence in Illinois. In the case of interest arbitration, the arbitrator shall also have prior interest arbitration experience. Each party shall have the right to strike three (3) names. The party who shall strike first shall be determined by coin flip and each party shall alternatively strike names until one (1) name remains and that person shall be the arbitrator. It is provided that each party, before striking any names, shall have the right to reject one (1) panel of arbitrators. The arbitrator shall be notified of selection by a joint letter from the Village and the Union. d. The arbitrator shall have no right to amend, modify, nullify, ignore, add to, or subtract from the provisions of this Agreement. The arbitrator shall consider and decide only the specific issue submitted, and the decision and	

award shall be based solely upon an interpretation of the meaning or application of the terms of this Agreement to the facts of the grievance presented. The Parties may agree to consolidate grievances involving similar matters before a single arbitrator. The decision of the arbitrator shall be final and binding on the Village, the Union, and the employee or employees involved. The cost of the arbitration, including the fee and expenses of the arbitrator, shall be borne mutually by the Union and the Village, except each party shall be responsible for the expenses of its representatives.	

a. <u>The Village's Position</u>

The Village argues that there are significant issues that have and will continue to arise as a result of the merger of the Bargaining Units. For example, if the Chief disciplines a Bargaining Unit employee, a different Bargaining Unit employee should not have the contractual ability to reverse the Chief's discipline. Similarly, if the Chief issues a Standard Operating Guideline, a Bargaining Unit employee should not have the contractual ability to change that Guideline by virtue of the grievance process. It is of critical importance to remove all Bargaining Unit employees from the grievance process, particularly in this case where all employees in the Fire Department other than the Fire Chief are members of the Bargaining Unit. (Tr. 609)

The Village points to a situation that occurred in April 2016, where a Bargaining Unit member filed a grievance at Step 1 of the grievance procedure with his Battalion Chief. The Battalion Chief that received the grievance did not immediately bring the grievance to the Chief's attention. The Chief did not learn of the grievance for almost a week. In the Village's opinion, the employee was not physically capable of doing the job of a Firefighter. Pursuant to the Contract, the employee had the choice of pursuing an appeal of the Termination in grievance arbitration or going before the Board of Fire and Police Commissioners for a Hearing; however, the employee only had a specific window of time to elect how to proceed. The Village was not made aware of any grievance filed by the employee; therefore the Village assumed that the employee would not be grieving the matter. Pursuant to these actions, the Chief filed charges of Termination with the Board of Fire and Police Commissioners. The employee's attorney stated that he believed that a grievance had been filed, which would have required the Village and the employee to proceed with arbitrating the termination decision. (Er. Ex. 96; Tr. 610)

The Village did not learn of the grievance until nearly one week after it was filed. Union Vice President Tsilis indicated that he did not forward a copy of the grievance to the Chief because this was only step 1 of the process. The Battalion Chief thought he did not need to inform the Chief of the grievance. Such a process runs counter to properly managing a Fire Department. (Er. Ex. 96; Tr. 611)

The Village argues that the Union has presented no evidence on this issue to counter the Village's position. As such, and for all of the foregoing reasons, the Arbitrator must accept the Village's proposal to eliminate Bargaining Unit employees from the contractual grievance procedure.

b. <u>The Union's Position</u>

As a threshold procedural matter, the Union contends the Village has added a new issue not previously identified in its list of issues exchanged by the parties on May 10, 2016. The Village cannot raise new issues after its exchange of issues. Therefore, the Union objects to the presentation of this issue at Arbitration. The Union argues that this issue, which falls under its request that this Arbitrator retain jurisdiction to address any disputes that the parties may have concerning the merger of their 2 contracts, can be addressed after the parties have had an opportunity to discuss the matter. (Jt. Ex. 5 at 5-6)

As to the merits, the Village proposes to alter the *status quo* to eliminate the Shift Commander from the grievance process, in spite of the fact that the parties' grievance process has historically commenced with a Bargaining Unit rank. This proposal was presented for the first time in the form of a response to Union Issue No. 4 within the Union's List of Issues, which reserves the right to present to this Arbitrator any issues that cannot be resolved in the process of merging the Firefighter and Officer contracts. At Interest Arbitration and for the first time, the Village insisted that any substantive changes related to the merger of Bargaining Units should be presented at the Hearing, and offered this proposal as the only substantive change related to the merger of the Bargaining Units. Thus, the Union contends that this issue was not properly vetted through the negotiation process. (Jt. Ex. 4 at 20; Un. Ex. 7, Tabs 18, 47, 53 at 20-21; Tr. 627)

The Union asserts that if this was a substantive issue related to the merger, the Village certainly would have proposed it during negotiations. Further, the Village's only rationale in support of its proposal is that individuals who supervise subordinates should not be part of the grievance process because the Village does not want Bargaining Unit employees to overturn discipline or change a SOP issued by the Chief. This argument completely ignores the fact that the Firefighters and Officers have always been part of a single Bargaining Unit. (Tr. 609-610)

The fact that there have been separate contracts in the past does not change the fact that Bargaining Unit employees have always, with only one exception, been the first step in the grievance procedure for Firefighters. It is clear that this issue has nothing to do with the merger of Bargaining Units, and is a breakthrough item that the Village has characterized as relating to the merger of Bargaining Units in order to overcome the fact that the Village failed to present this proposal in a timely manner. (Un. Ex. 5, Tabs 1 at 4, 2 at 4, 5 at 4, 6 at 4, 8 at 4, 10 at 4, 12 at 4, 14 at 3, Un. Ex. 7, Tab 6 at 3)

The Union contends that the parties agreed that no new issues would be presented after March 12, 2015. The first time the Village presented any proposals regarding and/or responding to the Union's proposal on the merger was almost one month after the cutoff date. None of these proposals included removing Bargaining Unit employees from the grievance process. On June 25, 2015, despite the parties' agreement not to raise additional issues, the Village proposed the following:

> … Such housekeeping proposals shall include removing all Union members from all steps of the grievance process.

On July 14, 2015, the proposal was modified as follows:

> … Such housekeeping proposals shall include removing all Union members from responding on behalf of the Village at any step of the grievance process.

(Un. Ex. 7, Tabs 21, 25, 26, 29, 30 at 1, 32 at 1)

However, the Village never presented the Union with proposed language to accomplish the removal of Bargaining Unit members from the grievance procedure until May 24, 2016, when the parties exchanged Prehearing Settlement Offers. Because no actual proposal was presented during negotiations, the Union had no way of knowing if the Village wanted to replace the Shift Commander with another position, or eliminate that step of the grievance procedure in its entirety. There was nothing to discuss because it was presented merely as a concept, and the parties never engaged in any discussions or negotiations over the issue. (Un. Ex. 7, Tab 53 at 20-21)

By presenting the proposal for the first time in Interest Arbitration, the Village is trying to circumvent the bargaining process and have this Arbitrator award a breakthrough proposal in the absence of reasonable efforts to secure such language through the give and take of negotiations. Not only is such an approach frowned upon, it demonstrates the lack of need for such a change. Finally, because the issue was not properly vetted in negotiations, it is not ripe for determination in this proceeding. *City of Chicago Police Department, supra*. (Un. Ex. 7, Tabs 31, 32, 34)

The Union argues that this proposal was not presented in a timely manner in violation of the parties' Ground Rules for both negotiations and Interest Arbitration. On February 26, 2015, the Union submitted one proposal that included a housekeeping proposal to "[m]odify provisions, where applicable, in order to merge the Firefighter and Officers' Units' collective bargaining agreements into one collective bargaining agreement." The Village submitted a total of 5 proposals prior to March 12, 2015, none of which included either the concept of removal of Bargaining Unit employees from the grievance procedure. Thereafter, on March 12, 2015, Village counsel sent email correspondence to Union counsel confirming their discussion that the parties agreed that there would be no additional issues added to the table in the Fire Unit negotiations. (Jt. Ex. 1, ¶6; Un. Ex. 7, Tabs 14 at 2, 15, 16, 17 18 at 2, 19, 20, and 21)

Pursuant to the Ground Rules, the parties exchanged their Lists of Issues on May 10, 2016. The Village's List of Issues did not include a proposal to modify the grievance procedure. Yet, the Village's Prehearing Settlement Offer and Final Offer, exchanged on May 24 and June 1, 2016, respectively, contained a proposal that not only eliminates Bargaining Unit employees from the grievance procedure, but also eliminates the language allowing class action grievances to be submitted directly to Step 2. The parties agreed-upon Ground Rules for both negotiations and Interest Arbitration prohibit the Village from submitting this proposal, as it is a new issue that was not raised in a timely manner. The Village's proposal must be rejected on procedural grounds. (Jt. Ex. 4; Un. Ex. 7, Tabs 47, 48, 53)

Turning to the merits, the Union argues that the evidence demonstrates that the Village did not meet its heavy burden of proof to alter the *status quo* language. The only reason proffered to support its proposal was that the Village does not want Bargaining Unit employees to be part of the grievance process. The Village reasoned that a Bargaining Unit employee should not have the ability to reverse discipline imposed by the Fire Chief, or change an SOP issued by the Chief by virtue of the grievance procedure. (Tr. 609-610)

The Village's argument is flawed for 2 fundamental reasons. First, historically, there has always been one Bargaining Unit. The fact that since 1991 there have been 2 separate contracts is of no consequence because the Firefighters and Officers have always been part of one Bargaining Unit. Further, the record demonstrates that with only one exception, Bargaining Unit employees have always been the first step of the grievance procedure. The first 2 contracts provided for grievances to be filed with the Deputy Chief, who was part of the Bargaining Unit. The 3rd contract was the only exception, as it provided for grievances to be filed with the Chief. Thereafter, the parties entered into separate contracts for Firefighters and Officers. Each Firefighter contract from 1992 to the present provided that grievances are to be filed with the employee's Shift Commander. The Village was unable to cite to a single instance wherein a Bargaining Unit employee overturned discipline issued by the Chief or changed an SOP by virtue of the grievance procedure. (Un. Ex. 5, Tabs 1 at 1, 2 at 1, 3 at 4, 4, 5 at 4, 6 at 4, 8 at 4, 10 at 4, 12 at 4, 14 at 3; Un. Ex. 7, Tabs 5, 6 at 3)

Second, the fact that a Bargaining Unit employee is the first step in the grievance procedure does not give that individual the authority to reverse disciplinary decisions of the Fire Chief or change SOPs by virtue of the grievance procedure. The very lengthy history of the *status quo* language, coupled with the Village's inability to cite to a single instance demonstrating the system is broken, underscores the fact that the Village is unable to meet its heavy burden of changing the *status quo*.

In an attempt to demonstrate that the system is broken, the Village cited one misunderstanding on the part of a Shift Commander as an example of a problem with the current system. In that case, a Battalion Chief did not notify the Fire Chief, or anyone else, that a grievance had been filed. The Village introduced an email from Assistant Chief Scott Boman explaining that the Battalion Chief who received the grievance "held off on sending his response until receiving direction from myself or Chief Sheets. He was under the impression that both the Chief and I were sent a copy of the grievance." Boman's email contradicts the Village's claim that a Bargaining Unit employee would overturn discipline issued by the Chief or change a SOP by virtue of the grievance procedure because, in that instance, it is clear that the Battalion Chief was unwilling to exercise authority he felt he did not have until such time as he was given direction by either Boman or the Fire Chief. Such a situation is insufficient to justify altering the *status quo*, especially where the Village offered no *quid pro quo* in exchange. (Er. Ex. 96)

Turning to the internal comparables, the MAP bargaining unit only contains the one rank of Police Officer, and thus, in the first step of the grievance procedure, the supervisor is necessarily outside the bargaining unit. However, the first step of the grievance procedure in the Police Supervisors' contract that covers Sergeants and Lieutenants, is filed with the immediate supervisor. For Lieutenants, grievances are initiated with bargaining unit employees. Thus, the internal comparables support the Union's proposal to maintain the *status quo*. (Er. Ex. 49A2, MAP CBA at 8, FOP CBA at 8).

Last, the Union argues that the external comparables also do not support the Village's proposal. Out of the 14 comparable communities, 4, Arlington Heights, Naperville, Park Ridge, and Mount Prospect, have grievance procedures that require first step grievances to be filed with bargaining unit employees. With regard to the remaining comparable communities, there is no evidence that they ever required first step grievances to be filed with bargaining unit employees and subsequently agreed to change such a provision. Thus, the fact that these communities do not have bargaining unit employees included in the grievance procedure is irrelevant because it is not an apples to apples comparison. Further, the Union insists that this is simply not enough to overcome the fact that, here, the process of submitting first step grievances to the Shift Commander has existed since the first contract in 1981. (Er. Ex. 50C, Arlington Heights CBA at 15, Naperville CBA at 16, Park Ridge CBA at 24, Mount Prospect CBA at 17-18)

The Union concludes that the evidence demonstrates that the Village seeks this change based on its wish to exclude Bargaining Unit members from the grievance process, and not because the system is broken and in need of repair. The Village failed to meet its burden to support a change to the *status quo* and thus the Village's proposal must be rejected.

c. <u>Grievance Procedure/Merger of the Bargaining Units - Analysis</u>

After a review of all the evidence and arguments, I agree with the Union that the *status quo* shall remain. There is insufficient evidence to show that a problem exists.

The issue in this case is whether a Bargaining Unit employee can be the first step in the grievance procedure. It is uncontested that except for one contract, the parties have always had a Bargaining Unit employee be the first step in the grievance procedure. I note that for this Bargaining Unit, all employees other than the Chief are in the Bargaining Unit. The Village has argued that this creates a problem because it requires that a Bargaining Unit employee shall review a grievance at the first step and that this will be a conflict of interest. Conversely, the Union has argued that the current arrangement has never been a problem. Historically, the parties have always had this arrangement, which has operated successfully for many years. The only problem that the village has cited was the one instance in April 2016 in which the Battalion Chief failed to properly process a grievance in a timely manner.

I have reviewed the evidence and the parties' positions and find that I agree with the Union. I think that the removal of a Bargaining Unit employee from the first step of the grievance procedure is a breakthrough, based on the history of the parties. While the Village has identified one situation in which a misunderstanding took place, this is insufficient to show that the system is in any way broken and needs to be changed. In addition, even reviewing the proposal in light of the Section 14 factors, such an analysis would also support the Union. There simply is insufficient evidence in the record to support the Village's position.

Therefore, the Union's position is adopted and the *status quo* shall remain.

X. AWARD:

For reasons stated in this Opinion and Award, the Arbitrator finds that the following shall be incorporated into the January 1, 2015 – December 31, 2017 Collective Bargaining Agreement between the parties:

Wages:

The Village's offer is adopted.

Wage Schedule for January 1, 2015 – December 31, 2017 Contract	
Date	**% Increase**
January 1, 2015	**1.00%**
January 1, 2016	**2.50%**
January 1, 2017	**2.50%**
TOTAL INCREASE = 6.00%	

Minimum Manning:

The *status quo* shall remain.

Extra Duties Pay:

The *status quo* shall remain.

Employee Medical Benefits:

The *status quo* shall remain.

Retiree Medical Benefits:

The *status quo* shall remain.

Education Incentive:

The *status quo* shall remain.

Tuition Reimbursement:

The *status quo* shall remain.

Paramedic Certification:

The *status quo* shall remain.

Residency:

1. All Bargaining Unit members are required to live within the State of Illinois.

2. Any Bargaining Unit employee living outside the State of Illinois at the time of the issuance of this Award will have until the end of the contract, December 31, 2017, or any agreed upon extension thereto, to notify the Village of his/her intent to move to the State of Illinois and to provide the time frame for said move to the State of Illinois.

3. This matter is currently being litigated by the parties. In the event that a court of competent jurisdiction issues a final order indicating that the Union's proposal, that is, the *status quo*, is legal under State of Illinois law, this provision shall be null and void and the *status quo* shall be immediately reinstated.

4. This provision shall not constitute a *status quo* for subsequent negotiation and Interest Arbitration purposes.

Grievance Procedure/Merger of the Bargaining Units:

The Union's offer is adopted.

Steven Bierig

Digitally signed by Steven Bierig
DN: cn=Steven Bierig, o=Steven M. Bierig Attorney Arbitrator Mediator, ou, email=arb438@comcast.net, c=US
Date: 2017.01.05 10:27:53 -06'00'

Steven M. Bierig, Arbitrator
January 1, 2017